Procurement Guide

The **Procurement Guide** brings together all the rules and good practice relating to the organisation of calls for tender and the drawing up of contracts within the Council of Europe.

If you have any questions or comments, please contact the Procurement Unit or DLAPIL.

LATEST UPDATE 16/09/2026

Preface

We are delighted to make available to all staff the present procurement guide.

The aim of this guide is to be a useful companion to anyone in our organisation needing to procure services, goods or works, whether experienced in the field of procurement or not. This guide fills a long-felt need of having combined, in one document, information on the legal and procedural regulatory framework as well as information on ways to increase efficiency and performance in procurement.

Whilst being a clear and useful reference document, it is also a comprehensive guide to the ins and outs of the procurement procedure. It can be something you dip in and out of as and when necessary or if you prefer, it can be read from cover to cover.

Following this guide will ensure complete compliance with the legal framework and will, hopefully, improve your overall procurement performance!

Francis Dangel

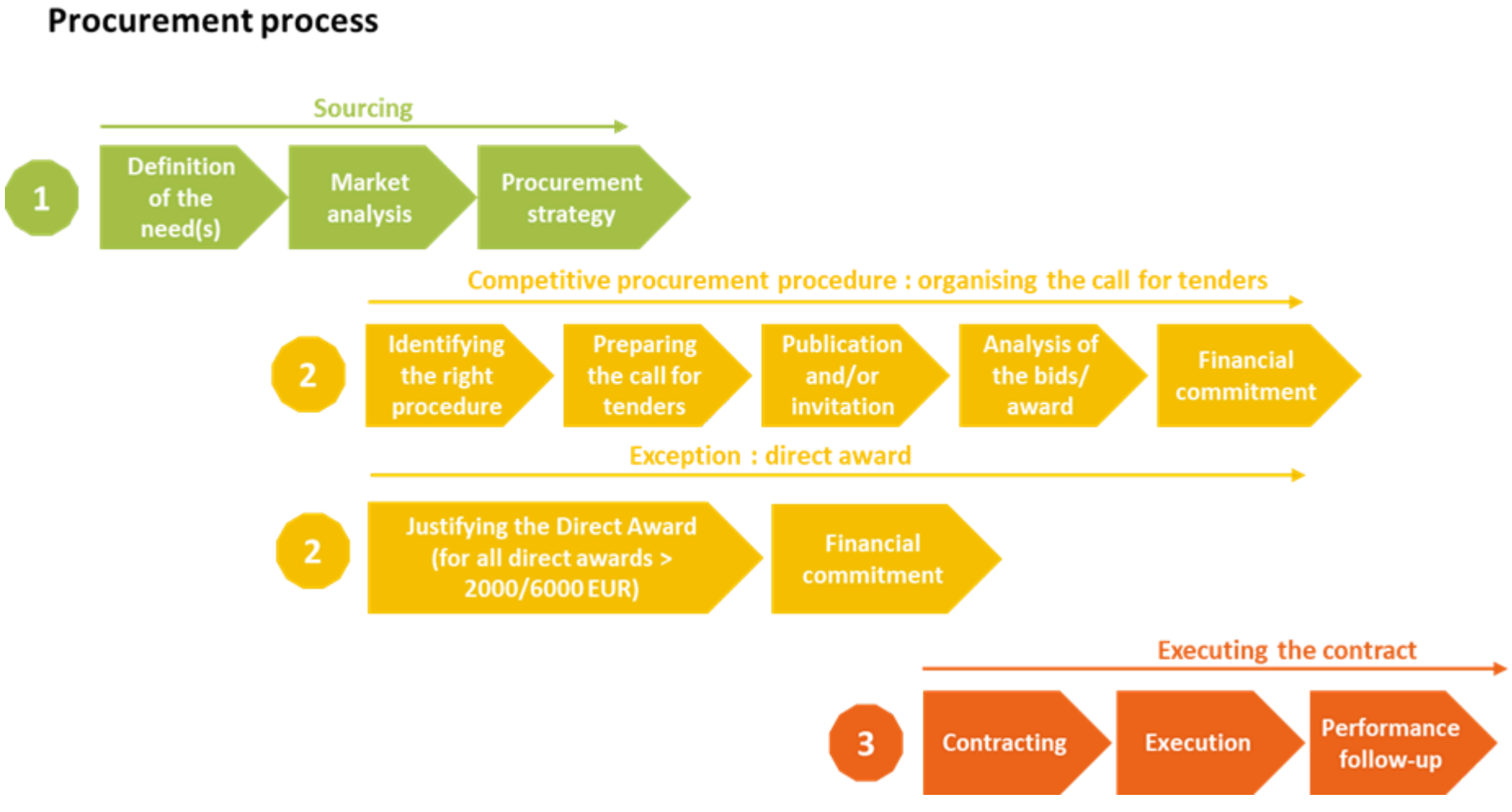
Director General of Administration

Jörg Polakiewicz

Director of Legal Advice and Public International Law

Preliminary clarifications

This guide provides information on all steps, procedures and phases relevant to procurement carried out by the Organisation. It adopts a broad definition of the procurement process that encompasses all steps, from the expression of a procurement need by a buyer entity and the selection of the right procedure (whether competitive or not, depending on the circumstances) to the evaluation of the supplier's performance at the end of the execution phase.



All these steps are not systematic or mandatory for every purchase. They are, however, all recommended, in general, to ensure a quality purchase in the best possible conditions for the Organisation.

Performance and compliance: two complementary approaches

Performance and compliance are two complementary approaches that will be taken into account in the context of any procurement process.

Compliance

This implies:

- familiarising oneself with the applicable legal framework, through consulting Rule 1395 and making effective use of various tools provided by the DLAPIL (including training sessions, information notes and other available tools);
- using the templates made available by the DLAPIL;
- consulting the DLAPIL and/or the TB Secretariat for a review of the tender documents before launching procurement procedures;
- contacting the DLAPIL to check the conformity of the process followed at the operational level regarding procurement procedures;
- consulting the DLAPIL for any issue/question with possible legal implications;
- reporting to the DIO any suspicions of wrongdoing relating to procurement, in line with the Organisation's legal framework.

Performance/efficiency

This implies:

- familiarising oneself with the importance of each phase of procurement, through various tools made available by the Procurement Unit (including databases, training, electronic tendering platform);
- contacting the Procurement Unit for market analysis and sourcing of new suppliers;
- streamlining procurement procedures by consulting the Procurement Unit to share and consolidate contracts with the objective of economies of scale and reduced administrative costs;
- carrying out a thorough assessment of the goods and services provided by suppliers;
- where relevant, using negotiations as foreseen in Article 20 of Rule No. 1395 in order to obtain the best value for money and/or best terms and conditions;
- consulting the Procurement Unit for any issue/question at the operational level relating to the source-to-contract process.

To summarise

⚠ The Council of Europe's procurement regulations apply, in the same manner, to all purchases made by the Organisation. Therefore, the same obligations and procedures apply to any type of purchase.

The same applies to recommended best practices, which can improve the performance or the efficiency of a purchase. These can be replicated for any type of purchase.

>> How to read this guide? <<



Please note that all amounts mentioned in this guide are in euros and shown without VAT

Chapter 1 – Definition of the procurement perimeter

1.1. Regulatory framework for procurement

1.1.1. Principles and legal bases

Financial Regulations and Supplementary Provisions of the Council of Europe (Articles 40 to 43)

Articles 40 to 43 of the Financial Regulations identify the three available types of contracts and the three main procurement procedures (whether competitive or not). They also lay down a number of essential features of an international public call for tenders and define the role of the Tenders Board.

⚠ Articles 43 bis and 43 ter concern grant award procedures and co-operation agreements respectively and are therefore not covered by this guide.

📌 Link to the Financial Regulations and Supplementary Provisions of the Council of Europe.

Rule No. 1395

Rule No. 1395 of 20 June 2019 complements the Financial Regulations by laying down the details relating to each procurement procedure. All the stages of a procedure are covered: from the preparation of the tender file documents to the publication of the call for tenders, from the signature and validation path to the signing of the contract.

💡 An annotated version of the rule is available on the Tenders Board's web page where some of the most recurrent questions are addressed.

General principles of public procurement

Procurement processes at the Council of Europe involve the launch of procurement procedures that must be carried out in accordance with general principles relating to public procurement. Those principles are referred to in Rule No. 1395 and should be used as a guiding thread throughout any procurement procedure.

- **Principle of periodic competition**: Competitive procurement procedures will be launched at regular intervals to ensure that other suppliers also have the opportunity to compete to provide goods, services and works to the Council of Europe
- **Principle of objectivity**: The buyer entity will conduct procurement procedures without partiality, bias or external influence. This encompasses (among other elements) the drafting of the tender documents, which must be neutral, and the scoring process, which must not favour any specific potential bidder
- **Principle of transparency**: Transparency implies that:

  1. all information on the procedure, including the exclusion, eligibility and award criteria, is made available to potential tenderers. The procedures of the Council of Europe will be accessible to all those wishing to tender. The tender rules and their application will be clear and foreseeable
  2. the results of the procedures will be published, and tenderers will be provided with reasons for the award, upon request

- **Principle of non-exclusivity**: The Council of Europe will not have recurring, exclusive contractual relationships with economic operators, or contracts of an excessive length. The launch of competitive procedures will be the standard practice and direct awards should remain an exception
- **Principle of equal treatment**: All tenderers must be put on an equal footing and must be treated in the same way at each stage in the procedure. In practice, this means that all tenderers are treated according to the same rules and have access to the same information
- **Principle of non-discrimination**: The Council of Europe's general policy of non-discrimination will be respected. Discrimination occurs when tenderers who are in a comparable situation are treated differently, only or in particular because they belong or are perceived to belong to a particular category or group which shares certain characteristics. In the procurement context, particular attention must be paid to this when defining the conditions to accede to a tender procedure

📌 Procurement – Basic principles video – The main principles of procurement at the Council of Europe.

Other relevant instruments and documents

Two additional legal instruments are relevant when analysing the legal bases for procurement at the Council of Europe: Instruction No. 59 (on consultants' contracts) and Instruction No. 60 (on outsourcing contracts) of 21 December 2007.

⚠ Instruction No. 60 on outsourcing contracts and Instruction No. 59 on consultants' contracts (21 December 2007) served as a basis for the development of the DLAPIL's templates. Although those instructions include model of contracts, we would recommend using the DLAPIL's templates which take into account and reflect the evolution of procurement within the Council of Europe since 2007. Similarly, the model invoice should not be used.

1.1.2. Values and ethics

All Secretariat members and anyone involved with the Council of Europe's activities are expected to act with the highest degree of professionalism, by conducting themselves in line with the Organisation's ethos of integrity and respect, and conducting themselves in accordance with the values of independence, trustworthiness, responsibility, dignity, diversity and discretion, as set out in the Code of Conduct (1 January 2023) and other internal rules and regulations of the Organisation. Breaches of these obligations may lead to disciplinary sanctions.

All those involved with the Organisation's activities are also expected to uphold the values and respect the standards set out in the Council of Europe's legal framework, in accordance with any legal provisions that apply to them. Secretariat members involved in procurement processes are also subject to the Council of Europe Purchasing Code of Ethics (25 October 2005), to which they must adhere in the strictest manner.

The contractors of the Council of Europe shall comply with the applicable principles, rules and values of the Council, including – but not limited to – those laid down in the Policy on Respect and Dignity in the Council of Europe and the Code of Conduct.

These instruments outline the principles governing the obligations in procurement processes. As required by these instruments, Secretariat members shall:

- avoid any conflicts of interest
- respect the confidentiality of tenders
- maintain professional, respectful and trusting relationships with suppliers

- ensure that the selection of service suppliers is based on objective and impartial criteria
- refuse all types of benefits or solicitations from suppliers

All staff members shall, on an annual basis, either declare any personal interests they might have that give rise to an actual, potential, or perceived conflict of interest or confirm that they have no such interests. Declarations of interests must be submitted every year by 31 March. For newly appointed persons or those who begin a traineeship or secondment, in the course of the year, the deadline for submission is within one month of having taken up their function. Please consult the dedicated page for more information Declaration of interests - Organisation.

📌 See Rule N°1/2026 of 1 February 2026 on the declaration of interests.

The contractors shall:

- comply with their contractual obligations and all other Council of Europe rules, instruments and policies applicable to them
- observe the utmost discretion in all matters concerning performance of their contractual obligations, and particularly any matters or data that have been or are to be recorded that come to the contractors' attention in the performance of their obligations
- avoid any conflicts of interest
- maintain professional, respectful and trusting relationships with the relevant members of the Secretariat
- never offer any benefits, gifts, or hospitality to any member of the Secretariat.

All procurement procedures must be conducted in a professional manner and in accordance with the highest ethical standards.

The process must allow all bidders to compete on an equal, transparent and fair basis. Persons involved in the procurement process will refrain from any action which might adversely reflect on their status as international civil servants and will exercise their duties with loyalty, discretion and conscience, respecting the confidence placed in them, and with the sole interests of the Council of Europe in mind. Secretariat members will neither seek nor accept any instructions with regard to the performance of their duties from any government or other party external to the Organisation.

It is important to highlight that when fraudulent and corrupt practices occur, the damage can extend far beyond financial losses, posing serious threats to the Organisation's credibility and to its ability to achieve its operational and programmatic objectives. Therefore, suspicions on possible fraud, corruption or other wrongdoing will be immediately reported to the DIO in accordance with the provisions set out in the Speak Up – Council of Europe Policy on reporting wrongdoing and protection from retaliation (Speak Up Policy).

The Council of Europe has a no-gift policy in procurement and granting. Secretariat members involved in procurement and grant award procedures **cannot receive any gifts or hospitality** from the contractors or grant recipients, current or to-be, regardless of value or circumstances. For further information please refer to the Ethics Officer.

1.1.3. Grants v. procurement – Different tools for different activities

When it comes to procurement, a preliminary issue is to ascertain whether a procurement contract is the correct tool to use or whether the activity foreseen should not instead be carried out with a grant. ❓

> The Financial Regulations foresee also a third instrument, namely "co-operation agreements". The role played by such an instrument is residual. A co-operation agreement will be signed only if the action of the Council of Europe does not correspond to a procurement or a grant. Article 43 ter of the Financial Regulations states that: "Agreements relating to co-operation with entities governed by public law shall be exempt from any competitive procedure. Contracts and agreements concluded with entities governed by public law falling under the scope of Articles 40.1 and 43 bis above shall be excluded from the scope of this provision."

It is necessary to identify the correct legal contractual instrument depending on the nature, and objectives, of the activity to be implemented.

Whenever the Organisation purchases, from any economic operator, works, goods or services – to meet a need of the Organisation – a procurement contract must be signed, regardless of the status of the contractor. In the context of the Council of Europe, all types of purchases are covered by Rule No. 1395 and must be carried out by means of one of the procedures laid down in this rule.

Whenever the Organisation provides financial assistance to a third party (a "grantee") with a view to supporting a project managed by the grantee or the implementation of an activity carried out by the grantee, a grant agreement must be signed, regardless of the status of the grantee. Grants are foreseen by Article 43 bis of the Financial Regulations of the Council of Europe, which is implemented by Rule No. 1374 of 16 December 2015 on the grant award procedures of the Council of Europe.

Understanding, and mastering, the differences between procurement and grants is of paramount importance. Only when the purposes, aim and features of each instrument are clear, is it possible to identify which of the two instruments is to be used in order to implement a given activity. The table below summarises the main differences between the two instruments.

	Procurement	Grant
Purpose	Buying goods/services/works to cover the Organisation's needs	Providing financial assistance to a grantee, so that it can carry out activities, those activities helping the grantee to meet their own objectives while also promoting the Organisation's values and policies
Output	Goods/services/works over which the Organisation usually acquires full ownership	Activities in line with the grantee's objectives and the Organisation's values and policies
Who benefits?	The Organisation	The grantee (although the Organisation also benefits by ricochet)
Who gets paid?	The provider, who is usually a private for-profit company or a consultant	The grantee
Profit	The contract is a commercial deal, so the paid amount includes a profit margin for the provider	No profit. The paid amount is intended to cover part of the costs incurred by the grantee in carrying out the foreseen activities

Payment strucure	The contract organises the payment(s) based on the provider achieving specified milestones	The grant agreement organises the payment in two or more instalments
Reporting	No reporting requirements	Extensive reporting requirements. The grantee must prove that the funds were spent as foreseen in the grant agreement

1.2. Audits

Given the financial volumes involved and the associated risks (see next chapter), procurement is subject to dedicated or cross-cutting audits (e.g. financial management, project management).

These audits may be carried out by the DIO's internal auditors (compliance or performance audits), by the external auditor (who in addition to certifying the financial statements and management accounts may carry out performance audits), by the European Union in the context of financial contributions on actions implemented by the Council of Europe, or by third party auditors mandated by donors.

💡 **Examples of issues examined by the auditors**

- Transparency of tendering procedures
- Level of competitiveness
- Compliance with the thresholds and relevant procedures
- Reasons kept on file for supporting the direct award of contracts
- Respect for validation workflows and acquisition authorisations, segregation of duties
- Submission of the declaration of interest
- Consolidation of volumes, sharing of contracts and optimisation of purchases
- Modernisation and simplification of the procurement processes
- Archiving of justificatory documents and internal access to information

If deficiencies are identified during these audits, they are subject to recommendations categorised by level of risk (major, significant, moderate, low).

Recommendations are either followed up by the buyer entity directly concerned by an audit or by transversal teams if the recommendations affect the entire Organisation.

1.3. Risks for the Council of Europe

Failure to comply with the above regulatory framework may lead to several risks. The main risks surrounding procurement processes are:

- institutional and financial
- ethical and reputational
- operational

📌Link to the Risk Management Guidelines for Council of Europe Staff

Secretariat members dealing with procurement must mitigate the risks of conflicts of interest, fraud and corrupt practices at all stages of the procurement process. To do so, they must implement measures to identify conflicts of interest, fraudulent and corrupt practices, and deploy appropriate responses to prevent these improprieties.

All staff members are required to submit a declaration in accordance with the provisions of Rule N°1/2026 of 1 February 2026 on the declaration of interests. During the pre-solicitation phase, persons involved in the procurement process must not allow bidders access to specific, privileged information of a technical, financial or other nature, before it is publicly available to the business community at large. In the preparation of solicitation documents, they should not use restrictive specifications that may discourage competition and may not disclose selection information (directly or indirectly) to any individual who is not authorised to receive such information at any time prior to or after the selection and contracting process.

1.3.1. Institutional and financial risks

When procurement procedures are carried out in breach of the applicable regulatory framework, auditors or investigators may detect shortcomings and make recommendations that may have (at times far-reaching) consequences from the institutional point of view (such as changes in the legal framework, in practices/procedures).

When extrabudgetary funds are used, the procurement procedures may also be subject to dedicated audits by donors (such as the European Union) and/or investigations by the DIO or other investigative bodies (depending on the legal framework).

In the event of non-compliance with the regulatory framework, the donor can go as far as demanding the refund of all or part of the amount spent (considered "ineligible"), which will then have to be paid from the Ordinary Budget.

This can have important implications in terms of stakeholder/donor confidence and can affect future funding.

1.3.2. Ethical and reputational risks

Failure to comply with the applicable rules and principles may result in ethical and reputational consequences.

The conclusion of contracts with suppliers suspected of practices contrary to the Organisation's ethical standards or in breach of the criminal, tax or social legislation of member states could have a particularly negative impact on the Council of Europe's image. It is therefore vital that checks prior to the conclusion of contracts are properly carried out and recorded. In particular, the following mitigating measures are implemented:

- tenderers are asked to sign a declaration on honour confirming that they comply with the Council of Europe's exclusion criteria
- buyer entities may carry out random checks to ascertain whether the above-mentioned exclusion criteria are satisfied
- when EU funds are used, buyer entities must perform due diligence and check whether suppliers are the target of European Union restrictive measures

💡 Preventing and detecting corruption and breaches of probity are an imperative if we want to buy well. They are also a lever for procurement performance that is beneficial for the quality of purchases, prices, confidence between private and public actors in the procurement chain, and for growth and the economy (source: santé-achats.info).

Risks linked to trafficking in human beings and child labour

An additional risk that may have ethical and reputational, but also broader legal implications, is the issue of human trafficking and child labour in supply chains, both in the production of goods and in the provision of services (for example in the production of IT equipment or in services such as translations, events management or cleaning).

The DLAPIL is currently exploring possible ways of addressing this issue in procurement procedures. In this regard, further awareness-raising activities and risk management measures related to trafficking in human beings and child labour – including, for example, measures applicable to the procurement design, the drafting of technical specifications, the definition and application of analysis criteria as well as the implementation of a specific contract management arrangement – may be implemented in the future. ❓

This would be in line with the objectives of the Organisation, both in the context of the work carried out by the Group of Experts on Action against Trafficking in Human Beings, Committee of Ministers Recommendation CM/Rec(2016)3 on human rights and business and the Council of Europe Strategy for the Rights of the Child (2022-2027), adopted by the Committee of Ministers.

That said, mitigating measures are already in place.

– According to the exclusion criteria applicable to all Council of Europe tendering procedures, tenderers will be excluded from the procedure if they have been sentenced by final judgment on one or more of the following charges: child labour or trafficking in human beings. This exclusion criterion is included, together with all other exclusion criteria, in all the DLAPIL's templates for tender files and acts of engagement. By signing the declaration of agreement included in all of the AoE templates, tenderers declare that they are not in the above situation.

– An additional exclusion criterion must always be included in the tender file (see Chapter 4.8.3.1), according to which tenderers are excluded from participating in the call for tenders if they, their owner or executive officers are included in the list of persons or entities subject to restrictive measures applied by the United Nations Security Council or the European Union (placement on sanctions list can be a result of serious human rights violations and abuses, including trafficking in human beings).

1.3.3. Operational risks

Non-compliance with the applicable rules and principles can affect the quality of the contracts concluded and of the deliverables received by the Council of Europe.

A number of mitigating actions implemented in this regard at the Council of Europe are:

- the identification of risks related to procurement activities and implementation of an appropriate level of control ❓
  Internal Control at the Council of Europe – Organisation (coe.int)
- the training of staff, in particular project staff, in financial management and procurement procedures, as well as on VAT regimes
- the involvement of the Ethics Officer, where relevant

It is important to note that many factors may potentially have an impact on whether the Council of Europe may be able to successfully satisfy its operational needs and constraints. Among possible mitigation actions in this connection are:

- proper planning of the procurement procedures in the inception phase of the project
- setting clear and accurate assessment criteria and carefully examining tenderers' offers before contracting



A selected supplier may discontinue its activities or fail to deliver the services required for various reasons, such as financial difficulties, limited capacity, personal circumstances. This could result in delays in the delivery of critical deliverables, potentially leading to negative consequences for the overall implementation of a project. In order to mitigate such risks, the buyer entity could conduct thorough assessment of financial stability, operational capacity, and past performance of potential providers to ensure reliable service delivery. Another possibility could be to consider establishing framework contracts or agreements with a pool of pre-selected suppliers, allowing for a smooth transition to an alternative provider in case any difficulties arise with one supplier, thereby ensuring continuity and minimising project disruptions.

Chapter 2 – Organisation of procurement in the Council of Europe

2.1. Responsibility for procurement

Procurement at the Council of Europe is decentralised, meaning that each MAE is responsible for carrying out the procurement procedures necessary to respond to their operational needs.

⚠ The structure set up in each MAE must, however, ensure that, in carrying out procurement of goods, services or works, the following functions are adequately separated:

- secretariat members performing operational functions (definition of needs, drafting of tender documents, assessment of deliverables provided, preparation of order forms, etc.)

- secretariat members carrying out validation and financial management functions, based on the Council of Europe Financial Management Framework (budgetary verification of requests, validation of POs, budgetary transfers, etc.)

2.2. Services, profiles, roles and missions

Many actors with distinct roles and missions are involved in the procurement process. It must be stressed, however, that the information provided below goes hand in hand with:

- the Council of Europe Financial Management Framework
- the general delegation framework (CM/Res(2023)1) Resolution CM/Res(2023)1
- the arrangements and delegations made on a case-by-case basis in each MAE and by each CO and CCM

2.2.1. The main actors in procurement

Buyer entity	The buyer entity is responsible for carrying out the procurement process, from the initial forecast of the need to the execution of the contract. Its main activities during this process are: • defining procurement needs • preparing tender documents and, when needed, drafting technical specifications • assessing bids based on exclusion, eligibility and award criteria (see below the notion of authorised staff member) • submitting files to the Tenders Board for approval, when relevant • receiving and evaluating deliverables • receiving, verifying and approving invoices • monitoring contractual relationships with suppliers and the quality of their work; • monitoring the execution of contracts
Authorised staff members in procurement procedures	According to Rule No. 1395, certain key tasks in procurement processes must be carried out by an *authorised staff member*. An authorised staff member must be a member of the buyer entity who has been duly authorised by the relevant CO or CCM to carry out the tasks of an authorised staff member described in Rule No. 1395 (Article 3.2.*d*). Authorised staff members will act under the responsibility of, and within the limits of the authority delegated to them in writing by, the CO or CCM responsible for the procurement that they are carrying out (Article 8.3). The main tasks of an authorised staff member are: • opening of offers/representing the buyer entity in the opening process • assessing offers • entering into negotiations with tenderers, when relevant

Rule No. 1395 does not clarify exactly when and how authorised staff members must be appointed. However, it is clear that authorised staff members must necessarily be appointed in the framework of a procurement procedure, that authority must be delegated by the CO or CCM in writing and that authority must be delegated before any task – identified by the rule as a task of an authorised staff member – is performed.

Considering the above, it is recommended that authority be delegated – at the latest – at the moment of the approval of the tender documents by the CCM, through the inclusion of the following paragraph in the e-mail exchange (with authorised staff members in copy).

In accordance with Article 3.2.*d* of Rule No. 1395 of the Secretary General of 20 June 2019 on the procurement procedures of the Council of Europe,

I, [CCM's name], acting as the delegated CCM,

hereby authorise the following Secretariat members to act as authorised staff members for this procurement procedure and carry out the tasks of an authorised staff member described in Rule No. 1395:

Authorised staff member's full name

Authorised staff member's full name

Authorised staff member's full name

2.2.2. Procurement control and validation bodies

For Secretariat members performing financial management tasks (budgetary verification of requests, validating POs and accounting), all roles and responsibilities are summarised on the DPB's page.

It is based on a chain of responsibilities where "senior" managers delegate authority to managers below them in the chain of responsibility.

Information on the detailed financial management under co-operation projects can be found on the DPC's page

Expenditure is authorised by COs who are senior-level officials at the head of MAEs and are in charge of implementing the Council of Europe's programme. COs normally delegate all or part of their responsibilities to one or more CCM in their MAE.

Under the authority of the CO from whom he or she receives the delegation of financial responsibility, the CCM is responsible for the purchases made by his or her cost centre in accordance with the delegation received.

NB any mention of the CCM in the rest of this guide is made based on the understanding that the CCM has duly received a delegation of authority from the relevant CO.

The CCM's responsibilities in connection with procurement procedures include:

- validation of the choice of procedure
- validation of tender files and requests to be submitted to the TB
- validation of the award
- signing contracts
- monitoring the execution of contracts

Commitments officers/cost centre managers by delegation

The CCM concerned is responsible for determining the relevant expenditure process: they are the risk owners and are responsible for maintaining effective internal controls on a day-to-day basis. Only the CCM by delegation is authorised to authorise expenditure.

An ACCM and a FOMA assist the CCM with regard to the financial management and budgetary issues. Their responsibility cannot be substituted for that of the CO or CCM who remain fully accountable for their decisions.

The role of the ACCM and/or FOMA is to advise and assist the CO and/or CCMs, namely by preparing, recording and processing financial transactions for the cost centre, in particular by: inputting POs in the FIMS and finalising POs; verifying and controlling the conformity of requests for commitment with the Financial Regulations, rules and guidelines prior to their approval by the relevant CCM, in particular verifying that financial commitments correspond to the relevant budget, remain within the limits of the appropriations for which they have been delegated management authority and are carried out within the eligible period; verifying invoices and other supporting documents prior to their approval by the relevant CCM before settlement; reporting to the CCM on all transactions that are not in conformity with the Financial Regulations of the Organisation and internal control procedures; archiving relevant supporting documents of all financial transactions by budget head; ensuring regular follow-up of budget execution, including regular reports of the budget situation for information and validation by the CCM.

Tenders Board

The Tenders Board ensures compliance with the Council of Europe's internal rules on competitive tendering for all contracts exceeding €184 000 excluding VAT. The general competences of the Tenders Board are as follows:

- it decides on the scope of international public tenders and on the most appropriate means for the publication of a call for tenders
- it scrutinises the analysis of bids carried out by the buyer entity
- it decides on the bids to be accepted on the basis of the recommendation of the CCM

The Tenders Board is composed of:

- the Director General of Administration, Chair of the Board
- the Director of Legal Advice and Public International Law
- the Treasurer
- a member or his or her substitute, both appointed by the Secretary General on an annual basis and selected among Secretariat members exercising financial responsibilities in a MAE

The Director General of Administration, the Director of Legal Advice and Public International Law and the Treasurer will appoint, at the beginning of each year, up to two Secretariat members who may represent them on the Tenders Board.

The DIO provides independent oversight through internal audit, evaluation and investigation to support the effective management of resources of the Organisation. It promotes a culture of accountability, transparency and organisational learning. For more information, please see the Charter of the Directorate of Internal Oversight.

The mission of the internal audit function is to enhance and protect organisational value by providing risk-based and objective assurance, advice and insight, and by bringing a systematic, disciplined approach to assessing and improving the effectiveness of risk management, internal control and governance processes.

Internal audit monitors, among other things, compliance of procurement procedures with applicable rules (compliance audits).

Internal audit is also concerned with the efficiency and effectiveness of procurement processes and the internal control framework within which procurement takes place (performance or COSO-based audits).

Directorate of Internal Oversight (DIO)

The mission of the investigation function is to help the Council of Europe to ensure the proper use of its funds and resources, prevent and investigate fraud and corruption, and protect its reputation and interests, *inter alia* by carrying out activities relating to:

- prevention of fraud, corruption and other wrongdoing (for example delivering training and raising awareness, assisting management in carrying out fraud risk assessments, reporting on risks detected in declarations of interests)
- detection and investigation of wrongdoing (including fraud, corruption, retaliation, etc.)
- enhancement of the general governance of the Organisation (for example contributing to the development or amendment of internal rules, procedures, identification of risks and improvement of internal controls)

Secretariat members of the Council of Europe have an obligation, by virtue of Article 1.6. of the Staff Regulations and Staff Rules, to report wrongdoing. The other persons to whom the Speak Up Policy applies are also expected to report such wrongdoing should they become aware of it, and members of the public are encouraged to do so. The investigation function will act upon allegations and indications of wrongdoing that could affect the Council of Europe's interests. Wrongdoing can occur at each of the stages of the procurement lifecycle and may have a financial and/or reputational impact for the Organisation.

2.2.3. Support services

Two directorates can provide support to buyer entities during procurement processes:

- ◦ the DLAPIL, primarily for questions relating to compliance with the regulatory framework and issues of a legal nature
  - ◦ ▪ the DGA with:
  - ◦ the Secretariat of the Tenders Board who organise the work of the Tenders Board and check files before they are submitted to the board
  - ◦ the Procurement Unit which manages all of DGA's purchases and can provide operational support to other Council of Europe departments with a view to increasing performance in procurement procedures

In addition, the Internal Control Officer can also provide advice to ensure that control and risk management processes are designed appropriately and are functioning as intended. For more information, please refer to the Internal Control at the Council of Europe – Organisation (coe.int). It must be noted that the EDQM also has a Procurement Section that deals exclusively with its purchases.

DLAPIL (legal and regulatory support)

The DLAPIL must be consulted as a matter of priority for any legal question related to the procurement process, for example the choice between procurement and grants, changes to contractual terms and conditions, selection of the right type of contract, preparation of tender documents in compliance with applicable rules and principles, questions arising during the procurement process, the settlement of disputes with a third party. The DLAPIL also provides a complete range of services to ensure compliance in procurement procedures carried out by the Organisation, such as:

- training on the Council of Europe's procurement procedures
- an intranet website with detailed guidelines on procurement and video tutorials
- templates for tender files, acts of engagement, other relevant contractual documents as well as information factsheets

As of 1 February 2025, the DLAPIL ensures the Legal Compliance Review for all competitive bidding procedures and direct award procedures funded – either partially or wholly – by extrabudgetary funds, and within the financial range of €55 000 to €184 000, excluding VAT.

NB this guide contains the key facts from the DLAPIL and refers to its website for Secretariat members wishing to obtain further information.

The DLAPIL can be contacted by request form or e-mail: legal.advice@coe.int

Procurement Unit **(tendering and performance)**	The [Procurement Unit] is responsible for all purchases that are carried out by the DGA. It also advises and supports all Council of Europe buyer entities on all non-legal issues relating to procurement and how to achieve the best results for the Organisation. More particularly, the Procurement Unit may assist in: • preparing calls for tenders, analysing needs and markets, drafting a procurement strategy, searching new suppliers, identifying existing contracts • during the tendering process, helping with the publication and visibility of the tender • during the analysis of bids, preparing analysis tables, checking suppliers and identifying any potential risks • finalising the procurement procedure and, if necessary, during the execution of the contract itself The Procurement Unit also provides, in co-operation with the DLAPIL and the Secretariat of the Tenders Board, a [complete range of tools and services] to increase quality and performance in procurement procedures carried out by the Organisation, such as: • electronic tendering procedures, assisting buyer entities wishing to carry out procurement procedures in a paperless manner • an intranet website with tools such as a suppliers database, contracts database, procedure selection tool, reporting tool and analysis tables In order to comply with Audit and best practices, it is organised in 2 lines: Lead Buyers are in charge of strategic purchases and strategies for the CoE, Operational Buyers support MAEs in identifying the scope of procurement needs, assist them with day-to-day procurement, including supporting them in launching the competitive procedures. The Procurement Unit also participates in DLAPIL's training sessions to communicate on performance and procurement tools. The Procurement Unit can be contacted at the following address: procurement@coe.int. There is a 48-hour SLA in place to provide an initial response.
The secretariat of the Tenders Board (TB)	In addition to ensuring the functioning of the Tenders Board from an administrative point of view (managing the Tenders Board's calendar of meetings, managing the templates for memos to be submitted to the Tenders Board, managing the Tenders Board's electronic platform, initiating and managing electronic consultations, archiving of decisions, etc.), the Tenders Board's Secretariat also routinely review files before submission to the Tenders Board. The Tenders Board's Secretariat is also responsible for the opening of bids in the framework of an international public call for tenders not published on the Council of Europe's electronic tendering platform. The Tenders Board can be contacted at the following adress: vedran@lopandic@coe.int; louise.everts@coe.int

2.2.4. Other entities involved in the procurement process

Treasury, Payments and Accounting Department (TPA)	The TPA's responsibilities in procurement processes are: • inserting suppliers (address and bank details) in FIMS and checking the bank details provided • checking the payment claim and settling the amounts to be paid • reporting accounting information via FIMS and WebFOCUS and preparing the Organisation's financial statements in accordance with International Public Sector Accounting Standards • managing the Organisation's cash reserves
Programme and Budget Directorate (DPB)	The DPB monitors the implementation of the Programme and Budget and prepares the budgetary management accounts of the Organisation.
Data Protection Officer (DPO)	The DPO shall be involved, properly and in a timely manner, in all issues involving the Organisation which relate to the protection of personal data, procurement included.

2.3. Funding

2.3.1. Budgetary resources

Budgetary resources are reflected in the Programme and Budget. As of 2022, the Programme and Budget, as the framework for all the actions of the Council of Europe, covers a four-year period and maintains the biennial budgetary cycle.

Budgetary resources traditionally finance the administrative infrastructure, the functioning of the Organisation's statutory organs and other bodies. However, targeted co-operation activities, such as multilateral and bilateral meetings, workshops, awareness-raising activities, events, round tables, training courses, study visits, are also part of the operational work of the intergovernmental standard-setting and monitoring activities.

Procurement is planned based on a forecast for each budget line approved by the respective CO on a regular basis. For this reason, procurement should be planned and organised as early as possible. The budget for procurement is normally drawn up on the basis of the predefined objectives and expected results of the buyer entity and presented under the Programme and Budget Tool format.

2.3.2. Extrabudgetary resources

The extrabudgetary resources include funds provided by the European Union and voluntary contributions from member states.

- **i. EU funds**

EU funds are made available to the Council of Europe in the framework of EU/Council of Europe joint programmes. Such programmes are co-funded by the EU and the Council of Europe and implemented by the Council of Europe through strategic partnerships, such as the Partnership for Good Governance, the Horizontal Facility for the Western Balkans and Turkey, the South Programme and the Central Asia Rule of Law Programme. Please check the DPC's dedicated page for more information.

- **ii. Voluntary contributions**

Voluntary contributions are either non-earmarked (through thematic and country-based action plans) or earmarked for projects approved by the Committee of Ministers.

In addition to individual bilateral contributions, member states support the Council of Europe's work through the Human Rights Trust Fund that brings together eight contributors: Finland, Germany, Ireland, Luxembourg, the Netherlands, Norway, Switzerland and the United Kingdom.

2.4. Types of purchases

2.4.1. Key figures

The Council of Europe's total expenditure for the procurement of goods, services or works in 2024 was 104M€ (all budgets included, only from external suppliers).

The DGA (38.9M€), DPC (25.8M€) and EDQM (16,1M€) are the top three MAEs in terms of external purchases.

A large part of the Council of Europe's spending is dedicated to intellectual services (15.1M€) and events organisation (€9.7M€), representing more than 25% of its total annual purchases. In addition to these two main categories of purchases, other relevant categories are linked to the Council of Europe's operations (works, IT, security, etc.) or projects (interpretation, travel, translation, etc.).

Almost a third (30%) of our purchases were dedicated to:

- Consultancy (15.1M€)
- Events organisation by a third party (9.7M€)
- Seminar and conference costs (6.1M€)

Regarding providers: ▪ A total of 5 869 invoiced us on average 17 720€ each (but consultants alone, only 5 016€)

- 73% of all providers invoiced us less than 6 000€ over the whole year
- 23% were French but represented 55% of our total purchases

For more information or statistics regarding purchases volumes in our Organisation (reports, data regarding a specific topic, ...) please contact the Procurement Unit.

2.4.2. Categorisation

Understanding the needs of the Organisation and properly categorising them allows for the development of appropriate procurement strategies and, in the long term, the achievement of greater efficiency in the procurement of goods, services or works.

Accounts

Accounts in FIMS are currently the only way to classify a purchase. However, these elements do not allow for a clear and precise identification of each purchase. For example, the cost element "consultancy" represents the largest yearly turnover (€15.1 million in 2024). However, staff wishing to consult the market for a specific expertise could not use the information in FIMS to identify potential suppliers (the 3 016 consultants used in 2024 are not classified by activity/area of expertise: each consultant is mixed in the same consultancy group, without any possibility to differentiate them).

Common procurement vocabulary

Common procurement vocabulary(CPV) is a classification system for public procurement, which was developed by the European Union and is considered as a standard for categorisation purpose. The Council of Europe also uses CPV when publishing on the Official Journal of the European Union. If a call for tenders is published using the electronic tendering platform of the Organisation (see Chapter 6.1), CPV can also be used.

The Procurement Unit can help buyer entities identify the proper CPV code when publishing on the Official Journal of the European Union. Using the right code is important as suppliers search tenders on the Official Journal of the European Union using CPV codification.

Council of Europe procurement categories

To facilitate the identification of suppliers (for a future procurement procedure), the grouping of purchases (the volume effect can, in some cases, have a positive impact on the offers received), or the understanding of procurement processes, the Procurement Unit has set up a list of over 200 categories reflecting the different complexities of the Organisation's purchases. They have been used in the DGA since 2018 and, step by step, in other applications related to the procurement process, such as the following:

- workflow command: validation workflow (used in the DGA only)
- suppliers database: a reference of suppliers/providers who have worked or could work for the Council of Europe
- framework contracts and framework agreements database: a list of relevant existing framework contracts and framework agreements where each buyer entity can identify whether its need might already be covered, or not, by an existing contract (if this is the case, and if that contract can be used for that need, then it enables volume consolidation and time saving: no tender to launch, fewer suppliers to manage)
- electronic tendering platform: the paperless procurement platform used to publish calls for tenders at the Council of Europe (see Chapter 6.1)

In the long term, these categories will be deployed in further applications, such as FIMS, when registering new suppliers. A system based on key words will also be developed in order to make sure the existing categories are not too restrictive.

💡 A dedicated search tool is available to all Secretariat members seeking to identify the correct category for their need. While extensive efforts have been made to establish a list that is as representative as possible, colleagues are invited to contact the Procurement Unit if no category matches the foreseen need.

2.4.3. Common purchases – main features

This section presents some key information related to certain categories of purchases that are particularly common in the Council of Europe framework.

2.4.3.1. Purchase of intellectual services

Intellectual services are understood as knowledge-based services of high intellectual content, involving tasks that are essentially non-recurrent and of such a specialised nature that they cannot be performed by Secretariat members. Such services may entail the collection, production or manipulation of information and data. In short, it may be stated that they involve a “creation of the mind”. In the context of the Council of Europe, intellectual services typically include training delivery, curriculum drafting, reporting, production of analytical reports as well as of studies or research, design of communications or other materials, planning and development of programmes, as well as translation and interpretation. Intellectual services always give rise to questions of intellectual property rights. It is imperative that the correct template contracts are used to ensure this issue is handled properly.

The purchase of intellectual services (most often from consultants) constitutes the Organisation’s largest expenditure. These are strategic purchases for the Council of Europe and they are spread over a large number of service suppliers, most of whom are specialists in their own field of activities.

⚠ Attention must be drawn to the fact that the purchase of intellectual services presents several critical issues.

Disguised employment – Recourse to a consultant’s contract will only be made if the work cannot be done either by the Secretariat or by a member of a relevant committee as part of the work of this committee. In particular, the procurement of services that could or should be carried out by Council of Europe Secretariat members could lead to claims of disguised employment. This risk is increased when the consultants are hired for longer periods of time and there are no clearly defined deliverables.

Two examples of cases that should be avoided:



(i) Awarding a consultancy contract to Secretariat members of the Organisation whose temporary or fixed-term employment contract is soon to expire, in order to allow for a continuation of their work could constitute disguised employment and could be seen as circumventing the Staff Regulations. See also the relevant memorandum here regarding the employment of former staff.

(ii) another example is outsourcing of activities that are normally carried out by Secretariat members. This could be when consultants are involved in the implementation of projects in countries in which the Council of Europe does not have a field presence. In such contexts, consultants may appear to take on the role of project managers. To prevent this, they should not be given assignments that require a workload similar to full-time or part-time employment (40 or 20 hours per week). Consultants should also not act on behalf of the Organisation but should act only under the instructions of the Secretariat members in charge. They should not receive a Council of Europe e-mail address or office equipment such as laptops or mobile phones.

Periodic competition – buyer entities often build strong relationship with some consultants and/or to have trust in certain recognised experts in a given field, which may make them reluctant to consider new consultants. However, this situation should be avoided, as auditors have recalled on several occasions, that the principle of periodic competition must always be respected.

Therefore, it is essential to open the procedures for the purchasing of intellectual services to new potential suppliers as much as possible.

💡 This is all the more important as not all areas of expertise can be qualified as “niches” so as to justify the recourse to the same consultant(s). In some areas, systematically contracting with the same consultants prevents the Organisation from accessing new, perhaps more innovative, more creative or more advanced approaches.

It can also create a form of dependency between the Organisation and a consultant. For example, when the same consultant is repeatedly hired for project after project, gradually becoming the only expert able to cover the Organisation’s needs and, therefore, ends up considered as indispensable).

Transparency of procedures – It must be noted that the EU, which largely finances Council of Europe projects, is particularly vigilant regarding the transparency of the procedures for awarding contracts, including contracts for intellectual services. Therefore, it is also essential to respect the applicable principles and good practice in order not to jeopardise the Council of Europe’s donor agreements.

2.4.3.2. Other services

Other services cover all activities that do not fall under the categories of intellectual services. The main categories of services often purchased by the Council of Europe are outlined below.

Event-management services

The implementation of some activities – especially in co-operation projects – often requires obtaining event-management services from external suppliers. Such suppliers may typically be requested to provide a range of services, from booking accommodation to renting meeting rooms, from catering to transportation, etc.

For activities carried out by external offices, please note that framework agreements or framework contracts for the provision of event-management services are already in place in most offices. When this is the case, events should be organised through such pre-existing contracts. In case of doubt, please check with the DPC or the Procurement Unit whether there is already a framework agreement or framework contract in place for the country where you would like to organise an event.

If no pre-existing framework agreement or framework contract is in place, it is possible to conclude a new contract. Preference must be given to framework agreements since, for such services, deliverables are always extremely difficult to define in advance. When concluding a new contract for such services, it is necessary to determine whether a project-based approach or a sector-based approach should apply (see Chapter 2.5.4).

Please note that, in accordance with Article 7 of Rule No. 1395, booking of travel and accommodation for participants in events organised by the Council of Europe does not fall within the scope of the rule. This provision has been added in recognition of the fact that the purchase of travel and/or accommodation cannot generally be carried out in accordance with the Organisation’s usual procurement procedures. This article therefore exempts such purchases from the obligations of the rule and leaves only the requirement to take care to obtain the best possible prices and conditions.

💬 Please remember:

Article 7 applies when travel and/or accommodation only are purchased directly by the project team. If the project team purchases the

services of a travel agency or of an event-management company – which will provide the Council of Europe with a range of services including travel and accommodation for participants – this purchase indeed falls within the scope of the rule and must, therefore, be carried out in accordance with one of the three procurement procedures.

Transportation, printing, translations or interpretation

Transportation, printing, translations or interpretation services are often needed – although not exclusively – in connection with events.

For transportation and printing services, it is also necessary to highlight that many field offices have framework agreements or framework contracts already in place. If this is the case, you will be required to use the pre-existing contracts. Departments may consider concluding a new contract only if there is no contract available. The use of framework contracts or framework agreements is again highly recommended.

DLAPIL's templates are not specifically designed for the purchase of such services, although they may be used for them. Staff members should seek DLAPIL's advice when the need to modify a template arises.

Regarding translation and interpretation services (including the provision of technical equipment), several framework contracts are available in most countries where the Council of Europe implements activities. Such contracts are managed by the Directorate of General Services (translation) and Interpretation, Travel, Events and Multimedia (interpretation). Whenever you need such services, you must first check with the Procurement Unit and/or the dedicated website to see whether there is already a contract in place. If this is the case, you must order the services under the existing contract. If an amendment to any of these contracts is required:

- Contact ITEM for framework contracts on Interpretation.
- Contact the Procurement Unit (DGA) for framework contracts on Translation.

Please ensure that the appropriate unit is consulted before proceeding with any amendments.

Visibility and communication

Activities and expenditure related to communications, including contracts for campaigns, publications, brochures and social media services, regardless of the intended audience (stakeholders, external communications, etc.) must be approved by the Directorate of Communications (DC). DC can be contacted thanks to the following two MAS: 9102 for video production, 9011 for visibility objects.

Moreover, all communication and visibility materials must meet the appropriate visual identity requirements as set out in the Council of Europe Visual Identity Manual. For the materials developed under the extrabudgetary funding, please consult the DPC to address donor-specific requirements concerning their respective visibility or communication policy.

IT services

IT services may be considered as a separate category due to the specific issues which arise in this type of procurement. IT/internet firms may offer both server-hosting (general services) and web design (intellectual services), therefore the specific issues raised by both these types of contracts must also be handled. In particular, it is important to consider intellectual property rights as well as rights to publication and control over websites and other information tools.



IT services may include website development, content migration, software development, website maintenance and hosting, etc.

IT may also include other technological needs of the Organisation, such as the provision of computer equipment, hardware and software, and communications.

The Procurement Unit has drafted a number of templates and sets of general and special conditions specifically for the procurement of IT services. They were developed together with DLAPIL and are available through the Procurement Unit. The templates on the DLAPIL intranet site remain best suited for general intellectual services and in particular consultancy services.

Please keep in mind also that the new Policy on the use of the Council of Europe's Information System stipulates that any contract with an external provider that requires providing access to the Council of Europe's information system for the performance of the contract must contain an explicit reference to the policy and any relevant supplementary texts.

Please consult the Procurement Unit should you need to conclude an IT contract.

Even though the EDQM has its own in-house IT and Building and Maintenance teams (see Chapter 2.2.3), it is invited to contact the DIT and the DGS for any upcoming projects or works, in order to benefit also from their expertise.

The DIT must approve any purchase of IT services. Please use multiservice assistant (MSA) 1002 to request permission.

If the deliverables include or entail the use of cloud services, the provider is required to complete the Cloud Checklist and submit it with their offer. Failure to include the completed Cloud Checklist may result in exclusion of bids. This requirement should be clearly stated in the tender file from the outset of the procurement procedure, and the Cloud Checklist template should be attached to the tender documentation.

2.4.3.3. Goods

Goods include all tangible items or objects that are the product of an agricultural, construction, extraction or manufacturing process. The Council of Europe purchases goods that already exist or are manufactured to order.

2.4.3.4. Works

Works may cover a wide range of activities (structural work, maintenance, etc.). The specific features of this category are based on the fact that suppliers must have specific qualifications and/or certifications, generally required by the regulations of the country where the work is carried out.

The DGS is in charge of this type of activity and must be called upon for any works on the Organisation's buildings. See previous footnote. It can also be called upon for projects involving this type of service, in order to provide its expertise.

2.4.3.5. Use of Artificial Intelligence (AI)

The Council of Europe recognises the utility of artificial intelligence (AI) applications as tools for a wide range of professional activities, including research, translation, drafting, graphic design, video production, photo editing, data analysis, and other services. At the same time, it strives to secure and protect intellectual property rights over the deliverables it purchases.

In the interest of transparency, and in accordance with publishing industry standards, the use of these tools must be clearly stated by authors, and any passages drafted or translated by generative AI must be indicated, with the name of the tool used.

In order to track the usage of AI in the work of our suppliers, Act of Engagements and Tender Files have been modified to include a reference to AI usage. A template (AI questionnaire), drafted by DLAPIL, should be completed by Providers and submitted to the buying entity when AI tools have been used in producing deliverables ordered by the Council of Europe. This template should be saved together with the file.

Three things to remember:

- legal risk: AI cannot guarantee compliance with copyright law, as it draws from publicly available data and works that are still protected by copyright, without necessarily having the right to do so;
- copyright: text generated by AI is not protected by copyright and may contain hallucinations and substantive errors that must be checked;
- data confidentiality: the confidentiality of Council of Europe data (e.g. texts and photos, etc.) is no longer guaranteed when they are shared with free, open-access, unregulated AI tools.

2.5. General considerations on procurement in the context of co-operation activities

The aim of this section is to support buyer entities in the procurement of services and goods for the co-operation projects they implement. While the instructions are specifically developed to support the co-operation pillar, the guidelines also apply to the procurement of services and goods for the implementation of targeted co-operation activities in standard setting and monitoring.

2.5.1. What is a co-operation project?

The Council of Europe's mandate revolves, in essence, around what is known as the dynamic triangle of:

- the standards developed by the Council of Europe in its three main areas of activity
- the conclusions and recommendations of the Council of Europe's monitoring mechanisms, which single out the areas where improvements are needed
- the technical co-operation programmes established largely on the basis of the monitoring conclusions and recommendations

Co-operation projects and activities fall under the third pillar of the triangle and aim to support member states in reviewing their laws and practices in the light of the standards and policies of the Council of Europe and enhancing their capacity. Co-operation projects are conducted mostly in the field (in member states of the Council of Europe and other states) through co-operation programmes funded, to a significant extent, by extrabudgetary resources, such as funds provided by the European Union or voluntary contributions made by member states or other states.

💡 All co-operation projects are operated according to the Project Management Methodology (PMM) which includes a handbook, further guidance on a dedicated website and a tailor-made PMM IT tool. Co-operation projects are mostly implemented by the Directorate General of Human Rights and Rule of Law and the Directorate General of Democracy and Human Dignity, also with the involvement of project staff in the field.

The exact scope of each co-operation project is tailored to the specific needs of the country and/or beneficiaries targeted under the project, also in light of the donor's requirements and priorities (when the project is funded by extrabudgetary resources). That said, most co-operation projects usually foresee capacity-building activities, such as:

- needs assessment studies and provision of expert opinions on legislation and policy papers
- organisation of round tables on proposed strategies, action plans or draft legislation
- study visits to Council of Europe member states to facilitate the exchange of information and establish professional relations with colleagues from other countries
- working groups and expert meetings to develop training programmes, materials and revised legislation
- training sessions to disseminate information and acquire new knowledge

2.5.2. The role of the Directorate of Programme Co-ordination

The DPC plays a crucial role in the setting-up and management of co-operation projects. The DPC co-ordinates programming and resource mobilisation for co-operation projects financed through extrabudgetary resources, as well as their decentralised management through Council of Europe headquarters and external offices. The DPC also provides relevant contributions to co-operation programme development work, ensures compliance of co-operation activities with the project management methodology/result-based management, assesses potential risks, proposes relevant mitigation actions and reports on the results.

The division of roles in respect of each co-operation project is described in the memorandum of delegation and can be consulted on the PMM IT tool.

2.5.3. Who does what in co-operation projects?

The implementation of co-operation projects funded by extrabudgetary resources normally involves Secretariat members based in external offices with the head of office performing functions of the CCM along with staff in Strasbourg.

- The project staff in external offices ensure implementation of project activities and their quality; they are also the primary contact for national beneficiaries and project partners. As regards procurement, project staff in external offices prepare forecasts and budget estimates and circulate work plans to Strasbourg-based teams which are subsequently validated by the CCM.
- Strasbourg-based staff co-ordinate programme development and oversight, they have knowledge of relevant monitoring results and standards and bring this knowledge to programme planning and implementation.

In countries where there is no field presence, co-operation activities, including those that are funded through extrabudgetary resources, are implemented directly by the Strasbourg programme teams. The respective CCMs are based in Strasbourg.

2.5.4. Classic procurement needs in co-operation projects

In most co-operation projects, the following are often required:

- intellectual services
- event-management services
- other services (transportation, printing, interpretation, translation)
- goods or services for project beneficiaries

Intellectual services: national and international consultants

In addition to the information already provided above on the purchase of intellectual services (see Chapter 2.4.3.1), the following additional information should also be kept in mind when purchasing intellectual services under co-operation projects.

First of all, it must be noted that when acquiring intellectual services in co-operation projects, the use of framework contracts (based on a time-based unit such as daily fees) is highly recommended (see Chapter 3.3).

Second, it may occur that within the same project there is a need for both “national” and “international” consultancy services. Such a difference may be relevant when (all or part of) the activities foreseen by a project require working in close co-operation and co-ordination with local stakeholders/beneficiaries and/or where the work to be carried out presupposes in-depth knowledge of the local context, legislation and/or language, etc. In this case, “national consultants” – that is consultants with the required knowledge of the local or national context, policies and legislation, and with the necessary language skills – may be needed for the implementation of the project.

> **Please remember:**
>
> In this connection, it must be stressed that the distinction between international and national consultants can only be based on expertise, knowledge, competences and/or language skills. Nationality and/or place of residence cannot play a role.

In order to control the usage of AI tools by consultants, the Tender Files templates include a reference to the AI questionnaire that should be completed by consultants upon the execution of their contract (see also Chapter 2.4.3.5).

Event organisation, transportation, printing, interpretation, translation

Co-operation activities often require event organisation, transportation, printing, interpretation and translation services. As discussed previously, framework agreements or framework contracts are already in place in many external offices and/or at headquarters to cover such needs. Departments may consider concluding a new contract only if there is no pre-existing contract. When this is the case, it will be necessary to determine whether a project-based approach or a sector-based approach should apply (see Chapter 4.4).

⚠ When the project requires the hiring of an interpreter outside the existing Framework Contract, please contact ITEM.

Other purchases

IT hardware and software services are also often purchased under co-operation projects, usually for the benefit of national beneficiaries. Typically, this happens when IT equipment, hardware and/or software are provided to national beneficiaries. However, goods (medical equipment, supplies, technical equipment, etc.) are often also purchased under such projects, once again usually for national beneficiaries.

The first question to answer when implementing project activities of this kind is whether the activity should be carried out by means of procurement or granting (see Chapter 1.1.3) for a more detailed discussion on the difference between procurement contracts and grant agreements). When it has been ascertained that such activities should be implemented through procurement of the relevant services or goods, the present guidelines must be followed.

2.5.5. The role of (and boundaries imposed by) the project description and budget

The scope of procurement planned under co-operation projects is fixed at a preliminary stage, when the project’s description and related budget are developed and finalised.

Budgets can be consulted in the Project Management Methodology tool with the purchase of services, works and goods split between different budget lines. Any activity under a co-operation project – whether it involves the procurement of goods, services or works, or not – must be implemented in accordance with the adopted description of the action and budget.

That said, it is important that any project agreement under a voluntary contribution or joint programme is carefully reviewed before signing, to avoid the risk of the Organisation inadvertently committing itself to undertake procurement in a manner that is not in line with the Council of Europe’s Financial Regulations. As far as possible, it is important to try and foresee – already at the drafting stage of the project – what role procurement will play and, more specifically, what goods, services or works will need to be procured, with a view to correctly reflecting this in the project description and budget accordingly. In this context, it is essential to ensure that the correct contractual instrument is foreseen for the implementation of a given activity under the description of the action and project (see Chapter 1.1.3).

It is important to note that, when the project description and related budget have been approved, it may be difficult to amend them, in particular when the project is funded by extrabudgetary resources, be it voluntary contributions or funds of the European Union. This may be problematic when the wrong contractual instrument is identified for the implementation of a given activity. The correct contractual instrument can be used only after the description of the action budget has been amended in agreement with the donor.

Chapter 3 – Types of contracts

3.1. Choosing the type of contract: general considerations

The type of contract does not determine the type of procedure. The choice of the type of contract to be used ultimately depends on how well defined the buyer entity’s needs are and on whether they will be repetitive during the period of reference considered. In short, three main scenarios are possible, based on whether the deliverables needed are:

- quantifiable, definable and very unlikely to occur again: one-off contract
- definable as units, not 100% quantifiable in terms of volume, but likely to occur on a frequent basis: framework contract
- regular but relatively variable, changeable, uncertain or complex: framework agreement

🤝 Procurement advice

A contract is not a procurement procedure, and vice versa.

A contract is an agreement, outlining mutual rights and obligations, concluded between the Council of Europe and one or several suppliers for the purchase of services, goods and/or works.

A procurement procedure is the process that must be followed for the contract to be awarded and signed. It usually entails launching a call for tenders to receive offers from the market.

3.2. One-off contracts

A one-off contract is a simple contractual relationship. It involves the conclusion of a contract with a single supplier for payment in return for a defined set of goods, services or works to be provided by a certain deadline.

A one-off contract can only be concluded with a single supplier (including possibly a consortium or joint venture). There is therefore no possibility to create a short list of qualified suppliers. It is, however, possible to split a one-off contract in several lots and to award each lot to a different supplier.

💡 The required goods and/or services to be bought through a one-off contract must be well defined in terms of price, technical specifications and volume or quantity. One-off contracts can be used for a high volume of goods or services, but only when the exact quantity needed is determined. Where it is possible to foresee repeated purchases of the same character – or when doubts exist on the volume needed – a framework contract is more appropriate.

A one-off contract lasts until completion of the obligations of the parties. It is not legally correct to stipulate a termination date. However, a delivery deadline (a given date, not a month) must be clearly stipulated for each deliverable. Also, a one-off contract cannot be renewed.

⚠ One-off contracts should not be used to contract with the same supplier on separate occasions for similar services, such as where multiple training events are to be led by the same consultant, or where the items needed cannot be easily quantified in advance. Instead, framework contracts should be used. Similarly, when an ad hoc need becomes structural, one should envisage using another type of contract.

Failing to anticipate structural or repetitive needs, and therefore awarding several small one-off contracts for services which address the same, identifiable need that could have been covered by a single contract, is known as artificial splitting and is not allowed (see Chapter 4.5.3).

The type of procedure to be followed does not depend on the type of contract, but rather on the value of the contract. All three types of procedures (international public call for tender, competitive bidding procedure or a direct award procedure) are compatible with the one-off contract.

3.3. Framework contracts

⚠ Each time a need which is covered in the framework contract arises, the buyer entity must proceed with ordering the services, goods and/or works from the selected supplier(s).

3.3.1. Main features

The very purpose of a framework contract is to fix the prices of already defined items or units of work (such as pages, tangible items or time-based units) for a given period of time, during which the Council of Europe reserves the right to buy or not to buy these items or units of work. Once the framework contract is concluded, the selected supplier(s) may be requested to provide goods and/or services throughout the duration of the framework contract as and when a need arises. When a need arises, an order is given to a selected supplier to buy the items in accordance with the terms of the framework contract. Therefore, the total volume of items to be procured is not contractually fixed, but unit prices are fixed and cannot be changed by the buyer or seller for the duration of the contract.

A framework contract may involve the conclusion of a contract with either a single supplier (simple framework contract) or with several suppliers (multiple framework contract).

When should it be used?

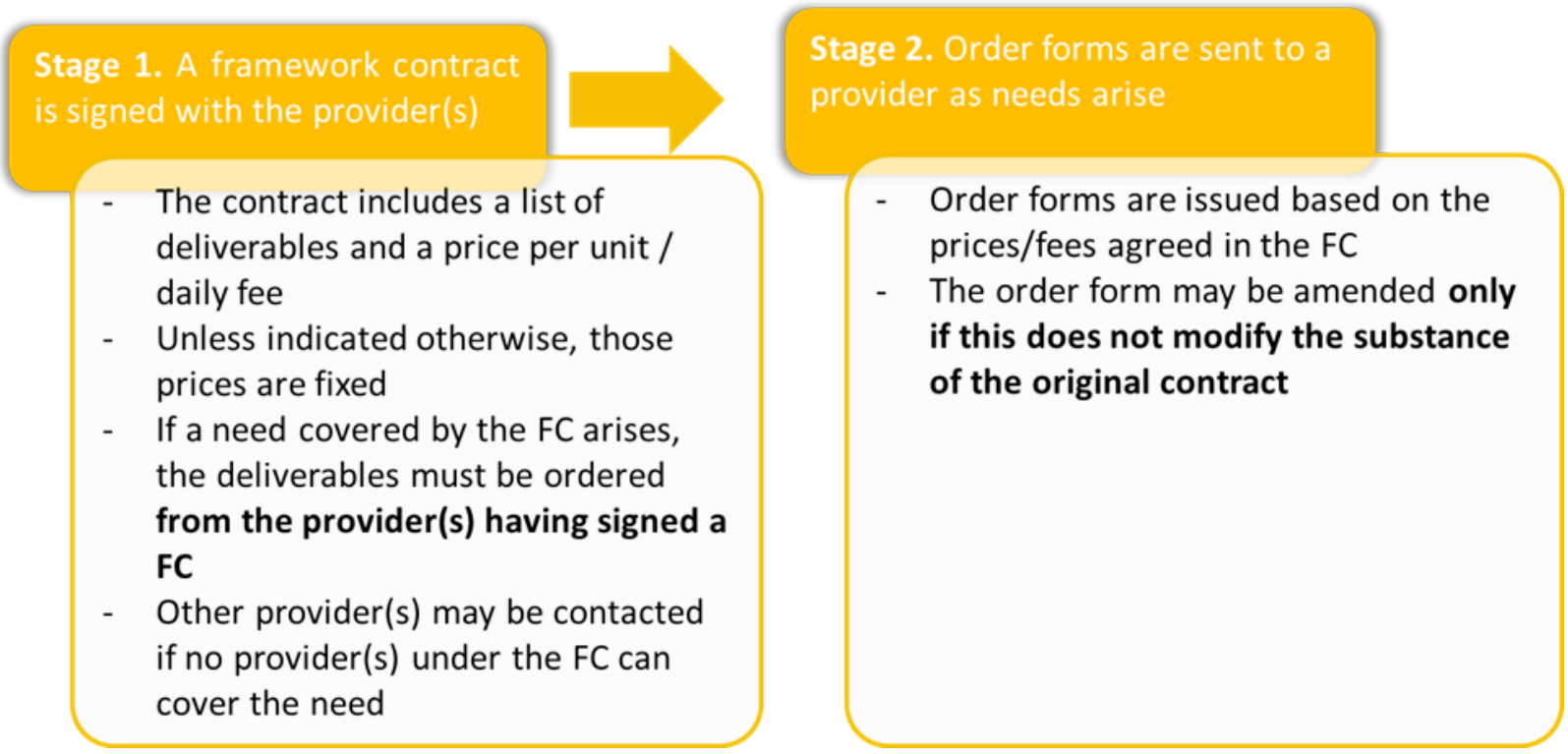
Framework contracts are relevant when the needs are definable as units and likely to occur on a frequent basis but are not 100% quantifiable in terms of volume. They enable project teams to plan their expenditures in advance and to ensure the availability, on relatively short notice, of consultants or other goods and services, by agreeing on the price for certain goods or services for the duration of the framework contract. Examples could include a need that arises many times, repetitively, in the context of a project, or within a given sector of the Organisation.



A project requires the repetitive intervention of a consultant for cybercrime training sessions offered in various formats: one hour, half-day, or full day , either by videoconference or in person in Strasbourg. The framework contract will be relevant because it could set-up a price list for each session format (duration and location) allowing the buyer entity to place orders based on its specific needs at any given time during the duration of the framework contract.

3.3.2. How does it work?

The framework contract operates in two stages.



⚠ Only the items or units listed in the framework contract can be procured through that contract. Any new item or unit must be bought through another contract or procedure. It is therefore important to ensure that the list of items or units included in the framework contract is as exhaustive as possible.

There is no minimum duration for a framework contract. The start and end may naturally coincide with the needs of teams during a given period of reference, such as the length of a project. Framework contracts should not last more than four years (five years in exceptional circumstances) in order to respect the principle of non-exclusivity (periodic competitive tendering – see Chapter 1.1.1).

⚠ When setting up a new multiple framework contract, it is essential to avoid any overlap with existing framework contracts covering similar services. Overlaps among contracts create confusion and legal uncertainty. If an overlap occurs, it will be necessary to keep ordering under the pre-existing framework contract until its expiration. Only then may services be ordered under the new framework contract.

First stage: conclusion of the framework contract

Simple framework contract v. multiple framework contract

A framework contract may be simple or multiple, that is, it may be concluded with one (simple) or several (multiple) selected tenderers. In case of a multiple framework contract, the maximum number of suppliers to be selected must be clearly indicated in the call for tenders. Where there are several selected tenderers, the tender documents must explain clearly which ordering system will be used to determine who the buyer entity will order from each time a need arises (see pooling v. ranking below).

PROCUREMENT TIPS
It is advisable, that **the number of selected suppliers** under a multiple FC is kept to a reasonable level. While contracting a large number of suppliers might seem reassuring – helping to reduce the risk of being unable to have the required goods or services – it can also make the tender less attractive, potentially resulting in fewer offers. Moreover, it may create frustration among the selected suppliers , if many of them are not called during the contract lifetime.

Pooling v. ranking

Prior to the launch of the tendering procedure, the buyer entity must choose whether to establish a ranking or a pool of selected suppliers. Such a choice must be clearly indicated in the tender documents so that suppliers know which ordering system will apply.

Under a ranking system, the suppliers are ranked by their scores in the tenders' assessment procedure. The first in the list has priority for receiving all order forms under the framework contract. In case the first ranked supplier fails to reply before the deadline set in the tender file or is unavailable to carry out the required tasks, the second supplier is contacted, and so on down the list. A ranking system is recommended for framework contracts for the purchase of goods or general services.

Under a pooling system, all selected suppliers are equally ranked, and the buyer entity decides based on objective assessment which one provides the best value for money for each order. The criteria to be applied in selecting the supplier(s) for each order must be indicated in the tender documents. If using DLAPIL's templates, the following criteria are included by default:

- quality (including as appropriate: capability, expertise, past performance, availability of resources and proposed methods of undertaking the work)
- availability (including, without limitation, capacity to meet required deadlines and, where relevant, geographical location), and
- price

The choice of the supplier(s) must be duly justified (referring to the criteria referred to above) in a note for the file to be approved by the CCM.

Where a buyer entity would like to set a minimum score for tenderers to be included in a pool of suppliers, this should be expressly included in the tender file. This allows the buyer entity to include in the pool only the suppliers with a score equivalent to or higher than the threshold set in the tender file.

If no minimum score is indicated in the tender file, all eligible suppliers – up to the maximum number of suppliers indicated in the tender file – will have to be admitted to the pools.

To summarize…

- **Pooling** is way more interesting on the long term as the buyer entity can easily change from one Consultant to another depending on the specific need / topic it wants to cover.

- **Ranking** might be interesting in some specific cases but is not recommended for Intellectual Services.

🤝 PROCUREMENT TIPS
1- Pooling is an effective way to ensure that enough suppliers are available when needs arise. However, as mentioned above, the number of suppliers should be carefully considered.
For very large projects, or when the framework contract will be used many entities within the Organisation, it might be worth having a higher number of suppliers.
However, for smaller projects, the number should be limited. Otherwise, there is high risk that not all suppliers will be called upon, leading to their overall frustration.
To help to decide the appropriate number of suppliers, the buyer entity can divide the estimated budget for the framework contract by the number of consultants planned. If the turnover per consultant seems too low, it may be better to reduce the number of selected consultants.
Another approach is to consider the number of activities planned under the framework contract and check whether the number of suppliers is reasonable compared to the number of planned activities.
2- In specific cases, other selection methods may be used for allocation of orders – such as for example rota ordering or quotas. However, it is essential to indicate any such arrangements in the tender documents. Once the tender is published, the ordering methodology (how suppliers will be selected for each assignment) cannot be changed. Therefore, it is important to define it carefully from the outset.

Second stage: ordering procedure

Once a framework contract has been concluded, the Council of Europe is under no obligation to buy the goods or services that it covers (unless the contract provides otherwise): this ensures flexibility and adaptability to changing circumstances.

However, each time a need which is covered by the framework contract arises, the buyer entity must order from the supplier(s) included the framework contract (as opposed to ordering the targeted goods or services from any other supplier outside the framework contract), according to the system foreseen in the tender documents (ranking or pooling).

💡 Under a pooling system, the buyer entity should bear in mind that ordering systematically from the same supplier(s) rather than from the rest of the pool may create frustration among the other suppliers and discourage them from participating in future procedures. This is why a fair analysis must be made (award criteria) for each new need, in order to identify which provider, in the pool, is best suited to that new need. The buyer entity is invited to fill in a note for the file to justify its choices. Among other criteria, past performance, under the same contract, can be used to choose the best provider for the assignment (Pooling systems only). However, past performance (positive or negative) can't be the unique and decisive criterion to issue, or not, an Order Form.

Only in exceptional cases, namely when no supplier included in the framework contract can accept an order form, the goods or services needed may be procured from a supplier outside the framework contract.



A buyer entity has signed a framework contract regarding training sessions for IT security, with various topics included. If a new need arises regarding "cybercrime", then such new training sessions could probably be added. However, if the buyer entity wishes to add new lines regarding "Microsoft Office training", then such amendment should be impossible as it is not related to IT security.

⚠ No order forms can be created after the end date of the corresponding framework contract. However, an order form created before the end date can continue after the end of the framework contract. When doing so, the buyer entity should make sure that such order forms do not cover too long a period (usually no more than two or maximum three months): a new framework contract should be concluded as soon as possible.

Reminder:
The deadline for delivery must fall within the project's implementation period (when the above arises in the framework of a cooperation project).

3.3.3. Framework contracts for goods and general services v. framework contracts for intellectual services

It is necessary to highlight that the structure of a framework contract for the provision of intellectual services will usually differ, quite significantly, from the structure of a framework contract for the provision of goods or general services. In the latter case, the contract will include an exhaustive list of all the items or services to be purchased – expressed as units – as well as a unit price for each item or service. In the former case, it is usually recommended to opt for a time-based unit of work (hourly fee, daily fee, etc.), to indicate the field of expertise covered by the contract and to give examples of typical deliverables; it will then be possible to order other types of deliverables provided they are related to the same or a related field of expertise.

3.4. Framework agreements

Each time a need which is covered in the framework agreement arises, the buyer entity must proceed with ordering the services, goods and/or works from the selected supplier(s).

3.4.1. Main features

A framework agreement involves the conclusion of an agreement with a certain number of suppliers following an initial procedure, in order to establish a preferential relationship with those suppliers. Those suppliers form a pool of eligible contractors. Once the framework agreement is concluded, and every time a need for services or goods arises, the buyer entity organises a subsequent competition (call-off) among these eligible contractors to choose the one(s) who will provide the relevant goods or services.

When should it be used?

Framework agreements are particularly relevant when needs are regular but relatively variable, changeable, uncertain or complex. They are appropriate in situations where neither the precise deliverables required, nor the quantity or volume required, is known. Examples of services that are usually covered by framework agreements are event management, printing and transportation.

As opposed to framework contracts, it is not necessary to define upfront all the items or units of work which the Council of Europe may wish to buy for the conclusion of a framework agreement. Instead, the framework agreement defines the type or scope of goods or services for which the Council of Europe must consult the selected suppliers when it needs to buy such a good or service. The selection of the supplier from whom goods or services will be bought is

made by a call-off, a type of mini-competition in which each of the selected suppliers propose a price for the goods or services sought by the Council of Europe.



A project aims to engage consultants to deliver training sessions on IT risks and challenges related to new technologies. Since this field evolves rapidly, it would be too limiting to frame the contract around narrow topics (such as cybercrime, social networks, etc.). For example, a trainer who is specialising in cybercrime today may not be suitable to cover new topics that arise in three or four years. To ensure adaptability, the buyer entity could consider using a framework agreement covering IT risks and new technologies more broadly. A group of trainers can be selected and benchmarked during the term of the contract on specific topics as they become relevant, based on their expertise.

💡 A framework agreement may be more burdensome from an administrative point of view, as it requires the organisation of a “mini-competition” each time a new need arises. For this reason, framework agreements are rarely recommended for an estimated expenditure below €184 000.

There is no minimum duration for a framework agreement. The start and end may naturally coincide with the needs of teams during a given period of reference, such as a project. Framework agreements should not, however, last more than four years (five years in exceptional circumstances), in order to respect the principle of non-exclusivity.

Framework agreements can only be multiple. It is recommended that a minimum of three suppliers per lot, or per framework agreement if there are no lots, be selected. This is to ensure that the call-offs are competitive.

3.4.2. How does it work?

First stage: conclusion of the framework agreement

Following a procurement procedure, a pool of suppliers❓ A minimum of three suppliers will allow for fair competition during the following call-offs markets competitions. for a particular need is established and all the suppliers selected sign the framework agreement. The selection is made based on competences, expertise and/or capacity, etc. in accordance with the exclusion and eligibility criteria indicated in the tender file.In case the number of eligible tenderers exceeds the maximum number of suppliers to be selected indicated in the file, the tenderers who score the highest on the basis of the award criteria laid down in the tender file will be selected. At this stage, the suppliers’ financial competitiveness is not taken into account (although a template of a financial appendix can be attached to the tender as an example, when needed, it does not constitute any kind of financial offer). The description of the services covered by the framework agreement does not have to be too detailed: each call-off will have its own specifications.

Once a framework agreement has been concluded, the Council of Europe is not under any obligation to proceed with purchasing – this provides some flexibility when plans (like budget availability) need to change. However, each time a need covered by the framework agreement arises, the buyer entity must launch a call-off among the selected suppliers. There are no limitations to the number of call-offs that can be organised during the duration of the framework agreement, provided that the relevant thresholds are respected.

Second stage: call-off

As needs arise, call-offs are launched among the suppliers selected in stage one (it is not possible to invite other suppliers to participate). Each call-off should be approved by CCM ahead of its publication.

For each call-off, the preselected suppliers will be notified of the terms of reference or specifications and, where relevant, additional applicable tender rules and legal conditions. Call-offs will be tailored to the specific needs of the buyer entity (but always within the scope of the services covered by the framework agreement). Suppliers will be selected in accordance with the award criteria laid down in the framework agreement or, where relevant, in the call-offs themselves.

💡 There are no limits to the award of call-offs to the same contractor. If a supplier fails to justify more than three times the non-participation in a call-off or if its bids are systematically higher (more than 20%) than the average market price, the framework agreement with the supplier may be terminated. This possibility must, however, be specified in advance in the tender documents.

The award of call-offs with a single value exceeding €184 000 must be submitted to the Tenders Board for approval (CCM only below this threshold).

No call-offs can be created after the end date of the corresponding framework agreement. However, a call-off created before the end date can continue after the end of the framework agreement. When doing so, the buyer entity should make sure that such call-off does not exceed the contract's expiration date by more than two to three months: a new framework agreement should be concluded as soon as possible. Reminder: the deadline for delivery must fall within the project’s implementation period (when the above arises in the framework of a cooperation project).

📌 Tutorial – How do the different types of contracts work?

3.5 Shared use of framework contracts and framework agreements across the Council of Europe

🤝 PROCUREMENT TIPS
Shared use of framework contracts and framework agreements is encouraged throughout the Council of Europe. This approach increases efficiency and reduces administrative workload by allowing different buying entities to benefit from existing contractual frameworks.
As a general rule, FCs and FAs awarded through an international public call for tenders, using the 2025 templates and including the explicit shared use clause, are available for use by the entire Organisation. If another buying entity has a similar need within the contract’s scope and conditions, it should use the existing FC or FA rather than launching a new procurement procedure.
Only FCs and FAs that meet all of the following criteria may be used Organisation wide: - concluded via an international public call for tenders – it is not recommended to share contracts concluded via a competitive bidding procedure;
- based on the templates from 2025 onwards;
- contain an explicit shared-use clause.
Please note that the above does not apply to one-off contracts. One-off contracts cannot be shared with other entities.

FCs and FAs are managed by the buying entity that launched the procurement procedure and concluded the contracts (managing entity). If another buying entity intends to use the contract for a similar need (using entity), it must inform the managing entity in advance.

Currently, no dedicated tools are in place to track spend per contract. Until such tools are available, usage must be tracked in a shared Excel file (see link below for examples).

Accurate tracking ensures the Tenders Board is promptly informed if cumulative usage approaches or is likely to exceed the original forecasted contract value.

When a buying entity uses an existing FC or FA, that was concluded and managed by another entity, it will be directly responsible for the PO creation and ordering process (Order form on a FC or Call-offs on a FA).

When to consider shared use

Before launching a new procurement procedure, always check for the existence of an FC or FA that meets your needs. Using an existing contract saves time and resources for all involved.

Step-by-step procedure

- Identify your need and determine if your procurement fits within the scope of an existing FC or FA. In case of doubt, consult DLAPIL or the Procurement Unit.
- Confirm that the contract was concluded using the most recent template (including the clause permitting shared use) and was awarded following an international public call for tenders.
- Inform the entity that originally launched and manages the contract of your intention to use it.
- The entity that intends to use an existing contract is responsible for creating its own purchase orders and processing all orders (use the order form for FCs, or call-offs for FAs).
- Both the managing and using entities should track all usage and expenditures in a shared Excel file to ensure transparency (see provided link).
- If cumulative usage approaches the originally forecasted contract value, the managing entity must promptly inform the Tenders Board.

📌 Link to the shared Council of Europe database of framework contracts and framework agreements.

Chapter 4 – The procurement process

4.1. Introduction: chronology of the procurement process

The direct award of a contract includes the following main stages:

- definition of needs and identification of the applicable threshold (see Chapter 4.5)
- market analysis (see Chapter 4.2)
- request submitted to the CCM or the Tenders Board seeking authorisation to award a contract directly
- direct negotiation with the selected supplier
- conclusion of the contract
- monitoring of the contract's execution

💡 For direct award for purchases with a value of more than €2 000/€6 000, please refer to Chapter 4.6.1. However, always bear in mind that the direct award of a contract should only be made in exceptional circumstances, in accordance with the applicable rules. It is highlighted that, even for direct awards, steps like market analysis (Chapter 4.2) or search for suppliers (Chapter 4.3) are recommended, even if you consider a direct award, to ensure that better suppliers or solutions are not available on the market.

A competitive bidding procedure and international public call for tenders can, on the other hand, be split into three main stages covering the following main activities.

- **Before the procurement procedure**: future needs (short, medium and long term) are considered and defined. The following activities can be carried out to optimise your future tender: market analysis, research of potential suppliers, checking whether an existing contract could be used for obtaining the goods or services needed, etc.
- **The procurement procedure itself**: the buyer entity prepares all the documents for the procedure with the aim of laying out the relevant rules, criteria and requirements while ensuring competition and increasing the chances that a sufficient number of quality offers will be submitted. The call for tenders procedure ends when a decision on the award of the contract(s) is taken and a contract is signed by one or more selected supplier(s).
- **After the procurement procedure**: monitoring the performance of the contract makes it possible to determine whether the choice of the selected supplier(s) is relevant or not (Is it necessary to impose penalties? Is the execution delayed?). Analysing the available statistics in order to better develop possible long-term action plans is also a key factor for the improvement of future procedures.

These steps, for purchases with a value of more than €2 000/€6 000, are detailed chronologically in the following pages.

⚠️ Before starting and spending time on a procedure, obtaining the green light from the CCM for a purchase is mandatory. See Chapter 4.9 on this topic.

🤝 Procurement advice

By respecting the sequence of these steps, the buyer entity increases its chances of receiving interesting offers that will contribute to the success of its project. Some of these steps are mandatory and some should be regarded as good practice for improving the performance of any procedure

4.2. Ground work: analysis of the market

📌 Tutorial – How to identify your needs?

Why should you organise a market analysis?

A market analysis allows for:

- the identification of new suppliers who could potentially provide the goods or services needed and submit an offer in the framework of a procurement procedure
- the preparation of tender documents in line with the specificities of the market, aiming at a satisfactory response rate (quality and quantity of tenders submitted) and an efficient execution of the future contract
- the identification of alternative or innovative proposals (technology watch) and performance opportunities (economic, but not only)
- the identification of risks and opportunities

Market study is an essential exercise in order to satisfy the Organisation's needs and is instrumental for any successful sourcing process, particularly if the goods, services or works have not been procured previously.

How does it work?

In addition to the buyer entity's knowledge of the market (trends, existing solutions, main suppliers, etc), a market study covering the expected needs for the medium or long term can be carried out. This is a matter of collecting and analysing information about sector capabilities and overall market supply. This can be done through the use of external and/or internal sources.

The following external sources are valuable sources of information in the market study.

For the procurement needs concerning works, goods and technical services:

- commercial or specialised journals and magazines
- chambers of commerce, trade delegations, embassies
- end users, clients
- business seminars, providers catalogues, professional journals, trade publications

For the procurement needs concerning intellectual consultancy:

- researchgate.net
- academia.edu
- scholar.google.com
- specialised journals
- scientific, or professional, national and international associations
- Linkedin.com

The following internal sources can also be a good starting point for the market study:

- existing contracts, pooling and, if existing for a certain need, prequalified lists of providers (check the databases on the Procurement page)
- previous lists of invitees within the same field
- market study supported by the Procurement Unit

Procurement advice

Regularly check the **existing contracts list**: updates are frequently made and new contracts are added.
Want to add your contract? Contact the Procurement Unit.

Care should be taken to ensure that small- and medium-sized enterprises, not-for-profit, minority-, women-owned businesses and/or disability-inclusive suppliers are not excluded from the market study. Periodical reassessment of markets is recommended in order to remain up to date with evolutions and new players.

Procurement advice

The Network of Procurement in International Organizations (NPIO) is a network of professional buyers working in 40+ international organisations. The Procurement Unit can easily address this network for advice on specific topics in order to take into consideration their experience and best practices.

Procurement strategy

Procurement strategy identifies priorities, courses of action and expected outcomes, taking into account the evolution of the Council of Europe's institutional, budgetary and operational context.

Strategic procurement efforts should focus on categories presenting the greatest financial, operational, reputational or risk-related significance. Procurement approaches should also be adapted to the characteristics of relevant markets, the complexity of needs, the level of competition, and the potential for value creation.

For digital and technology-related categories, it is important to consider issues such as relying too much on one supplier (risk of dependency), having limited options in the market (market concentration), making sure different systems can work together (risk of interoperability constraints), and the difficulties of changing suppliers in the future (due to potential switching costs). Thinking about these factors helps the Organisation stay flexible and able to adapt as needs change.

The notion of procurement strategy should be understood as the process that allows the Organisation to carry out a purchase in the most efficient and quality enhancing manner (which could be translated by: "the result of my call for tenders will enable me to purchase the right service, for the right price, at the right time and of the right quality").

An effective procurement strategy will achieve the following results:

- the diversity of the offers submitted allows the buyer entity to choose the one that best meets its requirements
- the effort put into this purchase is consistent in terms of workload
- the supplier selected offers the best value for money

The effectiveness of a procurement strategy may be increased by considering the following:

- dividing contracts into lots: dividing a contract into several smaller lots increases competition, as it allows smaller or more specialised suppliers to bid for only one of the lots (see Chapter 4.8.2)
- the conclusion of framework contracts: framework contracts reduce administrative tasks, as the procurement procedure is carried out only once and goods or services are purchased directly from the selected supplier(s) (see Chapter 3.3)
- sharing an existing contract with other Council of Europe entities: the Council of Europe has a large number of framework contracts and framework agreements for all types of services. These contracts might cover some of the needs that would normally be purchased by another entity through separate tenders (see Chapters 4.1, 4.2 and 4.4)

These opportunities, and many more, are developed in detail in this guide.

4.3. Search for suppliers

4.3.1. Identification of new suppliers

The Council of Europe has a very large database of suppliers (over 50 000 entries in FIMS). However, the renewal rate of active suppliers is very low, and it is therefore common to have the same suppliers submitting offers in the framework of the Council of Europe's procurement procedures.

Why is it so important to identify new suppliers?

In accordance with the applicable legal framework, buyer entities are required to:

- open calls for tenders to competition
- ensure non-discrimination in procurement procedures
- ensure the transparency of procedures, and more specifically when selecting suppliers

- ensure periodic competition and avoid recurring, exclusive contractual relationships with the same suppliers

In other words, failure to ensure regular sourcing may result in undue restriction of competition, discrimination of new potential suppliers and lack of transparency in procedures.

Identifying new suppliers also aims at reducing routine risk and at increasing the likelihood of obtaining the best value.

💡 The Council of Europe aims to promote efforts regarding respect for the environment by its suppliers. The implementation of a sustainable development charter by the Organisation is one example. Each provider has the opportunity to approve the principles of this charter when registering to the electronic procurement platform to participate in a call for tenders (see Chapter 6.1). However, whether a supplier approves this charter or not does not have any influence on the final award decision.

How?

There are many ways to identify future bidders: colleagues, social and professional networks, word of mouth, fairs, databases, promotion or publicity of needs.

Each buyer entity is free to study the market for potential new suppliers, and to meet with them.

⚠ There is a risk, when searching for new suppliers, that a certain level of information is shared regarding a future call for tenders. It is vital that fairness of treatment is respected and that no information is provided to future possible tenderers that could give them an advantage in a competitive procedure. In case of doubt regarding the feasibility to meet or not a provider, please consult DLAPIL or Procurement Unit.

⚠ Once again, Secretariat members working on procurement must remain vigilant about conflicts of interest that may arise from exchanges with potential suppliers (see Chapter 4.9.8.1). For advice on ethics-related questions, please consult the Ethics Officer.

Procurement support

Identification and sourcing of new suppliers.

Organisation of a call for expression of interest (see below).

LinkedIn advanced search (contact the Procurement Unit (specific subscription).

👍 **Best practices**

Do not mix quantity with quality

The identification of new service suppliers should not be the result of a passive search on the internet that leads to a listing of names not necessarily pertinent for what the Council of Europe needs. Identifying new possible tenderers should be decided with regards to the advantages such new suppliers could bring to the Organisation.

⚠ This is particularly relevant for competitive bidding procedures, where buyer entities are required to consult a minimum of three suppliers (Rule 1395, Article 21.2). The choice of these (minimum) three candidates must be meaningful and aim at obtaining three good quality bids. Inviting a number of suppliers just for the purpose of fulfilling the requirements of the rule is not advisable, and it is not the expected behaviour of staff members dealing with procurement.

4.3.2. Call for expressions of interest: a good practice

💬 **Legal framework and remarks**

A call for expression of interest (CEI), according to Article 5 of Rule 1395 , "is the process of seeking an indication of interest from potential

suppliers of goods, services or works, who are capable of undertaking specific assignments". Article 5 also emphasises that a CEI "is not a procurement procedure". Thus, it should rather be regarded as a tool to establish a list of potential suppliers that may be used for the purposes of future procurement procedures.

A call for expression of interest (The DIT also uses the term "request for interest" (RFI)) is a useful method to increase the number of possible tenderers in calls for tenders, and thus increase the chances to find the best supplier(s) to cover the needs in question.

If the CEI helps to list, in advance, all the suppliers who might be interested (and interesting) in a future tender, it can also:

- help to refine the need
- identify new innovative ideas
- identify risks and opportunities while preparing the future tender documents (for example, a CEI may help to highlight a lack of certain profiles required to carry out a project, suggesting additional sourcing efforts before the tender is published)
- for tenders that are expected to attract a large number of bidders, a CEI conducted prior to publication may reduce the time required to analyse the bids. The analysis of at least some of the potential bidders can be started shortly before publication and completed after the deadline

The CEI is a good practice, strongly recommended by the external auditors to limit the risk "*of creating a somewhat perfunctory approach to the business of procuring consultants' services and a situation where 'known' providers enjoy a built-in advantage*".

Court of Auditors (France) (2021), external audit of the Council of Europe, Audit report on the procurement of intellectual services, paragraph 155 and Recommendation No. 3

How?

Without referring to a specific call for tenders, the buyer entity prepares a notice with a minimum level of information regarding the type of suppliers it is looking for.

The CEI is published (Council of Europe internet, e-procurement, OJEU, social networks or any other means) for a sufficiently long time frame to enable potential suppliers to learn about the CEI and prepare the information required.

Interested suppliers are invited to express their interest and send the information requested. For example, they may be asked to send a curriculum vitae (CV), to demonstrate their experience and qualifications in the provision of the goods or services concerned. The information provided is checked, and the most promising suppliers can be included in a list that the buyer entity may use for future calls for tenders.

Procurement support
A CEI can be organised at any time. The Procurement Unit can help staff members willing to launch such a process.

A CEI is not a procurement procedure, and therefore there is no obligation to:

- justify why a candidate who answered the CEI was not invited to the next call for tenders
- limit invitations to a following call for tenders only to the candidates who participated in the CEI
- necessarily invite all suppliers included in the list to future calls for tenders
- launch any call for tenders after a CEI

Best practices

A CEI could be regarded as a part of a market study, however it is preferable to conduct the market study before launching the CEI. The two actions tend to be complementary in nature. In the case where these two actions are implemented, the outcome of the CEI should be integrated into the market study

Again, when the buyer entity is ready to launch a call for tenders, it can decide which suppliers to invite: the suppliers included in the list following a CEI or any other supplier known to the buyer entity (listed in a database or with whom the buyer entity already worked in previous contracts).

4.3.3. Suppliers database

Why is it important to share information?

The Council of Europe launches procurement procedures on a regular basis. However, information about the contracts concluded and the suppliers contacted and/or selected are often not shared among the different directorates or entities, or made available in a centralised manner, and as a result are rather usually confined within the boundaries of the buyer entity. Despite the fact that the activities implemented by each buyer entity can be very specialised, there are situations in which making information on potential suppliers available to everybody would be beneficial.

Council of Europe suppliers database

A common database of suppliers is available on the intranet page of the Procurement Unit. For each supplier, it provides information such as the name, country of residence, establishment and e-mail address. All suppliers are registered and listed according to their field of activity (see Chapter 2.4.2).

Secretariat members are invited to share information on suppliers to ensure that the database is complete and up to date. They may contact the DGA's Procurement Unit for support in this.

The process for registering new suppliers in FIMS (ones with whom the Council of Europe has concluded a contract) is not affected: a MSA 4002 must be created and will be processed by the Treasury, Payments and Accounting Department (no connection between FIMS and the electronic tendering platform).

Data protection – The database has been approved by the Council of Europe's Data Protection Officer. Please remember

- there is no obligation to use and add names to the database

- the Council of Europe's Procurement page on the internet clarifies this database is in place at the Council of Europe and that suppliers' information may be included in it (in accordance with the following privacy notice)

The database can be accessed here.

Best practices

Any supplier wishing to participate in a dematerialised call for tenders (Council of Europe electronic tendering) is required to register on the platform. Whenever the Council of Europe's electronic tendering platform is used, registered suppliers may be invited to participate in a procurement procedure.

Legal framework and remarks – Blocklists

The Council of Europe does not use blocklists aimed at identifying suppliers with whom it is not advisable, for a number of reasons, to conclude a contract. This practice is prohibited in the Council of Europe and is contrary to the basic principles of procurement.

However, a new optional criterion has been added allowing for the exclusion from a procurement procedure of suppliers who, in the previous three years, have failed to fulfil their contractual obligations in the performance of a contract concluded with the Council of Europe leading to a total or partial refusal of payment and/or termination of the contract by the Council of Europe.

4.4. Definition of needs

Anticipating and clearly defining procurement needs are fundamental steps in the process that will lead to the identification of the type of contract to use as well as, more generally, in the preparation of a procurement procedure.

Best practices

Reverse schedule is a way of setting milestones and a start date by working backwards from the required task's completion date. This may be very useful when trying to plan a procurement procedure and ensure that the deliverables are available by the required deadline.

Needs identification – Methodology

Procurement needs must be identified as early as possible in the implementation phase of a project or activity. It may even be possible to launch a selective procedure before a project or activity formally starts (in such cases, the tender documents must, however, clearly indicate that the contract will be awarded only if and when the project or activity is effectively launched).

When planning for their procurement needs, buyer entities should also consider the time required for VAT exemption procedures (see Chapter 5.9).

Several Council of Europe tools are available to help Secretariat members from the buyer entities better understand how to plan their procurement needs:

Procurement advice

Anticipate milestones and deadlines related to the process to ensure delivery of the goods or service on the desired date.

When applicable, consider the **total cost of ownership**, not just the price of the purchase itself.

Consider all your potential purchases throughout your project or biennium to identify the proper threshold.

Check the contract database before launching an unnecessary call for tenders.

- DLAPIL's website – How to identify my needs?;
- the "Results based management" practical guide
- PMM tool.



The planning and carrying out of procurement procedures for large-scale purchases (with several lots, covering several countries, etc.) may require a longer preparation time, including obtaining authorisation from the TB, allowing sufficient time for tenderers to submit their offers, etc. Failure to properly plan such purchases may lead to delays or to the need to speed up some steps (or to cancel others), potentially affecting the soundness of the procurement procedure and/or the quality of the final product.

Conclusion: the ultimate aim is to ensure that there is enough time for the careful preparation of the procedure and its implementation in compliance with the applicable rules and procedures. Last-minute purchases can only be justified in exceptional circumstances and when the urgency is not attributable to the buyer entity (see Chapter 4.6.1).

Defining your needs – Did you answer the following questions?

- What is the expected deliverable?
- Will you need the deliverables one time only? During a year? More often?
- What is the estimated overall budget for the procurement procedure? What are the applicable thresholds?
- Is there a procurement strategy? Are the needs already covered by an existing transversal contract? Should it be handled by a specific directorate (DIT, DC, DPC)? Did any market research take place?
- Did you consult the DGS (for works and buildings), the DIT (for IT goods or services), the DC (for communication) or ITEM (for multimedia) in order to ensure that you benefit from in-house expertise prior to your tender?

- Are there any specificities to take into account? Additional services, prerequisites, contractual conditions, payment terms, delivery time, penalties, language, etc.

Identify and regroup similar needs

The identification of needs is an essential part of activity planning which should go hand in hand with defining the actions to be taken over a certain period. It is important to assess all foreseeable similar procurement needs from the beginning of the period of reference in order to cover them through a minimum number of procedures (ideally one per type of need), so as to minimise the administrative costs of procurement procedures.

It is therefore critical to identify, at first, your period of reference, which may very much depend on the context.

The period of reference

A distinction must be made, in this context, depending on whether the purchase is made in the framework of a co-operation project or under the Ordinary Budget.

When the purchase is carried out under a co-operation project: project-based approach v. sector-based approach

When procurement is carried out in the framework of a co-operation project, two different approaches may be adopted: a project-based approach or a sector-based approach.

A project-based approach is applied when one or several procurement contracts are concluded with a view to satisfying the procurement needs of one single co-operation project. It is important to take into account the whole duration of the project including possible project extensions. Project teams should aim to assess all the foreseeable, and similar, procurement needs from the beginning of the project, already during the planning phase, in order to cover them through a minimum number of procedures (ideally one per type of need).

On the contrary, a sector-based approach is applied when a contract is concluded with a view to satisfying the common, transversal procurement needs of several co-operation projects or within a given sector of activity or office.

Depending on which approach is adopted, the scope of the ensuing contract will be significantly different. In the first case, the contract will only (and can only) be used within the framework – and for the purposes of – that one single co-operation project. In the second case, the contract will instead be used in the framework – and for the purposes of – several co-operation projects, managed by different project teams.

This could have clear effects on the choice of the type of contract. In the case of a sector-based approach, the use of framework contracts (see Chapter 3.3) or framework agreements (see Chapter 3.4) is a necessity. This means that, as a result of a given procurement procedure, a list of qualified suppliers is established and applicable for the whole sector in question, and subsequently available to a number of projects with similar needs implemented by this sector. That said, it must be stressed that, whatever the type of contract used, each order form (in framework contracts) or call-off (in framework agreements) will be issued within the scope of one given project.

Moreover, when a sector-based approach is adopted, the launch of an international public call for tenders is required.

Whenever a transversal sector-based procurement procedure is to be launched, the relevant project teams and CCMs should be consulted or informed at the drafting stage so that they can check whether their needs are adequately covered in the tender package. CCMs under the relevant sector must then be informed about the results of a sector-based procurement procedure. This notification process will be completed before any order or call-off is launched. The information sent to CCMs must contain a copy of the call for tenders, a copy of the signed acts of engagement and the list of projects concerned.

When the purchase is financed by the Ordinary Budget

It is important to take into account, to the extent possible, the whole duration of the two-year budget cycle before further defining what your needs are.

Please refer to the Financial Regulations for further information. As a general reminder, an expenditure registered in FIMS for year N cannot be used for an activity taking place during year N+1. However, payment of such activity may occur early in year N+1.

Buyer entities should aim to assess all the foreseeable needs over the lifespan of the cycle in order to cover similar procurement needs through a minimum number of procedures (ideally one per type of need).

Long-term planning does not prevent the launch of ad hoc procurement procedures, on a case-by-case basis, to cover unforeseeable needs. However, these one-off purchases should not be repeated in order to fulfil a structural need. If a new structural need is identified, it is strongly recommended to evaluate this need in the long term, in order to fulfil it through a minimum of procedures (ideally one).

4.5. Calculation of the threshold

4.5.1. Principles

The threshold is calculated based on the estimated expenditure considered necessary to cover an identified need.

In other words, the threshold corresponds to the simulated amount of the planned purchase and allows the applicable procedure to be identified. More precisely, the threshold will essentially affect three aspects of the procedure:

- the obligation, or not, to opt for a selective procedure
- the obligation, or not, to publish the call for tenders
- the validation visa route at the time of publication and award

General principles for calculating thresholds

Reminders

- Only amounts **without tax** should be used in order to calculate the threshold.
- **The value of all contracts planned to cover similar needs must be cumulated.** This total cumulated estimated expenditure is the value to consider to identify the threshold.
- The thresholds to consider vary **depending on the funding** of the future contract(s).

As a basic rule, a threshold should be calculated when adding the value of the following items:

- the total estimated value of the purchase (before VAT) for the total intended duration of the contract, including all possible renewals (see Chapter 4.5.2);
- all tranches and options;
- all lots (see Chapter 4.8.2);
- all possible order forms (for FCs)/call-offs (for FAs) over the lifespan of the contract), all possible extensions or renewals included.

Best practices

Given the impact on the preparation of the tender documents and the time needed to complete all the necessary steps (especially for higher thresholds: several validations required and minimum publication time of three weeks), it is key to simulate the proper amount and identify the right threshold at the very beginning of the project.

For multiple contracts (multiple framework contracts or framework agreements), the threshold will be calculated regardless of the number of selected suppliers. The approach of calculating thresholds per supplier is therefore not allowed. Whether the same supplier receives the majority of the orders or call-offs is therefore irrelevant.

It must be stressed that amendments to contracts during the execution phase may, in certain circumstances, bring the overall value of a procedure above the original threshold.

4.5.2. Overview on thresholds

The main thresholds and the procedure to be applied are:

< €2 000	< €6 000	< €184 000	> €184 000
No mandatory competition *Possible direct award*	No mandatory competition **(Intellectual services only)** *Possible direct award when the basic criterion of choice is the expertise of the supplier*	Mandatory competition *Competitive bidding procedure* *For procurement funded with Extra Budgetary funds >55 000 EUR: Request for LCR – Chap. 4.9.1)*	Mandatory competition **(the authorisation of the Tenders Board is required to launch the procedure)** *International public call for tenders*

Specific situations

- In the case of a service contract, where the provider is remunerated on the basis of a percentage of the total amount of the contract, the amount used for the calculation of the threshold is the total value of the service contract (and not the percentage of the provider taken in isolation)
- Every call-off (on framework agreements) above €184 000 is subject to the Tenders Board

Best practices: when the foreseen expenditure is close to the €184 000 threshold

If there is any possibility that the threshold of €184 000 for the estimated amount of expenditure may be exceeded, due to difficulties in estimating the costs in advance (risks of extensions to the related project, amendments to the contract, unforeseen use of the contract by other directorates, etc.) or a risk that the bids submitted by the candidates may be higher than expected, it is recommended to launch an international public call for tenders.
The Tenders Board cannot retroactively approve the launch of an international public call for tenders. It is all the more advisable to proceed in this way if the estimated amount of expenditure is close to €184 000 (see also next chapter).

The rules to be taken into account for the simulation of thresholds as well as a tool helping to choose

the right procedure are available here.

4.5.3. Specific risks related to the identification of applicable thresholds

In identifying the applicable threshold, the following risks must be duly taken into account.

Artificial splitting

Artificial splitting is when purchases of goods and services, which could be purchased under one procurement procedure, are split up without any objective reason into smaller segments or contracts, resulting in a number of contracts of a lower value instead of one contract under one procedure, covering the total expenditure foreseen. This may be tempting for buyer entities because depending on the circumstances it would allow an international public call for tenders to be avoided or may allow a contract directly without any competitive procedure to be awarded. However, this practice goes against the basic principles of procurement, has negative effects on the transparency and fairness of procedures and limits the chances of securing the best value for money. It is considered as a red flag for possible fraud and will give rise to questions from auditors and/or investigators. Under no circumstances should requirements be split (or contract terms be reduced) to circumvent the procurement process.

The calculation of the threshold

The threshold is not calculated per supplier but per need, as a supplier may have contracts to cover different needs (the same supplier may work on a variety of projects within the Council of Europe).

The different procurement thresholds do not apply by year: it is the total value of a contract (or series of contracts) for the same procurement need, over the relevant period of reference. The annual value is not the decisive factor that determines which procurement procedure should be applied. For guidance on identifying the relevant reference period, please see Chapter 4.4.

For example:
If the estimated total value of similar needs within the duration of a cooperation project exceeds €2 000 / €6 000, a competitive procedure must be organised to cover all those needs.

Likewise, if the estimated total value of similar needs within the duration of the biennium (for the activities funded by ordinary budget) exceeds €2 000 / €6 000, a competitive procedure is also required.

Finally, methods of subdividing purchases to fall below the regulatory thresholds are prohibited.



If a need is identified for the period 2022-2025 (inclusive) and a consultant is engaged to fulfil this need in this time period, the total value of the consultant's contract is calculated over the full four-year period regardless of whether the consultant is awarded a single contract or a series of contracts.

Underestimating the expenditure

Before launching a procurement procedure, it is important to evaluate carefully the total expected expenditure of the project in question and whether there is a risk that the expenditure will exceed the expected total amount.

Should there be a risk of exceeding the expected amount, it is advisable to choose a procurement procedure that could cover the total amount, including any possible additional funding that may be used to cover similar needs. Doing this from the beginning could avoid having to launch a new procedure at a later stage to take into account additional funds, where the procedure would depend on the total funds necessary to cover the targeted needs, and not only on the amount of the additional funding.

It may happen that, within the period of reference, a procedure is launched to cover similar needs to those covered by a previous procedure and contract, while all those needs could have been covered in a single procedure. Should this situation occur, the budgetary threshold for the second procedure must be calculated on the basis of the cumulative amounts for the overall category of needs (needs covered by the first procedure and needs covered by the second procedure) over the period of reference.

4.6. Different procedures for different thresholds

Legal framework and remarks

According to Rule No. 1395, three different procurement procedures are available:

- direct award;
- competitive bidding procedure;
- international public call for tenders.

The choice of procedure depends on the overall expenditure of the given need.

4.6.1. Direct award

Below €2 000/€6 000

A direct award may be used when the total value of the purchase does not exceed €2 000 (or €6 000 for intellectual services).

The provision of intellectual services below €6 000 may be purchased directly from one supplier on the basis of a memorandum (or any other mean in use) prepared by a Secretariat member of the buyer entity and submitted to the CCM for validation (Article 22.4. of Rule No. 1395). The memorandum must justify the decision to award a contract directly to that specific supplier. The criterion of choice must be the expertise of the supplier (Article 22.1.*c* of Rule No. 1395).

Legal framework and remarks

In exceptional circumstances, and in compliance with Article 40.3.*c* of the Financial Regulations and Article 22.1.*a* of Rule No. 1395, a contract of a value higher than €2 000/€6 000 may be awarded directly, if at least one of the following justificatory grounds is met:

- the relevant competitive procedure cannot be followed for unforeseen reasons of urgency not attributable to the buyer entity;
- technical requirements demand that a particular supplier be retained; or
- considerations of fact or law that require that a particular supplier be chosen.

The direct award of a contract is also one of the options available when a competitive procedure is launched but results unfruitful (i.e. no or an insufficient number of offers received, no acceptable prices or no offer that meets the requirements – Financial Regulations Article 40.3.*b*).

Above €2 000/€6 000

In order to award a contract directly based on one of the justificatory grounds laid out above, the buyer entity shall follow one of the following courses of action, which differ depending on the overall value of the contract:

- for contracts below €184 000, a Secretariat member of the buyer entity shall submit a request to the CCM for decision, who will decide whether the direct award procedure can be followed and award the contract
- for contracts equal or above €184 000, the relevant CCM shall submit a request to the Tenders Board for decision

As of 1 February 2025, all direct award procedures based on one of the justificatory grounds laid out above and funded – either partially or wholly – by extra-budgetary funds, and within the financial range of 55 000 EUR to 184 000 EUR excluding VAT, must undergo a Legal Compliance Review. This Legal Compliance Review will be a mandatory step in the validation workflow. A commitments officer or cost centre manager may only approve the launch of a direct award procedure within the above-mentioned financial range once the Legal Compliance Review is completed. For more information on the Legal Compliance Review please see here.

The following two sections introduce some notions, for each procedure, on the launching, opening and awarding steps. However, for more details, Secretariat members are invited to read Chapter 4.9.

Procurement advice

Even in cases where direct award is possible, the buyer entity should always consider whether it might consult the market, even for a short period: some requirements are simple to describe, and asking providers for a quote within 24/48 hours does not waste a lot of time and may enable the Organisation to obtain the best possible terms.

⚠ Whenever the expenditure under a contract concluded through a direct award exceeds the threshold applicable for a competitive bidding procedure (€2 000/€6 000), the buyer entity must immediately inform the CCM and consult the DLAPIL.

4.6.2. Competitive bidding procedure

Used for concluding contracts of an overall estimated value between €2 000/€6 000 and €184 000.

A competitive bidding procedure should be used when the total value for similar needs during the period of reference is estimated between €2 000 (€6 000 for intellectual services) and €184 000. This procedure should only be used where there is no risk of exceeding the given budgetary thresholds(see Chapter 4.5.3).

💡 When the estimated expenditure is below, but close to, the higher range of €184 000, it is advisable to launch an international public call for tenders (CfT).

⚠ Whenever the total expenditure under a contract concluded following a competitive bidding procedure exceeds the threshold for an international CfT (€184 000), the buyer entity must immediately inform the Tenders Board and consult the DLAPIL or the Procurement Unit.

⚠ Whenever a competitive bidding procedure results in offers all above the threshold for an international CfT, the procedure must be cancelled and a new international CfT must be launched.

The authorisation to launch a competitive bidding procedure is given by the relevant CCM. A competitive bidding procedure is carried out under the sole responsibility of the CCM. All relevant decisions under such a procedure – including on the award of the contracts – will be taken by the CCM.

When a framework contract with a pool of three suppliers is to be implemented (multiple contract), nine suppliers should be invited to tender.



When the aim is to select many suppliers, it is advisable to publish the call for bids regardless of the amount of the contract.

As of 1 February 2025, all competitive bidding procedures funded – either partially or wholly – by extra-budgetary funds, and within the financial range of 55 000 EUR to 184 000 EUR excluding VAT, must undergo a Legal Compliance Review. This Legal Compliance Review will be a mandatory step in the validation workflow. A commitments officer or cost centre manager may only approve the launch of a competitive bidding procedure or of a direct award procedure within the above-mentioned financial range once the Legal Compliance Review is completed. For more information on the Legal Compliance Review please see here.

The minimum requirement to comply with when launching a competitive bidding procedure is to invite (for example by issuing an electronic invitation) at least three potential suppliers to submit an offer.

The relevant steps of the procedure are discussed in greater detail in Chapters 4.8 and 4.9.

4.6.3. International public call for tenders

International public call for tenders (see Article 4 of Rule No. 1395) should be used when the total value for similar needs during the period of reference is estimated to exceed €184 000. This procedure should be used if there is even a slight risk of reaching the given thresholds.

The launch of any international public call for tenders must be authorised by the Tenders Board.

Prior permission to launch the procedure will be requested by the relevant CCM.

The CCM's authorisation shall be sent to the Secretary of the Tenders Board, accompanied by a memo summarising the main information.

Under an international public call for tenders, the length of the deadline for submission of tenders must be proportionate to the complexity of the file. Pursuant to Rule No. 1395, three weeks is the minimum for international public call for tenders, while contracts of a higher value or complex files (for example IT development) may require a longer deadline for submission of tenders. It is therefore important to begin preparing the tender file as soon as possible once a need is identified (see Chapter 4.1 on properly planning your call for tenders).

📌 Templates of memorandum to the TB are available on the TB's website.

📌 An interactive step-by-step yes and no questionnaire is available on the Procurement page to help you identify the right procedure to follow.

The relevant steps of the procedure will be discussed in greater detail in Chapters 4.8 and 4.9.

4.6.4. Other procedures available in the Council of Europe

4.6.4.1. The competitive dialogue

This procedure, in essence, allows a contract to be awarded following a series of discussions and fine-tuning with different suppliers.

This procedure is particularly suitable when it is difficult to identify the technical solution required for the particular needs of the buyer entity, which prevents the launch of a "standard" procurement procedure.

How does it work?

The buyer entity prepares a descriptive document setting out its needs. This document will contain the exclusion, eligibility and award criteria. The buyer administrative entity will publish a notice inviting potential suppliers to participate in the competitive dialogue on the basis of the descriptive document.

The buyer administrative entity may, if it chooses, limit the number of participating suppliers. In such cases, the maximum number of suppliers, as well as the criteria according to which they will be selected to participate, will be contained in the notice. The notice will also describe the manner in which the competitive dialogue will work, and in particular the fact that it will take place in different rounds.

Based on the documents published, interested suppliers will submit an initial offer describing their proposal. Once the best candidates have been selected, the buyer entity can organise as many rounds as necessary to discuss with each supplier his or her bids and the suitability of the solution proposed compared to the buyer entity's needs. The buyer entity must remain vigilant and ensure that the information provided by one supplier will not be made available to other suppliers.

The buyer entity may decide to limit the number of participating suppliers. In such cases, the maximum number of suppliers, as well as the criteria according to which they shall be selected to participate, shall be contained in the notice. The number of suppliers selected to participate in the competitive dialogue may be less than foreseen in the published notice if an insufficient number of eligible bidders respond. In such cases, the buyer entity shall conduct an analysis of all potential suppliers who respond to the published notice using the published criteria. This analysis shall be presented to the Tenders Board for its approval with a recommendation of the bidders to be chosen to participate.

If needed, the buyer entity may also make each round "eliminatory", meaning that at the end of each round one or several suppliers will be eliminated. This must, however, be clearly explained in the descriptive document.

When the buyer entity considers that the discussions have been fruitful and that its needs have been sufficiently clarified, a final round of bidding with the remaining suppliers will be held. On the basis of the award criteria specified at the start of the competitive dialogue, the best offer will be selected and the results will be presented to the Tenders Board for validation.

⚠ **Organising a competitive dialogue and a proof of concept (POC)**

POCs allow for the testing of solutions ahead of their purchase. The problem is that they are generally organised without publicity, although they can lead to contracts for very large amounts. This is why it is crucial that POCs are included in an official procedure. The procedure of competitive dialogue is well adapted to POCs.

Indeed, the procedure can openly include a phase of tests where each candidate must present its solutions and, if necessary, leave them for tests to the buyer entity.

👍 **Best practices: publishing your POC**

Competitive dialogues are not the only way to organise a POC inside the Organisation. However, what is most important, when thinking

about launching a POC, is to make sure that the need is not restrained to a limited number of candidates (especially when the need is above the TB's threshold – see Chapter 4.6.3). Publishing and making the need as visible and as open to any candidate as possible is already a good decision.

The DIT has described here this process for the purchase of IT solutions. Similar process can be applied to other categories of purchase.

Procurement advice

Competitive dialogues are very useful when there is a doubt regarding the expected acquisition. The buyer entity might know the expected results from a supplier, but has no specific expertise how to describe it in detail.

With the competitive dialogue, the expertise of the service suppliers makes it possible to obtain solutions that might not have been imagined in house.

4.6.4.2. Buying at public prices (Article 21.2. of Rule No. 1395)

In the framework of a competitive bidding procedure, when the total amount of the purchase is less than €10 000 excluding VAT, it is possible to carry out the purchase by consulting the publicly available prices of three or more potential suppliers instead of issuing invitations to tender so long as the best terms may be obtained in this manner.

In this particular case, a quote cannot be obtained: prices must be accessible and visible to anyone at any time (for example a website), if need be following the creation of an account on the supplier's platform.

Once the best offer has been selected, screenshots of the three suppliers should be added to the file to justify the final choice.



Purchase of 300 meals for a conference
- Website #1: €18.80/person (i.e. €5 640)
- Website #2: €21.50/person (i.e. €6 450)
- Website #3: €**18.18**/person (i.e. €5 454)

The offer from website #3 is the most competitive and can be selected. The screen shots of the three websites must be archived in case of audit.

4.7. Specificities when procuring goods or services for third parties in co-operation projects

As discussed in Chapter 4.5, a common activity in co-operation projects is to ensure that the project beneficiary is supplied with specific services or goods. When it has been ascertained that the activity in question can only be carried out through a procurement contract, the question of how to prepare such a call for tenders emerges.

Which templates should you use? For a call for tenders aimed at the purchase of goods or services for third parties, specific tailor-made templates must be used. Such templates are not available on DLAPIL's intranet website and can only be obtained from the DLAPIL upon request. In such cases, please consult the DLAPIL as early as possible.

For such purchases, the tender package is usually composed of:

- the tender file
- the tripartite contract
- a tripartite act of acceptance
- a declaration of agreement confirming compliance, among other things, with the exclusion criteria

If the expected deliverables present specificities (including technical ones), technical specifications can be included in the tender package.

Such purchases will give rise to the conclusion of a tripartite agreement among the Council of Europe, the supplier and the project beneficiary. Upon arrival of the deliverables, a tripartite act of acceptance (once again, concluded among the Council of Europe, the supplier and the project beneficiary) will have to be drawn up. Upon signature of such a document, the ownership of the deliverables – and related rights and obligations – are transferred from the Council of Europe to the beneficiary.

Such purchases can only lead to the conclusion of a one-off contract. It is not feasible to conclude framework contracts or framework agreements for the provision of goods or services for third parties. As to the procurement procedure to follow, such purchases may be carried out through a competitive bidding procedure or an international public call for tenders, depending on the overall value of the purchase.



When the buyer entity is acquiring IT services or IT equipment for a third party, due consideration should be given to the technical requirements. Those requirements will be discussed with the final beneficiary, as it will be the final owner and user of the services or equipment.

However, the Directorate of Information Technology must be consulted for advice for those requirements to be correctly reflected in the tender package. It is also possible to engage an external consultant to draft the technical specifications.

4.8. Preparation of tenders

When applying the relevant threshold leads the buyer entity to opt for a competitive bidding procedure or an international public call for tenders procedure, a call for tenders must be prepared, as described below.

4.8.1. The documents needed for a call for tenders

The tender package is composed of (at least):

- the tender file with the terms of reference and the tender rules
- the act of engagement

📌 **Ready-made templates** – particularly suitable for the purchase of intellectual services – are available on the DLAPIL page. Make sure to always download a new template from the DLAPIL page before you start working on a procurement procedure as these templates are continuously updated. Please note that different templates exist. In order to pick the right template, attention should be paid to:

- the procedure followed (direct award, competitive bidding procedure, international public call for tenders)
- the type of contract concerned (one-off contract, framework contract, framework agreement) and whether the contract is divided into lots
- the language

DLAPIL's templates are widely used for all purchases made in connection with co-operation activities and, more broadly, when intellectual services are purchased. The DGA and the EDQM have different templates that are adapted to their specific needs. Please refer to the Procurement Unit (DGA) or the Procurement Section (EDQM) for any further information.

Language use in tender documentation: although the Council of Europe Language Policy does not specifically mention tender documents, its principles apply to all official communications, including those used in procurement. Tender documents must be published in French and/or English, the Council of Europe's official languages, to comply with linguistic quality and parity requirements.

Courtesy translations in other languages may be provided for informational purposes. However, in case of dispute or difference in interpretation, the French or English version will prevail.

In principle, bids submitted in languages other than French or English should not be accepted.

These requirements help ensure the quality, accessibility, and legal clarity of all procurement documents, in line with the Council of Europe's Language Policy. For more information, staff members are encouraged to consult the Council of Europe Language Policy for guidance on linguistic quality, translation, and the use of official languages.

The language policy applies to the tendering documents (Category 2 – page 20), specifically regarding linguistic quality and quality control. French and/or English must be used when publishing tenders. Curtesy translations are possible in any other languages but must refer to one of the 2 languages in case of dispute (see also below "Best practices"). Offers submitted in any other language but French and/or English are not deemed acceptable.

👍 **Best practices**

Tender documents can be translated – and published – in both official languages in order to open a call for tenders to a wider audience.

💡 Machine translation software, such as DeepL (provided by the DIT) may be used to translate tender documents.

⚠ If tender documents are in two languages, it must be clearly stated which version is the official one and will, thus, prevail in case of inconsistencies and/or disputes.

⚠ If tender documents have been translated with machine translation software, the following disclaimer must be included:

"Please note that the tender documents have been machine translated from the original XXX into XXX, that they have not been produced by the Council of Europe and that the Council of Europe does not check their accuracy or linguistic quality. These non-official translations have been published for information purposes only and the Council of Europe accepts no responsibility for their quality or content. Please refer to the original XXX documents to ensure you conform to the needs of this call for tenders and to submit your offer accordingly."

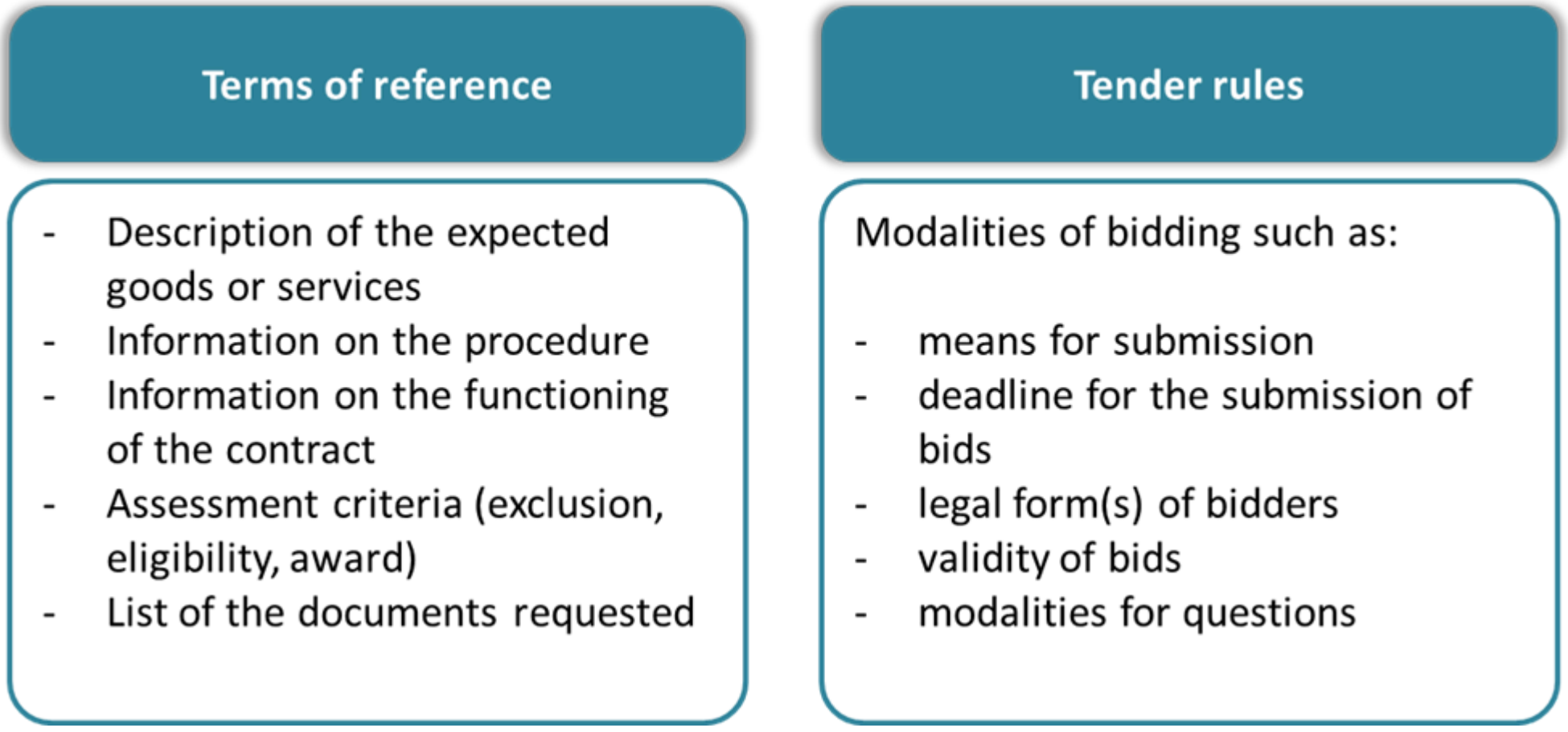
The Chapters 4.8.1.1 and 4.8.1.2 introduce some notions that are further detailed in Chapters 4.8.4, 4.8.5 and 4.8.6.

4.8.1.1. The tender file

The tender file contains all the information necessary for potential tenderers to submit their bids: context of the procurement procedure, expected goods or services (this part can be completed separately as technical specifications if necessary), assessment criteria (exclusion, eligibility, award), tender rules, details on how to submit the bids, details on the execution of the future contract, etc.

The tender file is mandatory for international public call for tenders and for competitive bidding procedures.

A tender file is generally divided into two principal parts: the terms of reference and tender rules. Those may be supplemented by appendices where necessary (for instance, when the deliverables to be procured are of a technical nature, separate technical specifications providing the details of the deliverables needed may be attached to the tender file and the contract – thus becoming an integral part thereof).



4.8.1.2. Act of engagement

The use of acts of engagement simplifies the procurement process, as they are ready-to-sign contracts that also contain all the statutory declarations required from bidders. The way they have been developed also facilitates:

- their implementation by the suppliers and their use by the Council of Europe
- their handling during the contracting process
- many other steps of the procurement process (internal control, payment, audit)

In competitive procedures, all bidders must complete an act of engagement containing all relevant details. When requested in the tender file, the document must be signed when submitted to the Council of Europe in order for the tender to be valid. Only the selected supplier(s) receive(s) a copy of the act of engagement countersigned by the Organisation. The contract enters into force only when signed by all parties.

4.8.2. Division into lots

Division into lots allows for a tender file to be divided into distinctive parts, each giving rise to a separate competition. The lots will be advertised in the same call for tenders. A division into lots is only possible when each lot can be awarded separately to different suppliers. For example, it is possible to have one framework contract for intellectual services with several lots, each covering a specific area of expertise.

It does not only serve the purpose of dividing the presentation of a call into different parts but the very purpose is to increase competition, and to form contracts with the best supplier for the deliverables in each lot.

If a call is divided into lots, the right procedure will be determined taking into account all the lots (see Chapters 4.5.2 and 4.5.3).

⚠ Division into lots may require more co-ordination capacities between the suppliers selected for the different lots.

When, on the contrary, the purpose of a call is to select one single supplier (for example, when the smooth execution of the contract requires working with a single supplier) the call should rather not be divided into lots.

When dividing into lots, particular attention should be paid to the risk of overlapping lots. Overlapping lots must be avoided as they create legal uncertainty and may be a source of litigation.

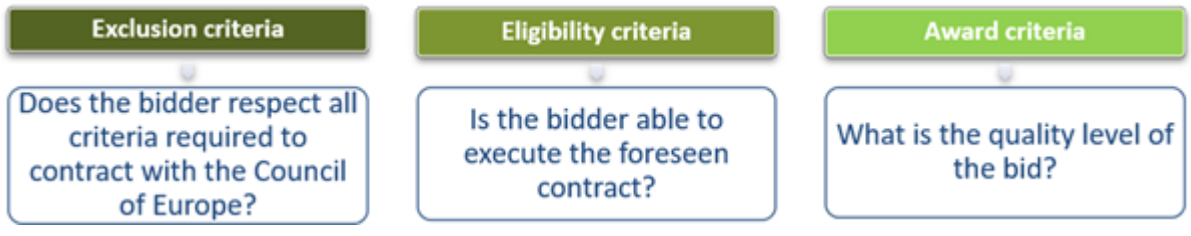
👍 Best practices

For certain procedures (works, for example), it may be more appropriate to contract with smaller or more specialised actors, rather than major companies. Doing so will spread risks and create opportunities. Division into lots may constitute a useful tool to show all the suppliers (covering different specific needs) the larger scope of the tender, as opposed to just the single component they intend to quote for.

4.8.3. Assessment (or analysis) criteria

The terms of reference indicate the criteria according to which the tenders received will be evaluated.

Three types of criteria exist:



⚠ The criteria must be specified in the call for tenders or competitive bidding and cannot be modified once the call is published. Subdivision, after publication, of criteria is also forbidden.

🐓 Video tutorial – Defining the assessment criteria in the Council of Europe

4.8.3.1. Exclusion criteria

Legal framework and remarks – Appendix I (Rule No. 1395)

Tenderers shall be excluded from participating in the tender procedure if they:

- have been sentenced by final judgment on one or more of the following charges: participation in a criminal organisation, corruption, fraud, money laundering, terrorist financing, terrorist offences or offences linked to terrorist activities, child labour or trafficking in human beings;
- are in a situation of bankruptcy, liquidation, termination of activity, insolvency or arrangement with creditors or any like situation arising from a procedure of the same kind, or are subject to a procedure of the same kind;
- have received a judgment with res judicata force, finding an offence that affects their professional integrity or serious professional misconduct;
- do not comply with their obligations as regards payment of social security contributions, taxes and dues, according to the statutory provisions of their country of incorporation, establishment or residence;
- are an entity created to circumvent tax, social or other legal obligations (empty shell company), have ever created or are in the process of creation of such an entity;
- have been involved in mismanagement of the Council of Europe funds or public funds;
- are or appear to be in a situation of conflict of interest;
- are retired Council of Europe staff members or are staff members having benefitted from an early departure scheme;
- are currently employed by the Council of Europe or were employed by the Council of Europe on the date of the launch of the procurement procedure;
- [have not fulfilled, in the previous three years, their contractual obligations in the performance of a contract concluded with the Council of Europe leading to a total or partial refusal of payment and/or termination of the contract by the Council of Europe];
- are subject to restrictive measures applied by the United Nations Security Council or the European Union. In the case of legal persons, the restrictive measures imposed on the tenderer's owner(s) or executives will also exclude the tenderer from participating in this tender procedure.

The general exclusion criteria applicable to all purchases, made by the Organisation, are stipulated in Appendix I to Rule No. 1395 (see above). They are required for the verification of the previous legal records of tenderers and must be subject to a declaration of each tenderer at the time of submission of tenders.

These criteria cannot be deleted or changed. They can, however, be supplemented by additional ones, if need be, and if act of engagement templates include additional criteria (for example retired Council of Europe staff are not allowed to participate in a call for tenders). The criteria set out are used for the verification of the standing and existing judicial and administrative records of tenderers. Each tenderer will submit a declaration that the criteria have been met when tenders are submitted.

When DLAPIL's templates are used, the templates for the acts of engagement contain a declaration on compliance with the exclusion criteria embedded in the so-called "declaration of agreement" – so a separate declaration is not needed. One must ensure, however, that the act of engagement has been duly signed. If not, the bidder cannot be considered as having signed the declaration and must therefore be excluded. When the level of risk so requires, it is advisable to request the supporting documents or proof from selected providers and/or to perform checks in open sources (for example internet, registers or databases).

When e-procurement is used, the candidates confirm their compliance with the exclusion criteria when submitting their offers.

💡 Additional exclusion criteria can be added according to the needs (see Chapter 4.3.3 – blocklists).

4.8.3.2. Eligibility criteria

The eligibility criteria are designed to ensure that a tenderer is capable of performing the contract. Clear and non-discriminatory criteria must be drawn up in order to assess whether the tenderer has sufficient financial, economic, technical and/or professional capacity to implement the contract. In other words, the eligibility criteria identify the minimum capacity level below which the tenderer will be deemed unable to supply the deliverables. It is of interest to have as recent information as possible on the elements that seem the most relevant to the buying entity in order to verify whether the tenderer has the minimum required capacity to perform the contract.

The definition of these criteria depends on the nature of the purchase to be made. The buyer entity must therefore lay down criteria that will enable it to exclude suppliers who, for example, do not have the expertise required, the required professional experience or sufficient human resources to carry out the expected work.

As a rule of thumb, eligibility criteria are chosen by ensuring that:

- they are coherent with the planned purchase
- they do not hinder competition
- they match the complexity level of the need
- they are objective and measurable



Organising an event with the support of a specialised supplier can be useful. However, if one of the eligibility criteria is "previous experience", that experience should match the size of the planned event (50 attendees? 1 000?).

When deciding on the appropriate criteria, the buyer entity must consider whether compliance can be proven and should consider what type of supporting documents the tenderer may submit as proof. What matters most is that these documents serve to check whether the criteria are fulfilled. A document that does not serve this purpose is irrelevant, as is a criterion with no supporting document to assess that it has been fulfilled.

💡 The selected criteria should correspond to questions where the bidders can clearly identify whether "*yes*" or "*no*" they meet the expectations. If "*yes*", then each bidder should provide the proper justification requested by the Organisation.

It is also key to ensure that the proposed criteria are not disproportionate and go beyond the scope of the contract: the more restrictive the criteria, the fewer bidders will be able to submit an offer and the less choice the buyer entity will have.

When it is expected that offers may be submitted by both natural persons and legal persons, it is advisable to foresee different sets of eligibility criteria for each type of tenderer. This, of course, must also be reflected in the list of documents that tenderers are requested to submit.

⚠️ Choosing the right eligibility criteria should be done with the aim of receiving as many offers as possible from "adequate" suppliers: they should not unduly restrict access to procurement procedures.

Indeed, clear, objective and non-discriminatory criteria must be drawn up in order to assess whether the tenderer has sufficient financial, economic, technical and/or professional capacity to implement the contract. They should be clear, objective, verifiable and non-discriminatory.

Examples of typical eligibility criteria:

- professional and technical capacity, which will be adapted to the type of contract and goods or services purchased

  For intellectual services, the most common criteria will consist of the level of education (degree) and the professional experience of the tenderers, such as a master's degree in a given field or number of years of experience in a given field. Credentials for the past three to five years may also be asked.

- a minimum number of years of experience
- linguistic skills

  In this case, the best way to proceed is to refer to the Common European Framework of Reference for Languages. It has to be noted that these are minimum requirements so if language skills are only desirable rather than necessary, the language capacity should rather be considered as an award criterion (see Chapter 4.8.3.3).

- economic and financial capacity

  Where the financial risk so requires, in particular for high-volume or strategic contracts, the eligibility criteria should also serve the purpose of assessing and ensuring the economic and financial capacity of the tenderers. It is therefore important that the requested capacity remains proportionate to the purchase concerned. Proof of economic and financial capacity may be provided by appropriate statements from banks and presentation of balance sheets or extracts from balance sheets and income statements. As a minimum requirement, these statements should be attested by the accountant of the supplier and/or his or her financial officers. Fixing these criteria may, however, require an economic and financial analysis of the market concerned.

- environmental and ethical aspects

  Regarding this last criterion (environmental and ethical), a list of certifications is available here in order to help identifying suitable items according to your need and the category of purchase. Please contact the Procurement Unit if you need any support with this list.

EXAMPLE

For the assessment of technical and professional capacity, depending on the type of contract, tenderers may be asked (the list is not exhaustive):*to send a motivation letter; to provide a list of the main services provided or supplies delivered during the period of reference, or works carried out, possibly including references to the total values of contracts, dates and details of the recipients, whether public or private; to indicate educational and professional qualifications (in a CV - europass format as a preference) or provide copies of diplomas; to provide letters of reference from previous employers or clients, attesting to their experience in the field in question; to describe the technical equipment and tools to be used for performing the contract; to provide samples of work; and to provide a statement of their average annual workforce or the number of relevant staff employed during a given period.*

Legal framework and remarks – Examples of criteria not to be used

The following criteria should be considered as inappropriate: using imprecise terms such as sufficient, major and relevant as it is not clear what these words quantify or mean; requesting prior experience relating to the Council of Europe's projects only, as this could in general be regarded as discriminatory; requesting technical experience in an overly prescriptive manner which effectively restricts the number of eligible tenderers to one or a few; requesting suppliers to hold a certain nationality.

Division into lots

In case of a tender file being divided into lots, different eligibility criteria can be set for each lot. Additional levels of capacity can be added in the case of several lots being awarded to the same tenderer (for more information on lots, see Chapter 4.8.2).

Best practices

- Requiring similar experiences with an international organisation may be legitimate in some cases, but irrelevant for other less specific and competitive issues.
- Careful consideration of the minimum number of experiences in a given field/in providing the goods or services needed. Setting requirements not excessively high may have the advantage of attracting new and/or young suppliers or start-ups that can offer new technologies, solutions or innovative perspectives, particularly in the field of IT.
- The need for an excessively high turnover (and disproportionate to the project) – this will close the door to newly created suppliers with restricted resources. An alternative to this criterion is to limit the financial dependence of candidates to a certain level. For example: "the supplier's bid must not exceed xx% of its annual turnover." *

*A ratio between 15% (the Council of Europe's weight is then sufficient to be considered as an important client) and 35% (the Council of Europe's weight does not create too strong a dependence on the supplier) is satisfactory, even if it cannot be applied to all situations.

⚠ The eligibility criteria must be specified in the tender documents and cannot be modified once the call is published.

How to assess eligibility criteria

As mentioned above, the tender file must specify which documents tenderers are required to submit to demonstrate they satisfy the eligibility criteria. The documents requested must allow the buyer entity to ascertain, unequivocally, whether the criteria are met.

Eligibility criteria are not scored, and they cannot be the basis of a ranking between suppliers. If they are not met, the tenderer must be declared ineligible: the offer must be excluded and must not be analysed against the award criteria.

Unless it has been explicitly stated in the tender file, exceeding the requirements of one criterion cannot make up for failing to meet one or more of the other criteria.

4.8.3.3. Award criteria

The award criteria serve to assess the quality of a tender in order to identify the best value for money. There should be no overlap between the eligibility criteria used to preselect the potential providers and the award criteria used to determine the best tender, as they do not aim at assessing the same things. In other words, the award criteria are complementary to the eligibility criteria, as they will be used to assess and score the offers submitted by the tenderers that satisfy the eligibility criteria, to identify the bid(s) that offer best value for money and that will be selected. The buyer entity will therefore ensure that:

- similar requirements are not repeated twice
- one criterion does not contradict another

💡 The number of criteria set will depend on the complexity of the purchases to be made. However, usually the award criteria will cover both the professional or technical requirements and the financial offer.

Professional or technical criteria

Professional or technical criteria allow the quality of technical tenders to be assessed. In this regard, assessing the methodology proposed by the bidder is essential. It may be examined in the light of:

- the requirements detailed in the technical specifications or terms of reference;
- the capacity of the supplier to understand the needs of the Council of Europe and to reformulate them in a clear manner
- the work schedule proposed
- the appropriateness of the resources used, in other words, the experience of the persons allocated to the execution of the contract (qualifications, professional experience, geographical experience if relevant, language skills, etc.)❓

  These criteria may normally be assessed using the same types of documentary evidence as outlined above, in particular the motivation letter, although tenderers may also be asked to provide a specific document outlining the methodology they intend to use.

The technical criteria may be divided into sub-criteria whenever necessary. However, once fixed (and published), no changes are allowed.

Financial criteria

Financial criteria correspond to the financial offer of the tenderer and to any additional costs requested by the Organisation (for example maintenance or other costs). If needed, they should be simulated over the total duration of the contract in order to make sure that all offers are compared on the same basis (see Chapter 4.9.6.4 for more details regarding the assessment or bids analysis step).

Weighting

The respective weighting of each criterion depends on the nature of the services procured and is to be determined on a case-by-case basis. Whether the weighting of the quality or technical award criteria will be higher or lower than the weighting of the financial offer will depend on the nature of the goods or services purchased.

> **🤝 Procurement advice**
>
> Generally speaking, the simpler the need or the more standardised the deliverable, the more important the economic criteria (price/cost) should be.

As a rule of thumb, the more the expected services correspond to standard services that do not require any customisation in order to correspond to the needs of the Organisation, the more the financial offer criterion should receive higher weighting. On the contrary, if the expected services require customisation in order to satisfy the needs of the Organisation, the more the technical quality criterion should receive higher weighting. In any event, the weighting for the financial offer cannot in principle be lower than 20 points (unless a minimum score or exclusion level is set, see below).

In e-procurement, the assessment of the financial criteria can be done in 2 ways:

- using the best financial offer as reference to calculate the score of all other offers (lowest offer = highest score)
- using the average of all offers as reference to calculate the score of each offer

The default recommended methodology, and best practice, is to use the “lowest offer” for assessing all other bids. However, if the Buyer Entity decides to use the “average offer”, this information must be added in the Tender File.

⚠ The weighting of each criterion (and ideally sub-criterion) must be clearly indicated in the tender file and cannot be modified once the tender documents have been published.

Minimum score or exclusion level

In the case of the conclusion of a multiple framework contract with pooling (see Chapter 3.3.2), it is possible for the buyer entity to set a minimum score for inclusion in the pool of selected suppliers. In this case, the tender file should clearly specify this possibility as well as the minimum score that will apply. This allows the buyer entity to include in the pool only the suppliers with a score equivalent or higher than the threshold set in the tender file. If no minimum score is indicated in the tender file, all eligible suppliers – up to the maximum number of suppliers indicated in the tender file – will have to be admitted to the pools. The use of minimum scores could also be relevant in other scenarios, such as when the rules applicable to the selection of suppliers that are admitted to a competitive dialogue or potentially invited to negotiations are laid down.



A call for tenders for transport services may attract a high number of candidates. If negotiations are expected to take place, the buyer entity should indicate in the tender documents the minimum score to be reached to be invited to the negotiation step.

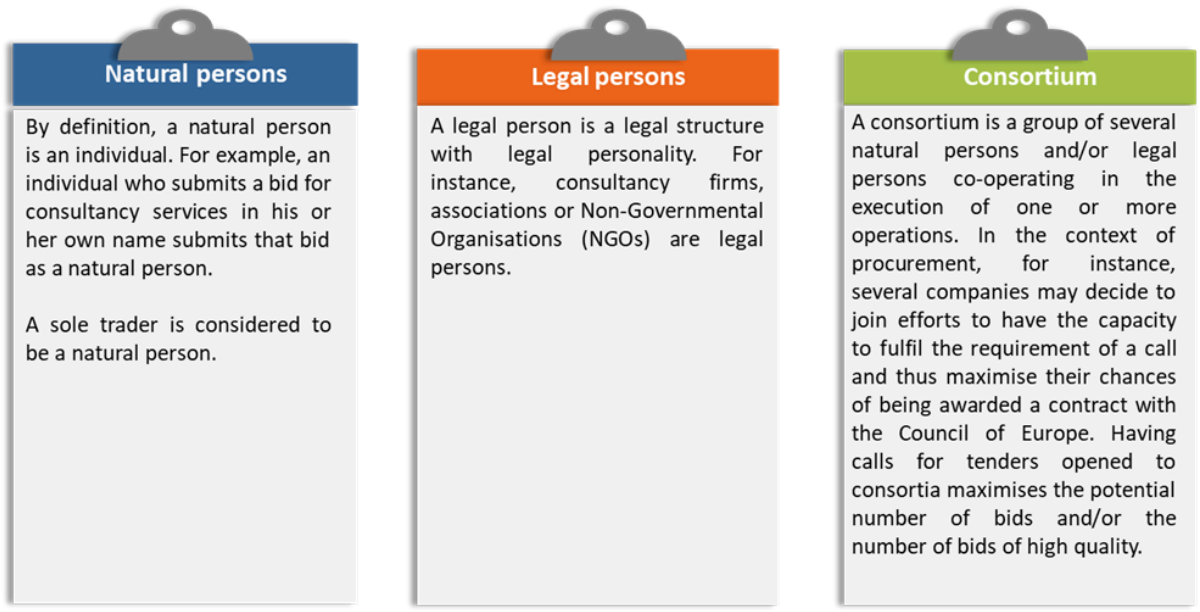
4.8.4. Tender rules

4.8.4.1. Tenderers’ legal status

The tender documents will define precisely which types of tenderers can participate in the procedure. In principle, the following two options are available:

- the tenderers must be either a natural person, a legal person or a consortium of legal and/or natural persons. This option is generally used for small- to medium-scale contracts where either an individual or a company could perform the services
- the tenderers must be a legal person or a consortium of legal and/or natural persons. This option is generally used for larger contracts which require investment by the supplier, or where there is a greater need for security and risk management

In any case, it is for the buyer entity to determine which option is most relevant to their operational needs.



Consortia

In principle, consortia of natural and/or legal persons are allowed to tender. It is important, though, to highlight that consortia must comply with a number of conditions laid down in the legal conditions. The main aspects to highlight in this regard are the following:

- the suppliers in a consortium all bear full responsibility for carrying out and complying with the terms of the contract and are jointly and severally liable
- the suppliers must have internal arrangements regarding their operation and co-ordination to ensure that the action is implemented properly. These arrangements must be set out in a written consortium agreement. In principle, the consortium does not have to submit such a document, although the Council of Europe may request a copy

⚠ When submitting their offers, the suppliers must inform the Council of Europe if they are willing to subcontract a part (or the totality) of the planned activities. The Council of Europe can accept or refuse such a demand. If the subcontracting has not been requested during the tendering phase, a request should be addressed to the Organisation for its approval. In any case, a supplier does not have the right to subcontract a part (or the totality) of their contract without having received an authorisation from the Council of Europe.

4.8.4.2. Submission of offers and deadline

The tender file sets a deadline for submission of tenders. Tenders received after this deadline are not admissible.

In a competitive bidding procedure, the deadline is set by the buyer entity based on the complexity of the file.

In an international public call for tenders, the deadline for the submission of offers cannot be shorter than three weeks. For procedures concerning the conclusion of contracts of a higher value or of particular complexity (for example IT development), it may be advisable to foresee a longer deadline. It is therefore important to take into account this fixed time frame when planning the procurement procedures.

As to the manner in which bids must be submitted, it is necessary to keep in mind the following:

- in the context of a competitive bidding procedure: the offers will be sent to the e-mail address – managed directly by the buyer entity indicated in the tender file. It is recommended to choose a generic address, rather than a personal one
- in the context of an international public call for tenders: the offers will be sent to cdm@coe.int;
- in both cases, the offers will be sent via the Council of Europe electronic tendering platform if the it is used to publish the tender

⚠ **If a procedure is published on the Council of Europe electronic tendering platform**, all offers should be submitted by tenderers using this platform. Offers received outside the tool (e-mail, post, etc.) should therefore be automatically excluded.

4.8.4.3. Validity of offers

Offers are valid for 180 calendar days from the deadline for submission. If it is expected that the procurement procedure will not be over by the end of 180 days, it is possible to increase the relevant time frame. In this case, consult the DLAPIL for advice.

After that deadline, the bidders are no longer considered to be bound by their offers and may refuse to enter into a contract with the Council of Europe. However, if all bidders agree, in writing, to extend the validity of their offer, the offers received may be considered. If not, a new procedure must be launched.

4.8.5. Act of engagement

An act of engagement normally includes:

- the supplier's details (name, address, contact details, bank account details, etc.)
- the supplier's financial offer
- the declaration of agreement (DLAPIL's templates)
- the signature boxes
- the legal conditions

In order to submit a valid offer, tenderers are required to fill out the act of engagement and to sign it, when required in the tender file. Failure to complete and/or to sign the AoE normally leads to automatic exclusion.

4.8.5.1. Supplier's details

Before signing the act of engagement, the suppliers should complete the sections "Contact details" and "Bank details" with the relevant information. The suppliers should ensure that all entered data are correct and that the name of the supplier and the name of the account holder are the same.

4.8.5.2. Financial offer

The financial offer (see also Chapter 4.8.7 on prices) is the second part of the act of engagement that must be filled in. Providers submit their bid here. If it is not filled in or is incomplete, the whole offer must normally be excluded: it is forbidden to ask a supplier to complete this part of the documents after the opening of the offers.

The buyer entity can also require the submission of additional documents from bidders. These documents should help to better understand the technical proposal of each candidate, such as the way the candidate proposes to handle the work or present his or her previous work.

👍 Best practices

When the buyer entity requires CVs from bidders, asking for CVs based on the EU template (EUROPASS) will facilitate the reading of offers (same format, already well known and used by European consultants and suppliers).

4.8.5.3. When standard legal conditions cannot be used

In certain situations, it may not be possible to apply the Council's standard legal conditions. The following are scenarios where issues may arise:

- the provider does not accept the legal conditions proposed by the Council
- it is anticipated from the outset that standard conditions cannot be applied due to the nature of the purchase or the supplier
- goods or services are purchased online, leaving no opportunity to negotiate contractual terms

👍Best practices
As a general rule, it is not recommended to accept supplier's terms that do not include the Council's non-negotiable clauses. Any exceptions to this rule should be carefully assessed in accordance with the procedures outlined below. Please consult DLAPIL whenever you encounter any of the described scenarios.

4.8.5.3.1 The provider does not accept the legal conditions proposed by the Council

In some cases, suppliers may refuse to accept the Council's legal conditions. This is typically the case of hotels, which often insist that the Council accept their legal conditions instead.

The recommended approach is as follows:

- Always propose the Council's legal conditions first;
- In case of refusal to sign the Council's legal conditions, the provider's legal conditions can be accepted only if the conditions are balanced (consult DLAPIL in case of doubt) and that the CoE standard clauses (cf. Chap 4.8.10. - Non-negotiable clauses) on Disclosure of the terms of the contract, Use of the name and logo of the Council and Disputes are inserted in the contract. For the Disputes clause, it must replace any existing clause foreseeing the jurisdiction of any national court;
- **In case of refusal to proceed as above, by amending the supplier's legal conditions, the CCM is the only person responsible to decide whether the contract shall be signed or not;**
- If the CCM considers that other factors (e.g. political, operational) command the signature of the provider's legal conditions, despite the absence of the above clauses, it is imperative, when sending the signed contract to the provider, to inform the provider that "The Council considers the dispute settlement clause as inapplicable due to the status of the Council as an international organisation, and will invoke its immunity from jurisdiction if the situation so requires".

4.8.5.3.2 Tender file without an act of engagement

Also, there may be situations where using a standard act of engagement or defining all legal conditions at the outset of the procurement procedure is not possible. This may occur, for example, when certain legal provisions are likely to evolve, or when finalising them at the beginning of the procedure could unnecessarily limit the potential market. Such situations often arise in contracts with hotels for accommodation or meeting room rentals, or with IT companies for standard software.

In these cases, the procurement procedure may be initiated using the Tender File template without an act of engagement. This approach allows specific legal and contractual conditions to be negotiated directly with selected bidders at a later stage.

A copy of the Council of Europe's standard legal conditions for the relevant type of contract should be attached to the Tender File for information purposes only. Bidders will then indicate any clauses they are unable to accept, providing justification and, where appropriate, proposing alternative clauses. Alternatively, bidders may submit their own standard legal conditions. The capacity to meet the Council's contractual requirements could be considered as one of the award criteria when assessing tenderers' offers.

In such scenarios, the Tender File should clearly state that any contract resulting from such consultation must include the following Council of Europe standard clauses, which cannot be amended: Disclosure of the terms of the contract, Use of the name and logo of the Council and Disputes. This ensures that all bidders are aware from the outset of the boundaries of the negotiation. The Council also reserves the right to request amendments to any contract proposed by the selected provider to safeguard its interests, comply with its status as an international organisation, and maintain a fair balance between the parties.

It is strongly recommended to consult DLAPIL regarding specific legal conditions before entering into negotiations with bidders.

4.8.5.3.3 Internet purchases

For Internet purchases – where the supplier's terms can only be accepted or refused and there is no room for negotiations – the terms may be exceptionally accepted under the responsibility of the CCM. If the CCM considers that other factors (e.g., operational or financial) justify proceeding despite the absence of the required clauses, and the risk of disputes is considered minimal, the purchase can be made. The decision must be documented in writing and duly substantiated.

4.8.6. The act of engagement depending on the type of contract

4.8.6.1. One-off contract

When an act of engagement is used, it is for the relevant CCM to sign it (unless he or she expressly delegates his or her power to sign to other Secretariat members). A one-off contract constitutes both a legal and a financial commitment. Before signing, the buyer entity would need to make sure to indicate the applicable VAT requirements in the “invoicing” table below the signature box (see Section B of the act of engagement), as instructed by Protocol.

4.8.6.2 Framework contract

The first stage, the signature of the framework contract itself, constitutes only a legal commitment and not a financial one (unless a minimum purchase requirement is contracted). Therefore, the act of engagement does not necessarily require the signature of a CCM, but may be signed by any person duly authorised in accordance with the general delegation framework for Council of Europe Secretariat. If it is a multiple framework contract, it must be signed by each of the selected suppliers.

Once the framework contract is signed by each supplier, orders can be made at the second stage.

Time-based units v. deliverable-based units

As outlined above, there is a difference in the structure of a FC when procuring goods or general services v. intellectual services.

When purchasing goods or general services, the table of fees in the AoE will include a list of the units and/or items included under the FC as well as a unit price for each unit or item (deliverables-based units).

When procuring intellectual services, time-based units (days of work or hours of work) are usually used. In a consultancy contract, the Council of Europe and the supplier agree on the price for a day/hour of work. In light of the foregoing, the fee used will be usually either a daily or an hourly fee (time-based units).

👍 Best practices

If a daily fee is the only fee included in a framework contract, it can be fractioned to determine the fee per hour. This can be useful if you need to take into account the number of hours required to complete the deliverable in order to calculate the lump sum to be paid for the deliverable. This may be the case, for example, when the completion of the deliverable requires less than a full day’s work (eg, attending a half-day conference) or a period of time that does not correspond to a number of whole days (eg. 4 days and 5 hours). Daily fees are defined per 8 hours of work. At the drawing-up phase of the procedure, please add the clause below to Part A of the Act of Engagement and in the Tender File part D. Fees:
“The Council of Europe reserves the right to calculate and apply an hourly fee by dividing the amount of a daily fee by 8, where appropriate in view of the scope and complexity of the services to be contracted”.

4.8.6.3. Framework agreement

The first stage, the signature of the framework agreement itself, constitutes only a legal commitment and not a financial one (unless a minimum purchase requirement is contracted). Therefore, the act of engagement does not necessarily require the signature of a CCM, but may be signed by any duly authorised person (for example, a head of sector, for a sector-based agreement), although it is always advisable to have the CCM sign it. The framework agreement must be signed by each of the selected suppliers.

Once the framework agreement is signed by each supplier, call-offs can be launched.

👍 Best practices

As there is a different act of engagement for each procedure, depending on the procedure that is launched, the buyer entity should pick the right template and fill it in. Be careful to always start with a new template, and not recycle an old one, since the templates are updated frequently. All templates are stored on the DLAPIL’s website.

4.8.7. Prices

Tenderers must submit their prices (financial offer) for the needs expressed in the tender. There are certain practices that increase the chances for the Organisation to receive consistent financial offers (at the right price):

- indicate quantities (in the case of a one-off contract) or estimates of the number of activities foreseen (in the context of a FC) so that each tenderer may have an idea of the volume of business the contract with the Council of Europe may represent. Without such elements, there is a significant risk that only historical suppliers, who are familiar with the Organisation’s needs, will be able or willing to tender
- provide sufficient details on the expected deliverables so that tenderers may take into account any possible constraints (such as deadlines or expected level of competence) and adapt their financial offers accordingly
- indicate the format in which tenderers should submit their financial offer to facilitate the analysis of the financial offers (the DLAPIL templates contain, by default, a table of prices or fees to that end)
- the more detailed the price lists are, the more precise and comparable the offers will be

🤝 Procurement advice

The Procurement Unit can support buyer entities in developing the right “financial offer format” and in ensuring that it is:
- understandable by future tenderers;
- in line with the other documents of the file (mainly the TS and TF).



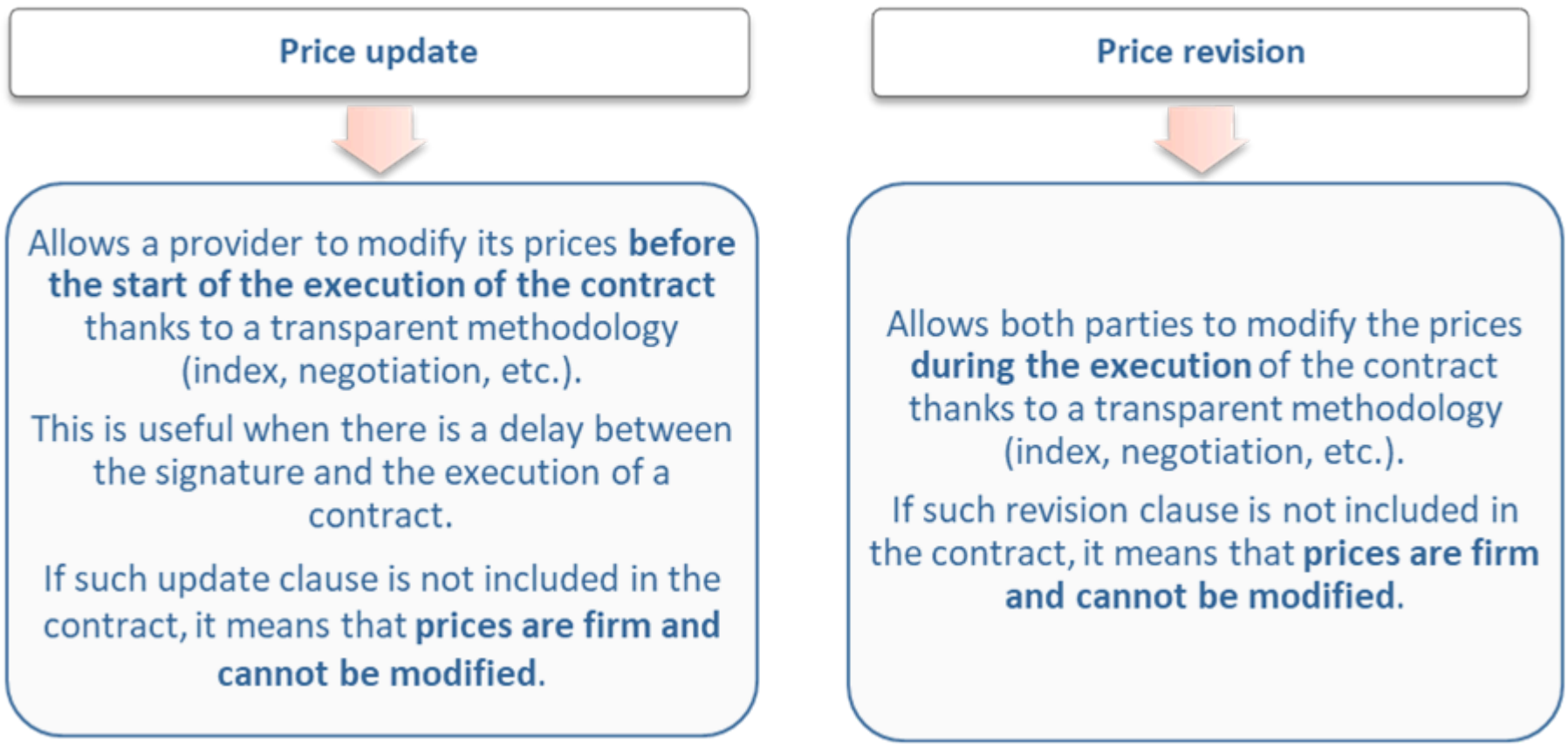
A call for tenders for the organisation of a conference which includes a catering service should specify the following deliverables: the number of participants, the expected quality of the meals (medium or high quality), the expected duration of the meals, the need for service personnel, etc.

When relevant, tenderers can be allowed (if duly explained in the tender documents) to submit alternative offers based on different scenarios (for example various number of participants, with or without service) so that the buyer entity, at the time of the analysis, can choose the best value for money.

- if a buyer entity requires a deliverable which can be broken down into several components or sub-deliverables, it may also be interesting to require the price for each component. This makes it easier to identify which components of the deliverable are the most “expensive” and may need to be clarified or negotiated with a supplier
- If the tender documents include technical specifications, it may be useful to ask the tenderers to provide a specific table with those specifications and their financial offer. If needed, the table of prices or fees included in the act of engagement may be replaced with a detailed Excel file attached as an appendix

4.8.7.1. Price update and price revision

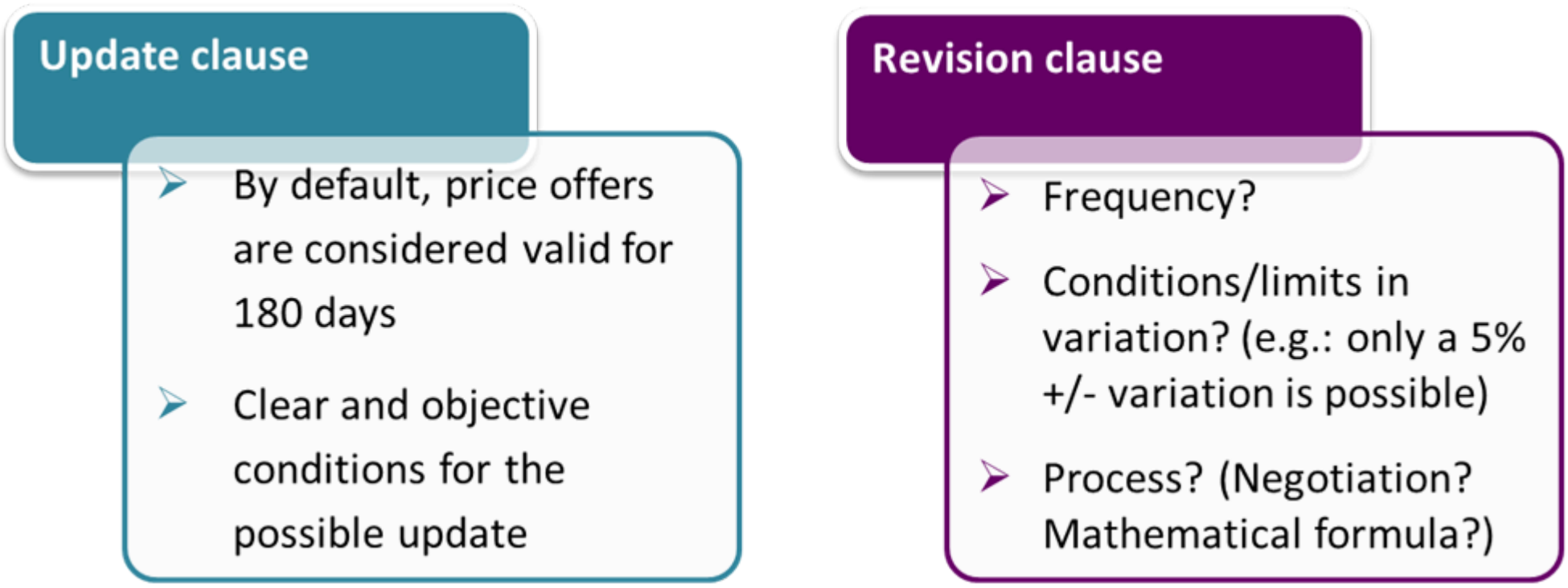
What is it?



When preparing the tender documents, the buyer entity should consider the possibility of a price update and price revision.

How is it formalised?

The tender documents must clearly indicate whether updating and/or revising the prices is possible. If so, the following must be specified:



If nothing is specified in the tender documents, no price revision can be applied without an amendment of the contract (see Chapter 5.1).

⚠ If a revision clause is included in the contract, the buyer entity should be vigilant in ensuring that it is properly applied: if market prices are dropping, suppliers may have no interest in alerting the Council of Europe and it will be up to the buyer entity to prompt the request.

Price revision formula

Foreseeing a price revision clause based on a clear methodology helps to avoid debates and disputes at the execution stage. Although the calculation can take various forms, using an official market development index provides a fair and acceptable method

for both parties.

Such indexes are listed in country-specific registers, usually accessible via the internet (INSEE in France, national banks for inflation rates, etc.). They must cover the field concerned by the contract (such as the paper index for the purchase of printing paper), so that the rise or fall of the index has a significant impact on the total price paid by the Organisation.

Procurement advice

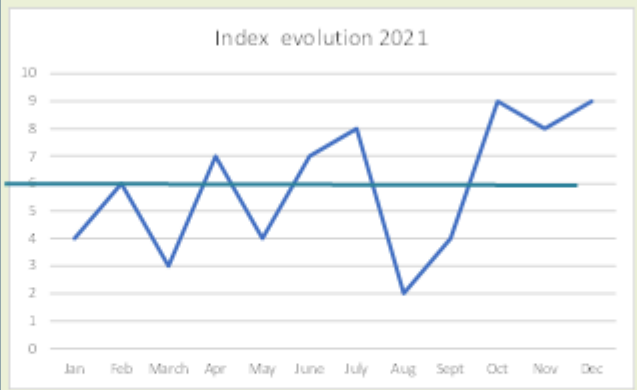
- Do not hesitate to ask for assistance in drafting a revision clause.
- Try to identify an index that is relevant for the deliverables concerned.

In order to limit the number of revisions when a price revision clause is included in the contract, it is possible to foresee a +/- margin indicating that the price revision will take place only if the variation of the index is above or below the fixed margin.

Example: an index increases by 3% over a year. However, the contract stipulates that a price revision may only take place if the index varies by +/- 5%. In this case, the prices would remain unchanged.

Best practices

In order to ensure a win-win situation between the Council of Europe and the service provider, it is recommended that the revision be made on the basis of the **average of the index over a fixed period** (a year, for example) in order to average out the changes (positive and negative).



Index average value 2023 = 6

Index value Dec 2023 = 9

Example: in 2023, I paid €100 for a service. My contract has a five-year duration and is revised each year, in January based on this index.

2024's price based on "last known index" (9) = new price €109

Or

2024's price based on "average 2023" (6) = new price €106

If a price revision is to take place, a specific document (signed by both parties) must be prepared. This note will include a reminder of the revision clause and a table of prices (generally in the format that is used when concluding the contract) with the revised prices.

A price revision based on a clause of the contract is not considered an amendment to the contract. However, in the exceptional case of a multi-year contract with fixed prices, an amendment will be necessary if it is decided during the course of the contract to make a change to the prices. This can, however, only be done in exceptional circumstances and only following consultation with the DLAPIL.

Note that a price revision is often considered as a red flag or fraud. This practice is used by bidders to lower their initial bid, win the procurement and then request a price revision to increase the price so that it reflects the real value of the services or goods to be provided. If there are any indications of irregular practices in this respect and/or possible fraudulent activity, they should be reported in line with the Organisation's legal framework.

4.8.7.2. Exclusion level

Including exclusion levels was a common practice in the past. However, following the external audit report on the procurement of intellectual services in 2020,

The external auditor considers that bidders would be tempted to offer the maximum price allowed by the tender file, thus distorting competition.

the Organisation's approach had to evolve

Legal framework and remarks

It is advisable to use exclusion levels as little as possible and only if there are strong objective reasons for doing so. Those reasons may be linked, for example, to maximum fees imposed by the donor.

4.8.8. Duration of the contract

The duration of the contract will be determined by the characteristics of the market. There are no strict rules in this regard. However:

- one-off contracts must specify a deadline for the deliverables
- for multi-year contracts (framework contracts or framework agreements), the following recommendations should be considered in order for those contracts to be attractive to facilitate the monitoring, and to ensure periodic competition

In some instances, offering to conclude a contract that is limited in time with the possibility of extension (for example three years with the possibility to extend by two more years) may not necessarily be attractive for some suppliers:

- the tenderer will have no guarantee at the time of submission of the offer regarding the real duration of the contract
- the Organisation risks paying a higher price over the full term of the contract as the tenderers' financial offer will tend to be based on the initial duration of the contract and not on the overall possible duration of the contract

It is not allowed to extend by amendment a contract which has reached its maximum duration. If the services or goods are still required, a new procurement procedure should be launched. For exceptional circumstances where the extension of the duration of the original contract seems to be the only possibility, please consult DLAPIL for advice.

Good practice

- Maximum recommended duration: four years (five years in specific circumstances).
- Complex or strategic contracts may, exceptionally, exceed five years (catering, insurance, etc.).
- For very dynamic markets (IT, audiovisual equipment, etc.), it is advisable to opt for a shorter duration period.
- Tacit renewal clauses are possible but should not allow for an extension of the contract beyond four years (five years if justified by operational circumstances).

4.8.9. Renewal clauses

Legal framework and remarks

Before publishing a call for tenders, the buyer entity should decide on the duration of the contract, but also decide whether the contract:

- should not be renewable;
- could be renewed with the written agreement of the parties;
- could be renewed by tacit agreement.

4.8.9.1. No renewal

If the buyer entity has a fixed date for the contract to end, then there is no need for a renewal clause. In that case the contract is not renewable, and it will expire upon full completion by the parties of their obligations under the contract.

4.8.9.2. Tacit renewal

In this case, the contract will be renewed tacitly (that is, automatically) at its initial end date. No action is required to renew the contract. In other words, the contract will be renewed tacitly, on an annual basis, at the end of each term until the final end date indicated by the buyer entity in the contract.

⚠ The parties must have the right to object to the tacit renewal. In order to exercise such a right, notice to the other party must be given in accordance with the time frame indicated in the contract. A three-month notice is usually considered to be a reasonable time frame. However, when justified, the buyer

entity may extend or shorten the notice period. Under no circumstances, however, may the notice period be shorter than one month.

This clause is the best option for framework contracts and framework agreements, especially in co-operation projects which are often extended and where the need to renew a contract is therefore frequent. Furthermore, a tacit renewal is easier to manage in comparison to renewal with written agreement, especially if there are many suppliers. This is because for tacit renewal no action is required to renew the contract unlike the written agreement, where the buyer entity will have to agree in writing – separately with each supplier – on the renewal before the latter expires.

4.8.9.3 Renewal with the written agreement of the parties

Under this option, the parties may agree in writing on the renewal of the contract. Therefore, the contract will expire on its expiry date unless the parties agree on its renewal before it expires.

In principle, any written format may be employed in order to agree on the renewal of the contract, provided the records unambiguously show the consent of both parties to do so. The process can be efficiently carried out via an exchange of emails. If this option is used, the written agreement of the CCM must be obtained before proceeding, and he or she should be copied to the e-mail exchange in blind copy (bcc) if needed. Moreover, the e-mail to the supplier should be sent by the Council of Europe's contact point indicated in the contract.

In case of a multiple contract (namely a framework contract or a framework agreement), the renewal process described above will have to be carried out separately with all the suppliers included therein.

⚠ Such an option is not recommended when the contract has been concluded with many suppliers. The administrative burden in renewing the contract may indeed be significant and outweigh any potential advantages.

4.8.10. General Conditions of the Council of Europe

The General Conditions (GC) of the Council of Europe include all the conditions required for the signature of any contract with a supplier.

These conditions cover all the legal requirements of the Organisation and set the rules that will govern the execution of the contract (VAT obligations, duration, data protection, use of the name of the Organisation, order of precedence of contractual documents, confidentiality, payment conditions, obligations of the parties, arbitration clause, etc.).

The General Conditions are available to the tenderers:

- in the act of engagement templates (in the DLAPIL templates, they are referred to as "legal conditions")

  The templates which are prepared by the DLAPIL are fully adapted for procurement of intellectual services. There is a section on intellectual property rights, which protect the rights and interests of the Council of Europe. For other purchases, amendments may be needed or other conditions should be considered.

- within the Council of Europe electronic tendering platform at the stage of the tenderers' submission

📌 General Conditions of the Council of Europe

💡 While the General Conditions may be sufficient for most day-to-day purchases, they may need to be completed with specific elements regarding the contract (penalties, price revision clause, technical clauses, etc.). If you identify such a need, please contact the DLAPIL or the Procurement Unit for assistance regarding those additional clauses (see Chapter 4.8.11).

Non-negotiable clauses

The General Conditions, or legal conditions, were drafted to protect the Council of Europe. If, instead of using the act of engagement provided by the Council of Europe, a supplier suggests the use of a modified act of engagement or different contract, the Council of Europe and the supplier(s) in question must agree on the terms of this contract before its signature.

As mentioned in Chapter 4.8.5.3, there may be cases where the Council of Europe's AoE is not used and/or the legal conditions (the Council of Europe's or the supplier's) must be negotiated. In this context, it is essential to stress that three clauses are considered as non-negotiable by the Council of Europe:

- disclosure of the terms of the contract
- use of the name and logo of the Council of Europe, and
- disputes

Legal framework and remarks

Non-negotiable clauses

- Use of the Council of Europe's name
"The supplier may not use the name, flag or logo of the Council of Europe without prior authorisation from the Organisation."

- Disclosure of contract terms
"The contractor is informed that all relevant terms of the contract, including its identity and pricing data, may be disclosed for internal and external audit purposes, as well as to the Committee of Ministers and the Parliamentary Assembly of the Council of Europe to enable them to carry out their statutory functions, and to meet the publication and transparency requirements of the Council of Europe or its donors. The contractor shall authorise the publication, in any form and on any medium, including the websites of the Council of Europe or its donors, of the title of the contract or projects, the nature and purpose of the contract or projects, the name and location of the contractor and the amount of the contract.
Where necessary, the Council of Europe will take the specific confidentiality measures necessary to safeguard the vital interests of the supplier."

- Disputes/arbitration clause
"In the absence of an amicable agreement between the parties, any dispute between the Council of Europe and the contractor concerning the application of this contract shall be submitted to an arbitration procedure (as set out in Rule No. 481 of the Secretary General) conducted by an arbitration commission. This commission shall consist of two arbitrators chosen by each of the parties and a presiding arbitrator, appointed by the other two arbitrators. In the event that the appointment of the presiding arbitrator is not made within six months as provided for above, the President of the Tribunal de Grande Instance de Strasbourg shall make the appointment.
However, the parties shall be free to submit the dispute to the decision of a single arbitrator chosen by them by mutual agreement, or in the absence of such an agreement, by the President of the Tribunal de Grande Instance of Strasbourg.
The Commission or, where appropriate, the sole arbitrator shall determine the procedure to be followed. In the absence of agreement between the parties as to the applicable law, the commission or, where appropriate, the sole arbitrator shall decide ex aequo et bono, taking into account general principles of law and commercial practice. The arbitral decision shall not be subject to appeal and shall be binding on the parties."

4.8.11. Supplementary general conditions and specific contractual conditions

If the purchase concerns a highly technical field of activity, for a large-scale project, it may be necessary to use supplementary general conditions (SGC) or specific contractual conditions (SCC) in addition to the General Conditions of the Council of Europe.

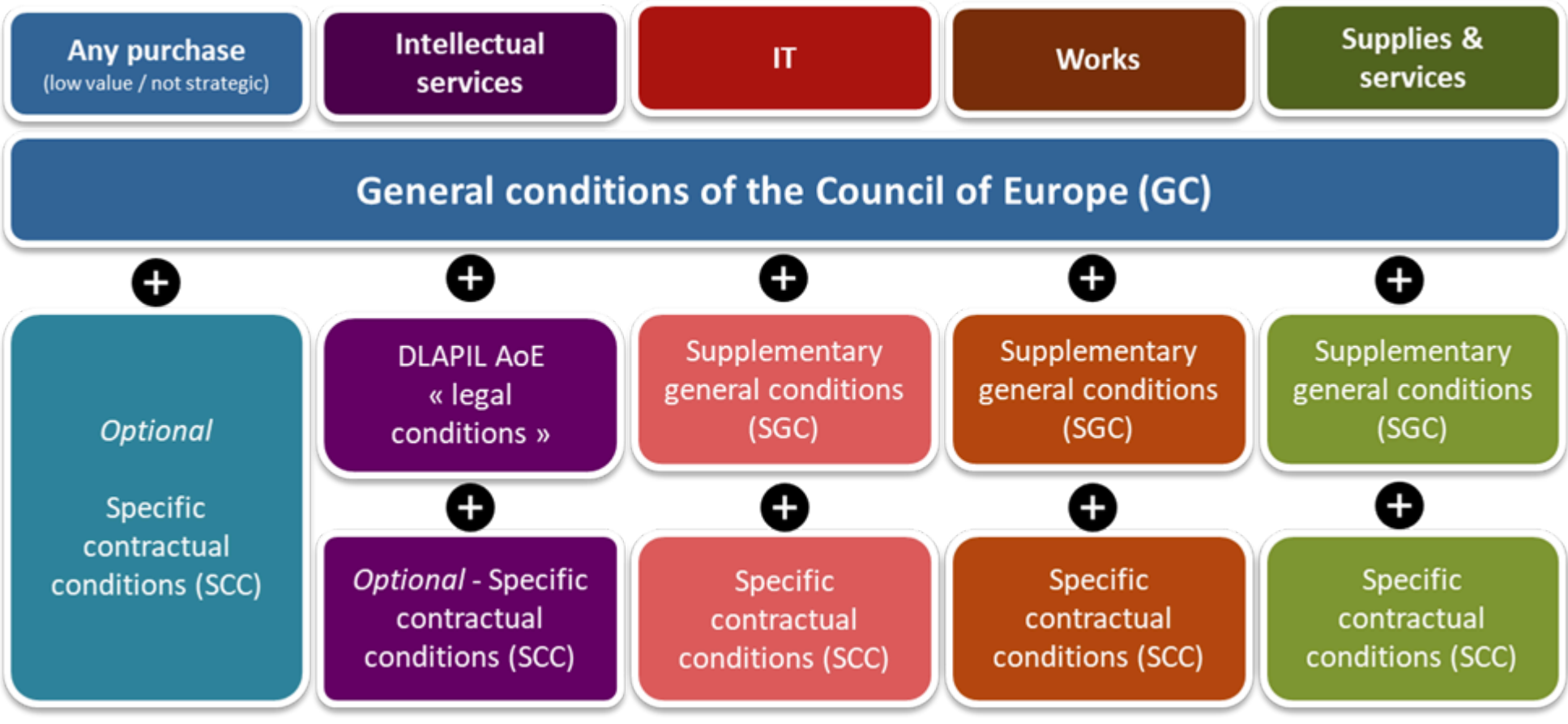
There are four types of SGC, each covering a specific field of activity:

- intellectual services
- supplies and services
- works
- IT

These SGC develop, in detail, legal clauses necessary for the execution of the contract, depending on the field activity. They are always completed with SCC for additional information (such as price revision index, warranty, penalties or access to buildings).

If your project (and call for tenders) requires the usage of such type of specific contract and conditions, please contact the Procurement Unit.

The following diagram summarises the available purchase conditions:



⚠ Considering penalties in situations where the service level provided by the supplier is not sufficient is a good practice. However, the buyer entity should be careful regarding the value of these penalties: too low, and the penalties will be useless. Too high, and the providers might be concerned about submitting a bid (too high a risk for them).

4.8.12. Technical specifications

The buyer entity is responsible for the preparation of the technical specifications as a separate document or as a part of the terms of reference. The following elements must be taken into account when drafting TS:

👍 **Best practices:**
When drafting technical specifications, it is recommended to focus on the objective or desired outcome of the service, rather than imposing overly restrictive requirements.
Good example: "The room must be able to accommodate 100 guests and be adapted for people with reduced mobility." This description clearly states what is expected (capacity and accessibility for all) and allows different suppliers to propose solutions that meet the functional needs, without limiting innovation or excluding potential offers.
Less effective example:
"The room must have a surface area of 250m² and be located on the ground floor."
This description specifies exact physical characteristics (size, floor) which may not be directly relevant to the outcome. It also excludes venues that could serve the intended purpose (accommodate 100, be accessible), but are configured differently.

- the technical specifications as a separate dedicated document should not mix administrative or legal provisions with technical information.
- buyer entities should avoid mentioning brands as much as possible (if not possible, the mention "or equivalent" should be added).
- buyer entities must provide clear and complete information so that any supplier, including those with no previous experience working with the Council of Europe, can participate in the procedure and submit a tender. This means avoiding references, requirements, or details that only previous suppliers would know, and ensuring all necessary information is available to everyone.
- the technical specifications should focus on the objective to be achieved, rather than prescribing the specific means or methods to be used (see example on the right).
- it may be useful to allow tenderers to submit variants, meaning that to the bidders can propose alternative suitable solutions that differ from the technical specifications. However, clear guidelines should be provided in the tender file on when and how variants can be submitted, and all offers must still meet the minimum requirements set out in the tender file.
- define the need correctly: over-quality has a cost and is not always necessary.
- take into account the total cost of ownership over the duration of the contract and not just the purchase price. A gross price alone is not representative if the service involves additional costs during the course of the contract. Adding up all the possible extra costs to make the right choice is therefore necessary.
- clearly identify the expected output, the objectives to be achieved by the future supplier in order to be able to concretely monitor and evaluate their performance and apply objectively the penalties if they are foreseen in the contract.
- properly highlight the elements that will be taken into account for the assessment and ranking of the offers (such as proposed deadlines, planned methodology, proposed processes, profile of the supplier, quality of the goods or services offered). Clear explanations in the technical specifications regarding the Council of Europe's expectations help bidders submit offers that fully meet the requirements.
- warranty and maintenance needs should be foreseen, if applicable.



"The room must be able to accommodate 100 guests and be adapted for people with reduced mobility" (objective: what is expected of the service?) rather than "The room must have a surface area of 250m² and be located on the ground floor" (unnecessary restrictions are imposed, limiting potential offers).

⚠ Secretariat members who need to purchase specific “technical” goods or services - such as IT, works, furniture, communication, etc. - should consult the relevant directorates (DGS, DIT, ITEM, DC, DPC, etc.) before the launch the procurement procedure (i) to clarify the requirements; (ii) to confirm that those needs are not already covered in-house and (iii) to validate the procedure and type of contract to use.

4.9. Launching a procurement procedure and follow-up

4.9.1 Obtaining the authorisation to launch a procurement procedure

The procedure to be followed depends on whether a direct award procedure, a competitive bidding procedure or an international public call for tenders is launched.

Direct award procedure

The procedure to be followed to obtain authorisation to launch a direct award procedure varies according to the nature of the purchase, the estimated expenditure and the source of funding.

Direct awards below €2 000/6 000

When you are purchasing goods or general services for a total estimated expenditure of less than €2 000, excluding VAT, or when you are purchasing intellectual services less than €6 000, excluding VAT, and the basic criterion of choice is the expertise of the supplier, the contract can be awarded directly to a provider of your choice. To this end, a memorandum (or any other mean in use) must be prepared by a Secretariat member of the buyer entity and submitted to the CCM for validation (Article 22.4. of Rule No. 1395). The memorandum must justify the decision to award a contract directly to that specific supplier.

Direct awards above €2 000/6 000

In exceptional circumstances, and in compliance with Article 40.3.*c* of the Financial Regulations and Article 22.1.*a* of Rule No. 1395, a contract of a value higher than €2 000/€6 000 may be awarded directly, if at least one of the following justificatory grounds is met:

- the relevant competitive procedure cannot be followed for unforeseen reasons of urgency not attributable to the buyer entity;
- technical requirements demand that a particular supplier be retained; or
- considerations of fact or law that require that a particular supplier be chosen.

In order to award a contract directly on the basis of one of the above justifications, the buyer entity shall follow one of the following courses of action, depending on the total value of the contract and the source of financing:

When Ordinary budget funds only are used

- For contracts between €2 000/6 000 and €184 000, excluding VAT, a Secretariat member of the buyer entity shall submit a memorandum to the CCM for decision, which must include the contract specification, the estimated total cost of the contract, an explanation of the unforeseen reasons of urgency or the technical imperatives or considerations of fact or law that justify the direct award, and the proposed supplier. The CCM will decide whether the direct award procedure can be followed and award the contract.
- For contracts equal or above €184 000, excluding VAT, the CCM will submit a request to the Tenders Board, which must include the contract specification, the estimated total cost of the contract, an explanation of the unforeseen reasons of urgency or the technical imperatives or considerations of fact or law that justify the direct negotiation, and the proposed supplier. On the basis of the request, the Tenders Board decides whether the direct award procedure can be followed and, if the request is approved, the CCM may award the contract.

When extrabudgetary funds are used

- If the procurement is funded – either partially or wholly – by extra-budgetary funds and the contract is between €2 000/6 000 and €55 000, excluding VAT, a Secretariat member of the buyer entity will submit a memorandum to the CCM for decision, which must contain the contract specification, the estimated total cost of the contract, an explanation of the unforeseen reasons of urgency or the technical imperatives or considerations of fact or law that justify the direct award, and the proposed supplier. The CCM will decide whether the direct award procedure can be followed and award the contract.
- If the procurement is funded – either partially or wholly – by extra-budgetary funds and the contract is between €55 000 and €184 000, excluding VAT, the purchase must mandatorily undergo a Legal Compliance Review before it can be submitted to the CCM for approval. The review is carried out by the DLAPIL in accordance with the procedure described below [add link]. The request for legal compliance review must include the contract specification, the estimated total cost of the contract, an explanation of the unforeseen reasons of urgency or the technical imperatives or considerations of fact or law that justify the direct award, and the proposed supplier. Only when the DLAPIL’s visa is obtained, the memorandum containing the same information can be submitted to the CCM for approval.
- For contracts equal or above €184 000, excluding VAT, the CCM will submit a request to the Tenders Board, which must contain the contract specification, the estimated total cost of the contract, an explanation of the unforeseen reasons of urgency or the technical imperatives or considerations of fact or law that justify the direct negotiation, and the proposed supplier. On the basis of the request, the Tenders Board decides whether the direct award procedure can be followed and, if the request is approved, the CCM can award the contract.

Competitive bidding procedure

The process to follow in order to obtain the authorisation to launch a competitive bidding procedure differs depending on the estimated expenditure and the source of funding.

- When the purchase is comprised between €2 000 (or €6 000 for intellectual services) and €55 000, excluding VAT, the tender documents must be submitted to and approved by the CCM in writing. The process is the same irrespective of whether the procurement is funded by the Ordinary Budget and/or by extrabudgetary funds.
- When the purchase is comprised between €55 000 and €184 000, excluding VAT, and the procurement is funded by the Ordinary budget, the tender documents must be submitted to and approved by the CCM in writing.
- When the purchase is comprised between €55 000 and €184 000, excluding VAT, and the procurement is funded – either partially or wholly – by extra-budgetary funds, the tender documents must mandatorily undergo a Legal Compliance Review before they can be submitted to the CCM for approval.

The review will be carried out by the DLAPIL in accordance with the procedure described below [add link]. Only when the DLAPIL's visa is obtained, the tender documents can be submitted to and approved by the CCM in writing.

Legal compliance review – how to

Following the change in the threshold for procurement funded by **extra-budgetary means** as of 1 February 2025, purchases within the financial range of **55 000 EUR** to **184 000 EUR** excluding VAT must necessarily undergo a Legal Compliance Review (LCR), ensured by DLAPIL, before the purchase may be approved by the CCM. This additional step in the validation process applies to both competitive bidding procedures and direct award procedures based on exceptional grounds, within the above-mentioned financial value.

⚠This validation step does not apply to call-offs on Framework Agreement as they are not considered as a procurement procedure.

To submit a request for LCR to DLAPIL, please follow the following instructions:

- Submit your request via the request form
- Use the following reference for the title of your request: "Request for LCR"
- Attach to the request the memorandum with the details of the direct award of the contract or all tender documents (tender file, act of engagement, other documents – such as separate technical specifications – when relevant, etc.)
- Mandatorily provide the following information in your request:
  - Procurement procedure envisaged (direct award procedure based on exceptional grounds or competitive bidding procedure)
  - Estimated total expenditure under the contract
  - Source of funding
  - Entities you have already consulted, if any, such as: DLAPIL, DGA Procurement Unit, DIT, DC, Data Protection Officer, Ethics Officer

Complete requests for LCR will be processed by DLAPIL within 5 working days.

Failure to comply with the instructions above may lead to delays in the processing of the request and/or in requests for supplementary information by DLAPIL.

If and when the DLAPIL provides its visa in writing, the documents can then be submitted to the CCM and the launch of the procedure approved.

International public call for tenders: Tenders Board's approval

In the framework of an international public call for tenders, the tender documents (tender file, act of engagement and their possible appendices) – together with an explanatory note – must be sent by the relevant CCM to the Tenders Board for approval. The TB takes its decisions during the scheduled or ad hoc meetings (the calendar of scheduled meetings is available here). Outside of the meetings, files are dealt with by way of electronic consultation.

👍 **Best practices**

If the Tenders Board, in its decision, requires some modifications to the files, the buyer entity takes the responsibility to implement the necessary changes: the updated files do not have to be presented again to the TB, except if requested.

⚠ In any case, it is up to each buyer entity to determine the validation steps before the tender documents are submitted to the CCM or the TB. If the buyer entity wishes to add control and/or verification steps (FO, FOMA, Procurement Unit, DLAPIL, Tenders Board), it can do so.

Different tools exist for processing approvals (workflow command in the DGA, SharePoint for TB, Council of Europe electronic tendering platform, etc.), and each directorate may choose the system that best suits its needs.

The Tenders Board and the Tenders Board Secretariat

When does the Tenders Board intervene?

The Tenders Board is mainly involved at two stages of the procurement procedure:
- the TB must authorise the launch of an international CfT, indicating that the file complies with the rules of the Organisation, and the requirements expected during that phase (contractual documents, validation workflow);
- the TB must validate the results of an international CfT and decide on the award of the contract.

The TB should also be solicited in the following situations:
- authorisation to enter into negotiations with bidders;
- amendments;
- the direct award of a contract;
- any information requests.

>> Preparation of a memo for the attention of the Tenders Board

💡 **Requests for consultation must be sent by e-mail to the Secretariat of the Tenders Board, which will forward them to the members of the Tenders Board, giving them at least 48 hours (two working days) for approval.**

The Tenders Board has a dedicated SharePoint for its validation workflow. Questions from TB members are posted there and the procurement administrative entity can directly provide its answers in the same place.

The TB's decision is posted on the same SharePoint and is also distributed by e-mail and/or via the Council of Europe electronic tendering platform to the procurement administrative entity and archived by the TB's secretariat.

👍 **Staff members can find on the secretariat Tenders Board's intranet page:**

- a "how to" guide clarifying the use of the TB's SharePoint;
- templates for memos;
- a summary diagram for each step the TB procedure should follow.

If a Tenders Board decision includes requests for modifications (mostly before publication), the modifications should be done by the buyer entity. An updated version must be presented to the TB Secretariat for final validation.

4.9.2. How to invite or publish

Inviting to tender and publishing under a competitive bidding procedure

Under a competitive bidding procedure, the minimum requirement to satisfy is to send an invitation to tender to at least three potential suppliers. The invitation can be sent via e-mail and should include the tender documents (which would include at least the tender file and act of engagement). A cover message/e-mail may explain the background of the procurement (such as a short introduction to the project or the sector). A deadline for tendering must be set up in the tender documents.

Where it proves impossible to consult at least three suppliers, the reasons should be recorded.

The tenders can be addressed to a nominative e-mail, although the use of non-nominative e-mail addresses is always recommended.

Alternatively, or in addition to issuing invitations to tender, it is possible to publish a call for bids. In this case, the buying entity must publish the call by the best possible means to reach its target, for example the Council of Europe's website, project website or the sector website, and any other relevant complementary means of publication (Facebook page of a project, X accounts, etc.). See below for more information.

Publishing an international public call for tenders

Once the Tenders Board approves the tender documents, they must be finalised by the buying entity, in particular by displaying the file number on the documents and updating the dates as the case may be, before sending them back to the Tenders Board's Secretariat for publication.

International public calls for tenders will be published on the website of the Organisation. In addition, the Tenders Board may decide that they should be published in the Official Journal of the European Union, on the electronic platform, on websites and/or social media and/or in the national, regional or local newspapers or periodicals. Notification of the tender may also be sent to the member state's permanent representation. When relevant – and in addition to publishing the call for tenders – it is also possible to invite specific suppliers to submit an offer by sending the link to the published procedure.

In exceptional cases and where duly justified, the Tenders Board may decide to approve a proposal from the buyer entity that an international public call for tenders should not be published but should instead be disseminated to certain preselected suppliers.

Publishing: how to

Publishing on the Council of Europe electronic tendering platform

The possibility of publishing a procurement procedure on the Council of Europe electronic tendering platform is available to all buyer entities, irrespective of the value of the procedure. Using the Council of Europe electronic tendering platform is mandatory (see Chapter 6.1 for te exact deployement planning).

Once published on the Council of Europe electronic tendering platform, a link is created enabling any interested supplier to access the procedure. The link can be used by the buyer entity to disseminate the procedure on any media (social networks, Council of Europe local websites, professional publications, professional websites, etc.).

The Procurement Unit supports Secretariat members and suppliers requiring support when using the tool.

Publishing without the Council of Europe electronic tendering platform

If the buyer entity decides not to use the Council of Europe electronic tendering platform for its publication, it will have to decide how to make its tender "as visible as possible". Again, this is dictated by the procurement principles of the Organisation and any supplier should have access to all tenders (see Chapter 1.1.1 General principles of public procurement).

Several means are available: the Council of Europe's website; the websites of Council of Europe external offices; appropriate websites and/or social media; national, regional or local newspapers or periodicals, etc.

Publishing on the OJEU platform

Publication on the European Union's tendering platform (OJEU – TED Europa) is always possible. For international CfTs, the TB can ask that a file be published in the OJEU.

📌 Publication in the OJEU should be done with a dedicated account by the buyer entity for each publication going through the OJEU. The Procurement Unit can support you with such publication.

⚠️ During the tender process, and apart from visits (if any), no contacts are allowed between the Council of Europe and potential bidders apart from questions/answers (see next chapter).

💡 For confidentiality reasons or security, the buyer entity may not wish to publish the details of the tender documents in full. In this case, the tender documents must still indicate a minimum amount of information regarding the object of the purchase, as well as a date to submit offers. Potential suppliers will be requested to contact the Organisation in order to obtain the complete file. The signature of a confidentiality agreement can also be requested in such cases.

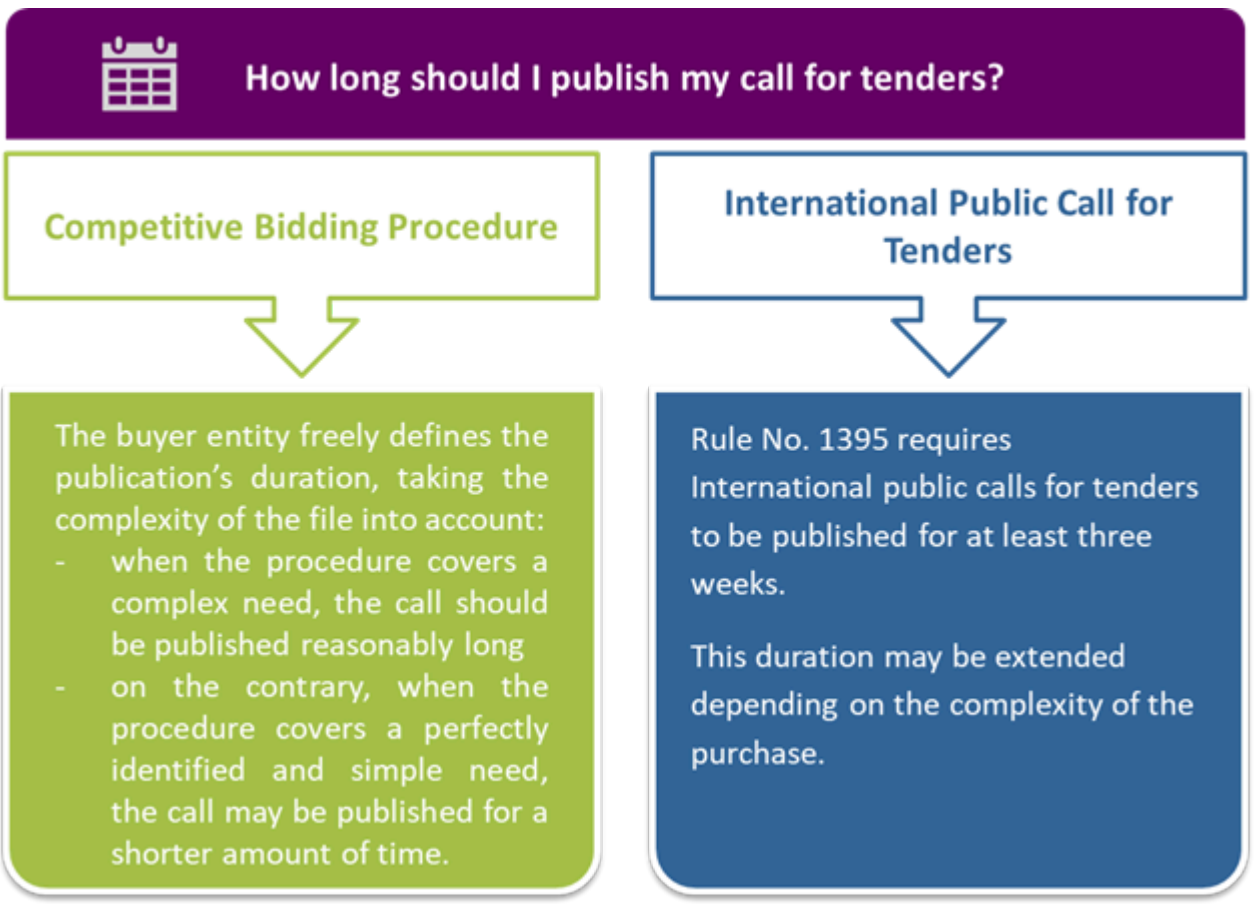
👍 **Best practices**
The Council of Europe electronic tendering platform includes a deadline functionality enabling the buyer entity to set a date and hour for receiving offers.

For tenders published outside the Council of Europe electronic tendering platform, whatever the value, it is key to also mention inside the tender file the date and time for submission.
Offers received after that date must be rejected.

Procurement advice

- Identify additional publication media.
- Source new suppliers, in particular to reach the “three minimum suppliers” if the buyer entity does not wish to publish (competitive bidding procedure).
- Use the Council of Europe electronic tendering platform to speed up the publication process and simplify access to the Organisation’s tenders.
- Publish at the right time: do not launch your call for tenders during the summer break, do not put a deadline for offers on a Monday morning, etc.

How long should a call for tenders be published?



The publication is directly related to the complexity of the tender: the more complex, the longer it should be. However, under an international public call for tenders, the deadline cannot be shorter than **three weeks.**



4.9.3. Answering questions during the publication step

It is foreseen that potential tenderers may request supplementary information on the tendering procedure. This enables potential suppliers to better understand the expectations of the buyer entity and, therefore, to submit more targeted offers.

The questions and answers (Q&A) process must be described in the tender documents, including:

The e-mail address for the receipt of questions

Questions will be sent to the buyer entity via e-mail and the e-mail address to be used in this connection must be indicated in the tender documents. It is preferable to use a non-nominative e-mail address. In the case of a competitive bidding procedure, it is also recommended, if possible, to use a different e-mail address than the one used to receive offers, in order to avoid accidentally opening bids before the deadline for submission has passed. Any questions

received other than by the indicated e-mail must not be answered.

The deadline for submission of questions

It is for the buyer entity to set the deadline, bearing in mind that there must be sufficient time between the deadline for submission of questions and the deadline for submission of tenders. This is necessary to ensure that:

- the buyer entity has enough time to answer all the questions received, knowing that no answers will be provided later than 48 hours prior to the deadline for submission of bids
- potential tenderers have enough time to prepare or adapt their offer according to the answers provided

⚠ Whenever requests for supplementary information are made, all questions will be compiled in a single document, along with all answers. The document should be anonymised (it must not be possible to identify the supplier who asked the question). The Q&A document will be disseminated as follows:

- if the tendering procedure had been published, the Q&A document must be published by the same means of communication. If the call for tenders is published on several websites/platforms, the Q&A document will be made available on each of
- them
- in the case of a direct invitation to tender, the Q&A document will be transmitted to all invited suppliers (for example if the suppliers were invited to tender by e-mail, then the same channel should be used for the Q&A process)
- if the call for tenders is published and some suppliers have also been directly invited to tender, the Q&A document will be both published and sent to the invited suppliers

👍 Best practices

When the Council of Europe electronic tendering platform is used to publish the tender, the Q&A are fully done in e-procurement and, if needed (many questions), a document can be added (modification of the procedure) so that it is visible for all candidates.
Staff must use also the internal message tool for answering questions from providers.

It is conceivable to organise more than one round of Q&As, with a first set of questions answered before the deadline is reached, provided that the above-mentioned modalities are respected. This would imply a second round of Q&As for all questions received before the deadline for submission of questions.

indicated in the tender file and not already answered by the first Q&A document. This may be interesting for calls for tenders that generate a lot of questions.

⚠ Questions regarding a tender procedure must never be answered other than according to the procedure described above. In order to ensure the fair and equal treatment of tenderers, all bidders must have access to the exact same information at the same time.

4.9.4. Extending the deadline

If need be, it is possible to extend the deadline for the submission of offers under exceptional circumstances, only before its expiration, and upon approval of the CCM. Please consult the DLAPIL or the Procurement Unit before extending a deadline.

4.9.5. Opening offers

👍 Best practices

If your tender, **whatever the value**, is published with e-procurement, then the following applies when opening offers.
1. The software will not allow you to open offers before the deadline.
2. The offers open automatically after deadline. In case of Tenders Board procedure, there is no more need to go through the TB Secretary for opening bids.
3. Once available, offers can be uploaded or opened through the DMS button.

4.9.5.1. Competitive bidding procedure

Tenders may only be opened after the submission date. If the tendering procedure has been published on the Council of Europe electronic tendering platform, bids will be opened by one authorised staff member of the buyer entity. When the tendering procedure has not been published on the Council of Europe electronic tendering platform, bids will be received by the buyer entity directly – at the e-mail address indicated in the tender documents – and will be opened by at least two authorised Secretariat members of the buyer entity. The receipt of the bids and price proposals will be recorded and confirmed by those who have opened the bids.

4.9.5.2. International public call for tenders

If the tendering procedure has been published on the Council of Europe electronic tendering platform, bids will be opened by one authorised Secretariat member of the buyer entity acting alone. In all other cases, bids are submitted to the e-mail address of the Tenders Board (cdm@coe.int). Bids are opened by the Secretariat of the Tenders Board together with an authorised Secretariat member of the buyer entity. The receipt of the bids and any price proposals will be recorded and confirmed by those who have opened the bids. The Tenders Board Secretariat shares a copy of the record established with the buyer entity.

4.9.6. Analysis of bids

Legal framework

The tender must be analysed by at least two authorised staff members of the buyer entity. For specific technical fields, the buyer entity can be assisted by staff with expertise in the field (DIT for IT purchases, DGS for works, ITEM for translation and conferences, etc.).

The three steps of analysis

In the framework of a competitive procedure (competitive bidding procedure, international public call for tenders), bids must be analysed against three sets of criteria (see Chapter 4.8.3).

- Exclusion criteria
- Eligibility criteria
- Award criteria

💡 No assessment is necessary for direct negotiation procedures.

Where a file is composed of more than one lot, a separate analysis must be carried out for each lot, assessing only the tenderers who tendered under each lot (knowing that tenderers may tender for one, several or all lots).

While conducting an assessment, the persons involved in it should satisfy themselves that there is no indication of fraud, corruption, collusion between a bidder and a staff member of the Secretariat, or collusion between bidders that can affect the pricing (big rigging). When there is an indication of a potential proscribed practice, the procurement Secretariat member must report this immediately to their manager, with a copy to the Director of the DIO. If the Director of the DIO decides to carry out a formal investigation process, the procurement Secretariat member will seek an opinion from the DLAPIL whether to reject such bids, without waiting for the outcome of the full DIO investigation.

4.9.6.1. Admissibility

The analysis of bids starts with ascertaining whether they are admissible, and in particular:

- Bids submitted after the expiration of the deadline must be declared inadmissible. Only when tenderers are able to demonstrate that failure to comply with the deadline is attributable to the Council of Europe – such as when the e-mail address or the Council of Europe electronic tendering platform is not working properly – is it possible to accept an offer submitted after the expiration of the deadline
- When a bid is incomplete – meaning it does not include all the information/documents requested in the tender documents – it will be declared inadmissible and listed as excluded in the assessment table. When only minor information and/or documents are missing, it may be possible to ask tenderers to complete or supplement the offer (see Chapter 4.9.7)
- When an exclusion level is indicated in the tender file (see Chapter 4.8.7.2), any tender above this level must be declared inadmissible and listed as excluded in the assessment table.
- Only bids submitted in one of the official languages specified in the tender file are accepted. Bidders may be permitted to submit specific documents as part of their bids in their national language, but this must be clearly indicated in the tender file.

⚠ If the prices are not listed in the Act of Engagement but can be found elsewhere in the bid, then the offer can be assessed. No need to exclude the offer. However, that document must be opened at the same time as the other offers, and the prices must exactly correspond to what the Act of Engagement was asking for. Bidders who have submitted prices in a separate document should be requested, during a clarification round, to resubmit the Act of Engagement properly filled in.

4.9.6.2. Exclusion criteria

The first step of the analysis process is to check whether bids satisfy the exclusion criteria. In this context, a declaration on conformity with the exclusion criteria must be made by every tenderer when submitting a tender. Templates of acts of engagement prepared by the DLAPIL contain a declaration on the exclusion criteria, and no additional declaration is necessary. One must ensure, however, that the act of engagement has been duly signed. If not, the tenderer must be excluded.

When different templates are used, a separate declaration must be included in the tender package and tenderers must submit it together with their offer. If the Council of Europe electronic tendering platform is used, suppliers are invited to approve and confirm, when submitting their offers, that they do not fall under one of the exclusion criteria.

⚠ If a bid does not meet one or several exclusion criteria, it must be excluded.

Once the supplier is selected, and provided the level of risk so requires, it is recommended that the buyer entity ask the chosen supplier to submit the following supporting documents before the signature of the contract:

- an extract from the record of convictions or failing that an equivalent document issued by the competent judicial or administrative authority of the country of incorporation, indicating that the first three and sixth requirements in the exclusion criteria are met
- a certificate issued by the competent authority of the country of incorporation indicating that the fourth requirement in the exclusion criteria is met

When EU funds are used, before awarding a contract to a supplier, it is necessary to check whether the supplier company and/or its owners and/or executive officer are included on the European Union sanctions list.

📌 Colleagues can use the dedicated WebFOCUS report to do so. The report should be saved together with the file / PO request.

4.9.6.3. Eligibility criteria

Bids that are admissible and that satisfy the exclusion criteria will then be assessed against the eligibility criteria. This entails verifying that the expected level for each eligibility criterion has been satisfied, based on the supporting documents submitted by the tenderers.

If the eligibility criteria have been fixed in conformity with the directions given by this guide, it should be easy to verify whether the minimum requirements of each criterion have been met. Thus, if a certain qualification, or a certain number of years' experience, is a criterion, the CV and accompanying documents – such as a copy of the diploma and references – will enable the evaluator to assess whether the criteria have been respected.

Eligibility criteria are not scored, and they cannot be the basis of a ranking between suppliers. They are simply prerequisites for eligibility to tender. If they are not met, the tenderer must be declared ineligible. Unless it has been explicitly stated in the tender file, exceeding the requirements of one criterion cannot make up for failing to meet one or more of the other criteria.

Procurement advice

Should an offer be accepted in regard to the selected eligibility criteria? For each criteria, check if your answer is "*yes*" or "*no*". If the answer is "*no*", then the offer should be rejected.

4.9.6.4. Award criteria

Only bids that have been found to comply with the eligibility criteria are assessed against the award criteria. This final step of the analysis process will allow the buyer entity to select the supplier(s) to whom to award a contract.

"Award criteria" are assessed on a sliding scale, so the tenderers will get a higher score in the assessment if they meet the criteria better. Award criteria must be weighted, so buyer entities must attach a multiplier (in points) to each criterion or group of criteria (for example quality of proposal, expertise or financial offer). The weighting will be applied to the score achieved for each criterion before they are added together to show the final score for each proposal.

If the award criteria in the tender documents included only a financial criterion, the cheapest offer must be selected.

If the award criteria included qualitative and/or technical and financial criteria:

- the qualitative/technical analysis is carried out on the basis of the tenderer's qualitative/technical offer. Each criterion is assessed by ensuring that sufficient level of detail is documented and registered, justifying each bidder's scores
- the financial scores are calculated based on the cheapest offer

💡 For purchases made on the Ordinary Budget, when all offers received are above the forecasted budget, a good practice would be to calculate the financial score v. that budget.

Once the bids have been assessed against the technical and financial criteria (plus any additional criterion), the scores of each bidder are added together in order to obtain a final ranking.

📌 The DLAPIL and the Procurement Unit propose assessment templates to assist buyer entities in their analysis. Each technical / quality criterion should be scored out of 10 (10 being the highest score possible), each score being weighted according to the need (see Appendix 1 for more information). Each technical score must be accompanied by a clear and exhaustive written assessment, providing objective reasons justifying the score given.

When a tender has been launched with e-procurement, the assessment is prepared directly inside the tool.

4.9.7. Requests for clarifications

Legal framework

Article 17.2 of Rule No. 1395 states that offers may be clarified or supplemented. However, "this must not change the principal features of the bids or distort competition between bidders".

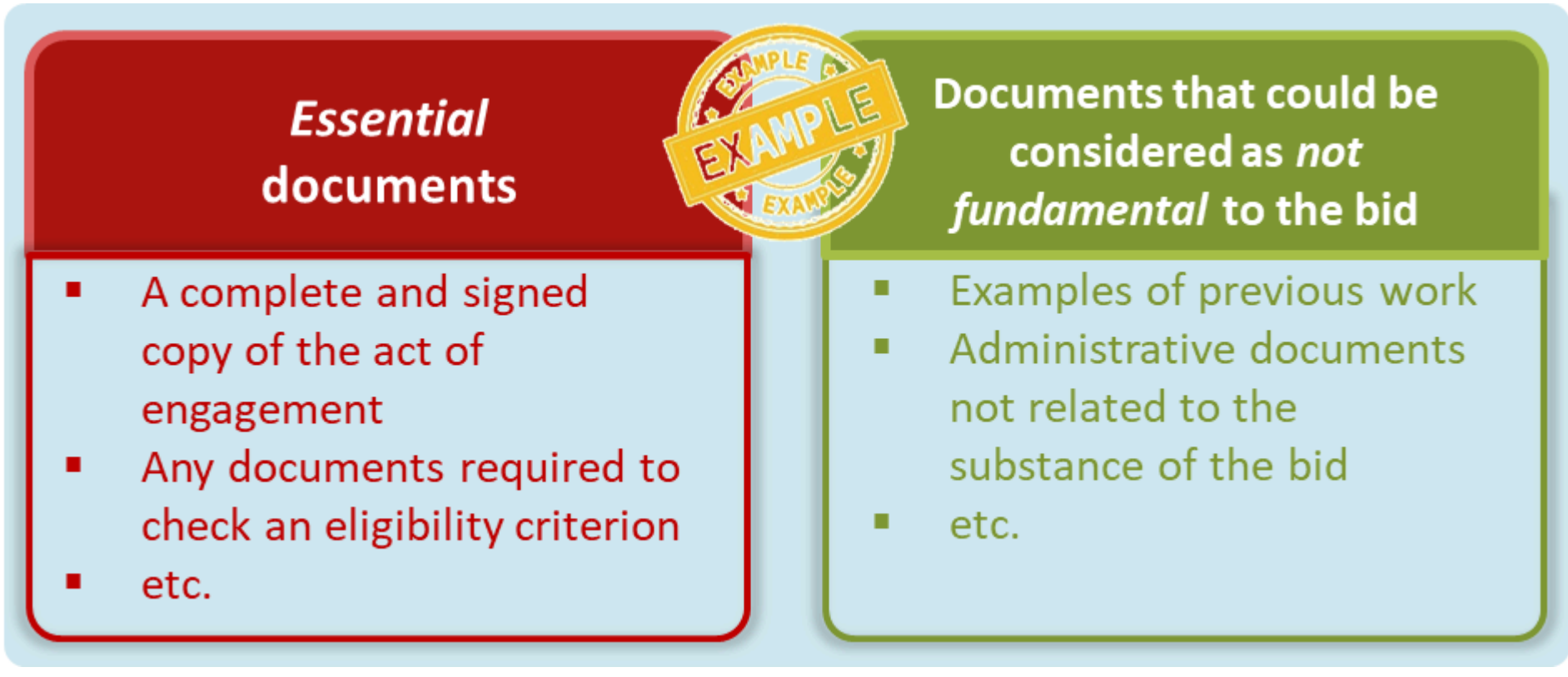
Incomplete or unclear bids should, in principle be excluded as inadmissible.

DLAPIL templates specifically mention that acts of engagement should be signed when submitted to the Council of Europe. Without such mention, acts of engagement could be submitted without signature.

However , as long as the omission or lack of clarity is not fundamental to the bid, buyer entities may contact the supplier in question to ask for clarifications or for the submission of the missing information.

At this stage, tenderers may be allowed to provide only non-essential information/documents. In case of doubt, the DLAPIL can be consulted for advice on case-by-case situations.

All requests for missing information/documents must be made in writing and all exchanges kept on record. The CCM or the Tenders Board must be informed of these requests when the results of the call for tenders is presented for validation.



⚠ A clarification round should not lead to the modification of the submitted offer. If a clarification reveals the need for a significant change of the initial bid, then a negotiation round should be launched (cf. Chap 4.9.9.).

Please note that unsigned Act of Engagements must be rejected when they are submitted outside the e-procurement platform. When e-procurement is used, the unsigned Act of Engagement can be accepted. It will be signed at the later stage directly with providers with awarded contracts.

In some situations, Secretariat members may decide to request a signed AoE even when e-procurement is used, in order to reduce administrative workload after award —such as in situations of pooling with many providers.

4.9.8. Specific problematic cases you may be confronted with

4.9.8.1. Offers submitted by current/former Council of Europe staff members

It may happen that current or former Secretariat members of the Council of Europe submit a bid in the framework of a competitive procurement procedure. This was a frequent issue in the past when temporary employment contracts of a limited duration were commonly used. With the entry into force of the new Staff Regulations in 2023, which have imposed some additional restrictions on the use of temporary contracts, the issue is becoming less frequent, although it will continue to exist.
The possible scenarios are the following:

- a bid is submitted by a **current Secretariat member**
- a bid is submitted by a **former Secretariat member**

As to the first scenario, it must be stressed that it is not possible for Secretariat members to participate in a procurement procedure launched by the Council of Europe**,** since it would result in a clear and serious conflict of interest. Bids submitted by Secretariat members must therefore be excluded. The foregoing applies irrespective of the type of employment contract held by the Secretariat member in question and the possible contract end date. The foregoing also applies to Secretariat members who may not currently be exercising their functions due to unpaid leave, parental leave, etc.

The decisive date to look at is the date of the launch of the procurement procedure. If, on this day, a person is employed by the Council of Europe, this person cannot submit a bid in the framework of the procurement procedure in question and if he or she does nevertheless submit a bid, this bid must be excluded. The foregoing is reflected in the following exclusion criterion: “Tenderers shall be excluded from participating in the tender procedure if they [...] are currently employed by the Council of Europe or were employed by the Council of Europe on the date of the launch of the procurement procedure”.

With regard to the second scenario, concerning the case of a bid submitted by a **former Council of Europe Secretariat member (**i.e. the Secretariat member in question was no longer employed by the Council of Europe of the date of the launch of the procurement procedure), the buyer entity must comply with the following guidelines:

- there is no blanket prohibition to award a consultancy contract to former Secretariat members and it would be, in principle, possible to do so. However, a case-by-case assessment needs to be carried out to determine whether the award of a contract may lead to a conflict of interest and/or be used to circumvent employment regulations and/or lead to any other situation negatively affecting the procurement procedure.
- the factors to be taken into account in this connection include the following:
  - in which division did the employee work versus which division launched the call for tenders?
  - what is the nature of the services to be delivered under the contract?
  - when did the employment contract end?
  - are there other factors that could affect the equal treatment of bidders and the fairness of the procedure?

4.9.8.2. Offers submitted by retired Council of Europe staff or staff members who benefitted from an early departure measure

The memorandum of the Secretary General of 19 November 2021 on granting of consultancy contracts to former staff members clarifies that no new contracts or order forms can be issued to retired staff or staff who left having benefitted from an early departure measure. Contracts/order forms issued before the issuing of the memorandum must, however, be honoured.

4.9.8.3. Offers submitted by civil servants

There is no blanket prohibition on a civil servant (or any government employee) working as a consultant for the Council of Europe. A decision on whether it is appropriate to hire a civil servant as a consultant should be taken on a case-by-case basis, and a number of considerations should be taken into account when taking the decision.

The most important aspect would seem to be the level of independence expected from the consultant. In particular, it must be carefully examined whether he or she would find him- or herself in a situation of conflict of interest, either vis-à-vis the Council of Europe/the project or his or her employer.

In this context, it must be reiterated that, by signing the act of engagement, the consultant declares that he or she is not in a situation of conflict of interest, that he or she has been granted approval from his or her employer to perform paid services for the Council of Europe under the contract, and that he or she has been granted leave during the performance of his or her obligations under this contract.

Similarly, it must also be ascertained whether the consultant is already involved in the activity for which the Council of Europe is considering hiring him or her as part of his or her work as a civil servant. In the affirmative, the award of a contract to the consultant in question could be problematic as the Council of Europe would pay him or her for work that he or she is already required to perform as part of his or her main job.

💡 Specific instructions apply to situations in which the consultant to be hired receives a remuneration from a public institution from the seven Horizontal Facility II Beneficiaries (Albania, Bosnia and Herzegovina, Kosovo❓

> All references to Kosovo, whether to the territory, institutions or population, in this text shall be understood in full compliance with United Nations Security Council Resolution 1244 and without prejudice to the status of Kosovo.

, Montenegro, North Macedonia, Serbia and Türkiye), regardless of his or her status under national/local legislation. In that case, please contact the DPC for guidance.

4.9.8.4. Abnormally low or high offers

The presence of abnormally low or high offers is to be regarded as a warning or indicator (red flag) suggesting that there is a potentially fraudulent activity. It does not necessarily mean that fraud has occurred, but rather that additional actions are needed to check the regularity of the activity.

Such offers can be clarified directly with the bidder, if necessary. In the end, if such offers pose a risk to the Organisation (for example the supplier keeps his or her offer well below the market price), the buyer entity is free to exclude this offer from the analysis procedure. Providers are informed of such possibility in the Tender File. An explanatory memo must be added to the file.

The presence of abnormally low or high offers is an issue that mostly concerns technical purchases, but can also affect purchases for intellectual services. It affects the analysis of the financial offers of all other offers received and therefore has an impact on the overall procedure.

The presence of several red flags increases the risk of fraud being committed, however sometimes even the presence of one red flag could lead to the detection of fraud. Persons involved in procurement procedures should report any suspicions of fraudulent behaviour or other types of wrongdoing relating to the procurement to the investigations function of the DIO, in accordance with the provisions of the Speak Up Policy.

4.9.8.5. Suppliers providing a service without remuneration (pro bono)

Regarding suppliers that are willing to work pro bono (without being paid), two scenarios are possible:

- if, in the framework of a tendering procedure, a tenderer expresses such a wish, please contact the DLAPIL
- if the Council of Europe wishes to award a contract directly to a supplier willing to work pro bono an ad hoc pro bono agreement must be concluded. Consult the DLAPIL for a template and advice

Legal framework and remarks

Suspected fraud, corruption or other wrongdoing
As per paragraph 7 and paragraph 18 of the Speak Up Policy, Staff members of the Council of Europe have the obligation, by virtue of Article 1.6 of the Staff Regulations, to report fraud, corruption, retaliation and wrongdoing using the reporting means set out on the DIO's web page. In line with the rule on investigations, the DIO accepts reports irrespective of their source, including reports from anonymous or confidential sources. More information can be found here.

4.9.8.6. Multiple tendering from same supplier

Unless expressly provided otherwise in the tender documents, a bidder may not submit more than one bid for the same procurement procedure. Bidding for more than one lot – where a contract is divided into lots – is allowed.

In the same procurement procedure, a natural person may not submit a bid on his/her own behalf and, at the same time, be included in a bid submitted by a legal person or a consortium. In such cases, the Council of Europe reserves the right to exclude the bid submitted by the natural person from the procurement procedure.

In the same procurement procedure, a legal person may not submit a bid and, at the same time, be a member of a consortium also bidding under the same procurement procedure. In such cases, the Council of Europe reserves the right to exclude the bid submitted by the legal person from the procurement procedure

For any other cases, please contact DLAPIL for support.

If needed, the tender file can be modified to specify the possibility for suppliers to submit more than one offer. In such cases, it is good practice to set a maximum number of offers allowed per supplier to avoid receiving an excessive number of offers.

IMPORTANT: if a provider submit more than one bid and the Tender File did not foresee this possibility, do not reject all offers. Instead, you can seek clarification from the provider as to which offer should be considered in the assessment process.

4.9.8.7. Offers in different currencies

When receiving offers with fees in a currency other than the one specified by the Act of Engagement, you have grounds to exclude the bid. However, it may not be necessarily in the Council's interest to exclude bids automatically on such grounds. In these cases, you may ask bidders to clarify the bid and request them to propose a price in the stated currency (usually EUR), specifying the conversion rate to be used. The converted price shall not differ from the initial offer. As an indication, the conversion rate to be used should be the one specified by the national banks of the country of registration/residence of the provider on the date of submission of the original bid. You may either request the bidder to submit and updates the act of engagement as a result of the clarification process, or adjust the currency and fees accordingly at the award stage if the bidder is awarded a contract. All exchanges should be duly archived as per the existing rules and procedures.

If the provider (usually universities and hotels) cannot issue invoices in the currency of the contract, you may ask the provider to propose a converted price to be used for the execution of the contract. During the execution, order forms/call offs shall specify prices in Euros as a reference to the contract and prices in the currency required for payment. The invoice shall specify prices in the national currency. The payment shall be released by the Council of Europe in the currency specified by the contract (usually EUR) and received by the provider in the national currency.

4.9.8.8. Offers providing a range of fees

When receiving a range of fees, you have grounds to exclude the bid. However, it may not be necessarily in the Council's interest to exclude bids automatically on such grounds. In these cases, you could also ask the provider to clarify the bid and submit a single fee for its services, that must not exceed the upper limit of the given range. This amount will be used for the analysis and execution of the contract.

4.9.9. Negotiations

Best practices

In all tendering procedures, it is possible to negotiate with tenderers. Although this possibility will usually be more relevant for purchases of goods, works or general services, it may also be relevant when purchasing intellectual services.

Legal framework and remarks

The possibility to negotiate during a tendering procedure is foreseen by Articles 20 and 21.8 of Rule No. 1395. It allows the buyer entity to hold negotiations with each or some of the tenderers who have submitted an eligible tender. The objectives of the negotiation are multiple:

- improve the proposal (from an economical, technical or qualitative point of view);
- discuss and agree on any changes to the legal conditions;
- specify any final details that may affect the offer.

It is essential to keep in mind that the negotiations must not significantly change the specifications of the call for tenders. Furthermore, it is of utmost importance that all candidates are treated equally and that the negotiations are documented in full.

Items to include in the memo to the CCM or Tenders Board

It is for the buyer entity to assess whether it is necessary to negotiate with tenderers. The authorisation of the CCM (in the framework of a competitive bidding procedure) or of the Tenders Board (for an international public call for tenders) must be sought. To this end, the buyer entity must submit a memo to the CCM/TB stating why negotiation is required, which bidder or bidders is proposed to enter the negotiations and what the negotiations will cover. Negotiations may cover the price, warranties, terms and conditions, etc. In case of several rounds of negotiations, this information should also be added to the memo, as well as the possibility to eliminate candidates.

It is then for the CCM or TB to decide which bidders the buyer entity may enter into negotiations with and the subject matter of those negotiations.

💡 As mentioned before, negotiation with bidders is not compulsory, but it is recommended when the offers resulting from a call for tenders are not satisfying.

⚠️ Negotiating a bid is different from asking tenderers to clarify or supplement their bid (see Chapter 4.9.7): a clarification only helps the buyer entity to better understand a bid or to clarify aspects of it. Negotiations, instead, aim at achieving the best possible financial and technical conditions for the Organisation.

⚠️ In principle, it is preferable – in order to ensure the fair treatment of all bidders – to invite all eligible bidders to enter into negotiations. That said, it is possible – if properly justified – to ask the CCM or TB for the authorisation to not enter into negotiations with all eligible bidders.

Procurement advice
When only one offer has been received, it is possible to enter into negotiations. However, with a view to securing the best possible conditions for the Organisation, the bidder should not be informed that no other bids were received.

How is it organised?

Identify key issues to be discussed and objectives to be achieved, and prepare a detailed agenda of items to be discussed, which can be sent to the supplier(s) before the meeting to allow sufficient time for preparation.
When relevant, you can invite the main stakeholders concerned by the tendering procedure to participate in the negotiation. However, it is advisable to limit the number of participants to reduce the risk of confusion.

Best practices

- Prepare your meeting: ideally, negotiations should result in a win–win outcome for both the Council of Europe and the supplier.
- Clarify the objectives to be achieved.
- Establish a record at the end of each meeting to be approved by the supplier.

Procurement advice

It is important to bear in mind that any reduction in price that may be agreed with bidders (to match the forecasted budget for example) **may result in a decrease in the quality of the goods or services provided.**

In the event of negotiations on contractual clauses (such as modifying the General Conditions of the Council of Europe), the DLAPIL must be contacted. For information, all contractual clauses are in principle negotiable with suppliers, with the exception of the three non-negotiable clauses relating to the use of the Council of Europe's name, the disclosure of contractual terms and conditions and the arbitration clause (see Chapter 4.8.10).

💡 In cases of negotiation on specific items like IT or works, the involvement of the DIT or DGS (for example) during all the negotiation phases is strongly recommended.

If the negotiation has several rounds, the Buyer Entity has the right to eliminate candidates along the discussions. No specific approvals are necessary when eliminating such candidate(s).

The buyer entity must document the negotiations in full and keep a record on file.

Following the negotiations, the bidders will have to confirm any changes to their initial bid in writing. The results of the negotiations (including details on potential elimination) will be presented to the CCM or Tenders Board which will then decide on the award of the contract.

4.9.10. Awarding the contract

Once the assessment process has been completed, the results of the tender procedure must be submitted to the CCM or TB for a decision on the award of the contract(s).

Under a competitive bidding procedure, a reasoned recommendation as to which supplier(s) should be awarded the contract(s) is submitted to the relevant CCM. The recommendation may be accompanied by other relevant elements (such as a comparative table of prices) as appropriate, having regard to the value and complexity of the purchase.

The CCM will decide which offers should be accepted according to the buyer entity's analysis.

Under an international public call for tenders, the assessment tables, together with any other additional document that may be relevant (such as details of any requests for clarification of bids that have been addressed to bidders) will be submitted to the Tenders Board together with a recommendation, based on objectively justified reasons, as to which supplier(s) should be awarded the contract(s). The memo and recommendation will be validated by the CCM and will be sent to the Secretary of the Tenders Board.

The Tenders Board will scrutinise the analysis of the bids and the recommendation and will decide which offer(s) should be chosen on the basis of the exclusion, eligibility and award criteria.

⚠ There is no limitation to awarding several contracts to the same supplier: the buyer entity only has to make sure that, at project level, the thresholds are respected. However, in order to ensure transparency and free access to Council of Europe contracts, the external auditors ask the CCM to justify the use of similar suppliers over a one-year period. A specific WebFOCUS report helps the buyer entity to create this record. The report, with the proper justifications (when needed), should be archived for audit purposes. The Procurement Unit can provide support with the preparation of such a report.

Specific cases

- The case of multiple contracts, when a maximum number of suppliers to be selected has been announced. The buyer entity may not award a contract to more than the maximum number of suppliers to be selected, as indicated in the tender documents. Therefore, if the tender documents states that a maximum of five suppliers can be selected, the buyer entity cannot select more than five suppliers. It can, of course, select fewer suppliers than the maximum number, unless a minimum number of suppliers to be selected has been defined

- Setting a minimum score for selection (see Chapter 4.8.3.3). Where a buyer entity would like to set a minimum score for tenderers to be included in a pool of suppliers, this should be expressly included in the tender file. This allows the buyer entity to include in the pool only the suppliers with a score equivalent or higher than the threshold set in the tender file. It is for the buyer entity to consider what the minimum required standards are, and what the acceptable price is. You might decide, for example, that tenderers who receive an overall score of two or less will not be selected. If no minimum score is indicated in the tender file, all eligible suppliers – up to the maximum number of suppliers indicated in the tender file – must be admitted to the pools

4.9.11. Informing bidders of the outcome of the procedure

Legal framework and remarks

The buyer entity will inform the successful tenderer (or all successful tenderers in the case of a multi-award contract) in writing.

Unsuccessful tenderers are also informed in writing within 15 days of the notification of the contract to the successful tenderer(s). The letter should state the reason for the unsuccessful tender and the procedure for submitting an enquiry (see Chapter 4.9.14 for more information) – the following model can be used:

"By a decision of [date], and in accordance with the provisions of Rule No. 1395 of 20 June 2019 on the procurement procedures of the Council of Europe, your tender has not been selected. Should you require further information regarding this procurement procedure, please note that you may submit an enquiry, in writing, pursuant to Article 24 of the aforementioned rule. Enquiries should be sent to the following address: [e-mail address]."

For international public call for tenders, information on awarded contracts is made public on the Council of Europe web page or in the e-procurement tool, unless the Council of Europe has to take specific confidentiality measures.

The communication of the results is, therefore, a mandatory step, regardless of the amount of the purchase or the procedure chosen. The information provided must be limited to the indications mentioned in Rule No. 1395. In any case, it is not allowed to provide unsuccessful suppliers with specific information on the successful tender (apart from the amount, name and country of origin) or on other tenders received: this information is confidential and does not have to be provided to the competition. The only information that can be communicated should therefore relate solely to the offer of the supplier asking details to the Council of Europe (see Chapter 4.9.14 for further details).

💡 Time should be taken to respond to unsuccessful bidders. Indeed, if they wish to better understand the weaknesses of their bid and the reasons for their non-qualification, it is important to provide such explanations, especially if this is done in a constructive manner to:

- show that the decision is based on concrete facts and that the Council of Europe is transparent in its decisions
- encourage unsuccessful applicants to correct their mistakes for future participation
- motivate them to submit a bid in a future call for tenders (and thus not to lose potential bidders)
- avoid a possible dispute if the supplier has doubts about the decision taken

📌 Templates of notification letters can be found here. If the tender was published using the e-procurement platform, then notification letters are automatically drafted and sent. For Audit purposes, all proof of notification is directly available in the tool and can be provided to Auditors.

⚠The contract with the selected supplier(s) must be concluded and signed before notifying the unsuccessful bidders. Please remember that unsuccessful bidders shall be notified not later than 15 days after the successful bidders has/have been notified.

Best practices

Unsuccessful candidates receive no compensation for the time and energy spent to reply to a call for tenders.
However, some strategic tenders can include the possibility to compensate candidates for their efforts. This must be planned in the budget of the tender, clearly mentioned in the tender file and approved before publication.
The value proposed should motivate candidates to participate but it is up to the buyer entity to set it.

4.9.12. Unsuccessful calls for tenders

A procurement procedure may be “unsuccessful” or “unfruitful” if:

- no bids were received or insufficient number of bids were received
- none of the tenders received met the minimum criteria required
- the prices offered are not acceptable and greatly exceed the available budget

When this is the case, the buyer entity has three options to choose from (see Articles 18.3. and 21.10. of Rule No. 1395):

- decide not to carry out the purchase
- decide to launch a new tender procedur
- request the authorisation to negotiate directly with a given supplier. In this case, the memo to be submitted to the CCM or TB must include reasons justifying the choice of the supplier

There is no obligation to necessarily negotiate with one of the unsuccessful bidders (if any).

The decision will have to be taken by the CCM if the unfruitful procedure is a competitive bidding procedure. If the unfruitful procedure is an international public call for tenders it will be up to the TB to take a decision. In both cases, a memo should explain why the tendering procedure was not successful and provide reasons justifying the options pursued.

Where this paragraph applies, the buyer entity will inform any tenderers in writing of the decision taken.

4.9.13. Discontinuing a procurement procedure

Procurement procedures may be discontinued at any moment prior to the award of contract, without providing reasons or paying compensation of any kind to the bidders (see Article 18.2. of Rule No. 1395).

In the case of a competitive bidding procedure, it is for the CCM to decide whether to discontinue the procedure. In the case of an international public call for tenders, it is for the Tenders Board to decide, either upon the proposal of the CCM or on its own initiative.

Where this article applies, the buyer entity will inform any tenderers in writing of the decision taken.

4.9.14. Replying to enquiries and dealing with complaints

In accordance with Article 24 of Rule No. 1395, unsuccessful tenderers may enquire about an international public call for tenders or competitive bidding procedure, in respect of which they submitted a bid, within seven days of notification of the outcome thereof. Such enquiries will be answered without undue delay by the buyer entity responsible, address the issues raised by the unsuccessful bidder and include information on the complaint and appeal procedure set out hereunder.

Best practices

In principle, answers provided to enquiries must be carefully drafted and the issues raised adequately addressed. Answers must reflect – when relevant – the analysis carried out and the information recorded in the assessment documents. It is vital to avoid including in the answers to enquiries information that is not included in the relevant assessment documents. A clear and detailed answer to an enquiry can only be provided if the analysis is sufficiently clear and exhaustive in the first place. However, please pay attention not to disclose information related to other bidders and their bids.

A template to answer to such enquiry is available here.

If the unsuccessful bidder is not satisfied with the response to his or her enquiry and considers that the procurement procedure in question suffered from an error that affected its outcome to his or her detriment, he or she may submit a written complaint to the Tenders Board within 30 days of receipt of the response to his or her enquiry. The complaint will indicate the reference of the international public call for tenders or competitive bidding procedure and will be duly substantiated.

The Tenders Board will give a reasoned reply not later than 30 days from the date of receipt of the complaint. If the complaint concerns a competitive bidding procedure, the Tenders Board’s decision will be final.

If the Tenders Board rejects a complaint concerning a procurement procedure conducted following an international public call for tenders, the unsuccessful bidder may lodge an appeal in writing within 30 days from the notification of the Tenders Board’s decision on the complaint. The appeal will be examined by an ad hoc review board which will give a reasoned reply not later than 60 days following receipt of the appeal. The ad hoc review board will base its decision on the facts as established by the Tenders Board.

The ad hoc review board will comprise three Secretariat members appointed by the Secretary General. The members will be drawn from at least two major administrative entities, from among members exercising financial responsibilities therein. Secretariat members of the major administrative entity having launched the international public call for tenders or who were otherwise involved in the procurement procedure in dispute will not be eligible for appointment to the ad hoc review board.

If the Tenders Board or the ad hoc review board conclude that the procurement procedure in question suffered from an irregularity that affected its outcome to the detriment of the complainant, they will decide on the appropriate means of redress. Means of redress include reporting of suspected fraudulent activity (such as red flags for fraud) in line with the provisions set out in the Speak Up Policy, exclusion of a participant from the procurement, cancellation of the procurement, etc.

⚠ The submission of an enquiry, complaint or appeal will have no suspensive effect and will not prevent the award or operational start-up of a contract or contracts awarded following the competitive bidding or international public call for tender procedure which is the subject of the enquiry, complaint or appeal.

4.10. Contract review and signing process

Before the contract is countersigned by the Council of Europe, a final review must be carried out and a number of essential administrative steps must be completed.

- Check that all the contractual documents are correct (and reflect, when relevant, the outcome of the negotiations carried out with the selected supplier(s)) and have not been modified by the selected supplier.
- Check that the act of engagement is complete and signed by the supplier.
- If it is a new supplier, create the supplier identity in FIMS using MSA 4002.
- Create a purchase order in FIMS (commitment in FIMS is mandatory before the internal signature process).
- Countersignature of the contract (wet-ink or electronic signature).
- Send a copy to the supplier (in PDF format) and archive the documents. The most common practice is to send a signed and scanned copy by e-mail, using the contact details included in the contract clause on the communication between the parties. However, if the supplier so requests, a signed paper copy can alternatively be posted.

⚠ All purchases must be subject to a budgetary commitment (PO) before a contract (of any kind) is signed by the Organisation.

In addition, no services or goods may be provided before the contract is signed by the Organisation.

👍 Best practices

If internet links appear in the contract documents (particularly those of suppliers selected by the Council of Europe), it is essential to download the corresponding pages at the date of signature of the contract, and to add them to the file. This information may be useful in the event of a later dispute if the supplier has, in the meantime, modified the relevant conditions.

💡 The Organisation uses various providers for signing contracts electronically (both internally and externally). An AoE, already manually signed and scanned by a supplier, can also be countersigned solely using an electronic signature by the CCM. See the DIT web page for more information.

List of contractual documents

It is important to highlight that – although the AoE can be considered as the "main" contractual document, as it includes the supplier's details, the financial offer as well as the legal conditions – the contract signed as a result of a procurement procedure usually includes several contractual documents. The most common ones are:



- the act of engagement or the contract
- the terms of reference
- any other specific contractual document drawn up by the Council of Europe, such as the technical specification
- the tender submitted by the selected supplier

💡 Once the contract is signed, it is advisable to consider adding it to the database of framework contracts or framework agreements of the Organisation. Once a contract is included in the database, it can be easily found – and used – by colleagues with similar procurement needs (see Chapter 4.3.3). The Procurement Unit can assist you in this matter.

4.11. Archiving and organisation of files

All contractual documents listed in Chapter 4.10 must be kept for 10 years. Additionally, the following items should also be archived in the same file:

- tender documents
- all the tenders submitted
- messages and exchanges with suppliers
- if relevant, records of the negotiations held with tenderers
- tenders and assessments
- contract and amendments (if any)
- memo(s), and
- any other document you may consider relevant

Each directorate keeps the files, either in paper format or, more frequently, in electronic format (DMS).

Documents relating to the execution of the contract (acceptance of services, execution follow-up, etc.) must be kept separately by the buyer entity.

The documents related to the payment (invoices, payment requests) are kept by the Treasury, Payments and Accounting Department.

Chapter 5 – The execution of the contract

The execution of the contract is monitored by the buyer entity. This includes (but it is not limited to):

- monitoring the performance of the contract
- the possible application of penalties
- contract amendments

- the revision of prices (when relevant)
- renewing the contracts in due course before the contract's expiry date
- monitoring the duration of the contract in order to limit its maximum duration to four (or five) years maximum (see Chapter 4.8.8)
- preparing, in due course, a new call for tenders when the contract's expiry date is approaching

> 👍 **Best practices**
>
> Manage the relationship with the supplier well (think win-win), especially in case of difficulties.
>
> Apply penalties – when applicable – in a fair and balanced manner.

Other activities, such as reviewing and accepting deliverables and validating invoices, are carried out during the execution phase (see Chapter 5.2).

Regarding the level of performance expected from the supplier, the buyer entity checks that this level has been achieved or increases over time. In the event of non-compliance with the terms of the contract, the penalties provided for in the contract (if any) may be applied (see Chapter 4.8.11).

When the provider's performance is seriously deficient – such as when the conditions laid down in the contract are not satisfied or the deliverables are not of a satisfactory standard – the provisions on breach of contract may be applied (see Chapter 5.4.2). Such a decision should, however, be taken as a last resort.

5.1 : Extension of Deadlines under Contracts

5.1.1 Understanding Deadlines and Effective Deadline Management

Deadlines are a fundamental component of any contract or order. Whatever services or goods are procured by the Council, these are normally required within specific timeframes to ensure that related activities can be implemented in a timely manner. For this reason, virtually all contracts include a delivery deadline, which may be shorter or longer depending on the purchaser's needs.

In light of the above, it is clear why meeting deadlines is integral to fulfilling contractual obligations. Delays may compromise project objectives or planned activities, and may also result in serious contractual consequences, such as price reduction or contract termination.

It is therefore essential that staff working on procurement are familiar with the best practices of effective deadline management – which in turn represent an essential pillar of sound contract management.

It is important to distinguish between the delivery deadline and the contract end date. The delivery deadline is the date by which the Council requires the deliverables to be provided. It represents one of the contractual requirements—alongside technical and quality specifications—that the provider must fulfil in supplying goods or services to the Council.

In contrast, the contract end date is the point at which the contractual relationship between the Council and the provider ends. From this date, all contractual obligations between the parties cease. It is important to note that a contract almost never ends on the date the deliverables are submitted. Frequently, there are further obligations that remain to be fulfilled after delivery, such as: acceptance of the deliverables; payment and invoicing procedures; warranty, maintenance, or support.

For this reason, delivery deadlines and the contract end date are two clearly distinct concepts and must be kept separate in both contract drafting and contract management practices.

The key factors for effective deadline management include:

- **Defining meaningful deadlines:** at the outset, it is imperative to establish deadlines that are both reasonable and feasible. Deadlines that are unduly short or unrealistic serve no constructive purpose and may hinder the successful execution of the contract. It is of course possible that, in specific circumstances, deliverables are needed urgently and that the deadline for delivery must therefore be short. That is, in itself, not a problem provided the urgent nature of the deliverables is understood by all parties – and potentially reflected in the agreed price.
- **Tracking Tools:** Deadlines only have value if monitoring and enforcement mechanisms are in place to ensure compliance. Effective monitoring enables timely action when deadlines approach. Tracking tools such as calendar reminders or automated alerts (e.g., Outlook reminders or flags) are straightforward and effective solutions for accurate tracking.
- **Proactive Communication:** Several days prior to a deadline, if the provider has not yet submitted deliverables or made contact, it is best practice to proactively reach out and confirm the delivery.
- **Effective Planning:** Never approach a deadline passively. Early engagement can prevent issues and facilitate on-time performance.

5.1.2 Extending Deadlines: Conditions and Procedures

Extending contractual deadlines may be possible under certain circumstances, provided that:

- The reasons for the extension are legitimate and substantiated;
- The new deadline does not jeopardise project activities.

If an extension is warranted, it must be processed as follows:

- **Timing:** Extensions may only be granted *before* the original deadline expires.

- **Amendment Process:** from the legal point of view, any deadline extension constitutes a contract amendment and must, therefore, be made in compliance with the guidance provided in Chapter 5.3.

Note: Repeated extensions of the same deadline are a sign of underlying issues, such as an initially unrealistic schedule or persistent problems with the provider and ultimately are a symptom of deficient contract management. Such patterns must be monitored and addressed, as repeated extension may be commented upon by auditors.

5.1.3 When Deadlines Are Not Met: Breach and Consequences

If, despite follow-up and communication, the provider fails to deliver by the stipulated deadline, this constitutes a breach of contract and may result in severe consequences. Allowing a deadline to expire without taking appropriate preventive action is a sign of insufficient contract management.

In such cases, the following options may be considered:

- **Applying Contractual Penalties:** If the contract includes penalty clauses for late performance, these may be enforced thus leading to a price reduction. Including such clauses is recommended, as they streamline the process for managing delays and enable swift action.
- **Payment Reductions (Without Penalty Clauses):** Even if penalties are not expressly foreseen, payment may still be reduced for late delivery. The response, however, must be proportionate and reasonable; minor, non-impactful delays should not be penalised excessively, to avoid unnecessarily straining the provider relationship. In cases of doubt, consult the DLAPIL. Please also refer to Chapter on 5.4. for guidance on payment reduction.
- **Contract Termination:** In cases of serious or repeated delays—or when delays have a direct negative impact on the project (with the criticality of deadlines duly communicated in the contract) — termination of the contract or order may be considered. Please also refer to Chapter on 5.6. for guidance on the procedure to follow in case of contract termination.
- **Discretion and Flexibility:** While a missed deadline generally warrants consequences, there is no automatic obligation to impose them. The response can be tailored based on the specific circumstances, such as:
    - The delay is minor and without repercussions;
    - The delay is objectively excusable;
    - The Council of Europe contributed to the delay through unclear or incomplete communication.

    It is for the CCM to decide, under his/her responsibility, what consequences, if any to impose, or whether to agree with the provider on a new deadline for delivery. Teams and CCMs are encouraged to consult DLAPIL in case of doubt.

5.2. Amendments to the contract

A contract can be amended as long as the contract is still in force. An amendment is therefore not possible after the end date of the contract. An amendment is used for:

- adding new provisions to an existing contract
- modifying or replacing one or more provisions of an existing contract

A general rule is that contracts can be amended provided that both parties agree and as long as amendments to the contract do not affect elements of the contract which may distort the initial conditions of the tendering procedure or give rise to unequal treatment between the tenderers.

Therefore, neither the volume nor nature of services or goods purchased may change on the sole basis of an amendment to the contract.

Regarding the price modification (due to inflation for example, and when no revision clause is included – see Chapter 4.8.7.1.), the same rule applies. However, in exceptional occasions contact DLAPIL.

An amendment can, however, concern the management of the contract, such as changes to deadlines, contact details (including name of the Supplier) or banking details.

⚠ Under no circumstances may an amendment change the main purpose or scope of a contract or substantially alter its content.

An amendment follows the same preparation, validation and signature process as a contract (see Chapter 4.10).



If a contract is in place for the organisation of catering for a specific event, it will not be possible to make an amendment to that contract to add the entertainment expected during that event.

Indeed, it is possible that companies specialised in entertainment did not respond to the call for tenders as it was oriented towards catering only, even though they would have been interested in a catering and entertainment package.

5.2.1. Preparing an amendment

When the amendment clause of a contract stipulates that the contract “cannot be modified without the written agreement of both parties”, it means that amendment can be made using any written format, provided the records unambiguously show the consent of both parties to amend the contract.

By e-mail

The amendment process can be done by e-mail, for example. If this option is used, the written agreement of the CCM must be obtained before proceeding, and he or she should be copied on the e-mail exchange. The amendment proposed must be clearly listed in an e-mail addressed to the supplier concerned, making a clear reference to the relevant contract, indicating which provisions will be “supplemented” or “cancelled and replaced”, and concluding the e-mail with the following statement “Should you confirm your agreement, by return of e-mail, the above will be considered as an amendment to the above-mentioned [contract or agreement], in accordance with its Article <XX>.”

By an exchange of signed documents

The amendment can also be made by means of a document signed by both parties. The authorisation of the CCM must be sought before proceeding. In this case, the document must make a clear reference to the contract concerned and clearly set out the amendment proposed by indicating which provisions will be “supplemented” or “deleted and replaced”.

The following template can be used to amend a contract.

⚠ For DGA only: please contact the Procurement Unit for amendments on contracts signed following an International public call for tenders (cf. Memorandum DGA(2020)12).

5.2.2. Amendments to call-offs

As discussed above (see Chapter 3.4.2), a "call-off" refers to the competitive process through which services or goods are purchased under a framework agreement. The main parameters established during this new competitive selection process should generally remain unchanged throughout the implementation stage. Modifications to key aspects of call-offs, such as prices, dates or the services/goods to be purchased may be problematic as such alterations might result in well-founded complaints about the fairness of the procedure.

That said, in order to allow for buyer entities to have some margin for manoeuvre, it is considered that small amendments that do not affect the substance of the call-off – and that, in any event, do not result in an increase of more than 10% of the original value of the call-off – may be concluded following the authorisation of the CCM.

In order to amend a call-off, the procedure described in Chapter 5.1.1. must be followed. If proposed amendments to a call-off lead to an increase in its original value of more than 10%, kindly seek advice from the DLAPIL.

5.2.3. Amendments to order forms

As discussed above (see Chapter 3.3.2), an order form is used to order services or goods under a framework contract. Unlike the call-off procedure, order forms are not issued following a competitive procedure, but rather issued based on the ranking of providers included in the framework contract or on the application of specific predefined criteria when a pool of providers is established under the contract. The foregoing allows for easier adjustments to deadlines or other terms in order forms, since the risk of altering competition or the fairness of the procedure is significantly reduced.

In order to amend an order form, the procedure described in Chapter 5.1.1. must be followed.

5.3. Accepting deliverables

The provision of deliverables is the subject of a written acceptance procedure. In particular, it must be checked that the deliverables correspond to the specifications indicated in the contract.

If acceptance is refused, the Council of Europe will inform the supplier accordingly, giving reasons, and may set new modalities for the provision of the deliverables. If acceptance is refused again, the Council of Europe may consider that there has been a breach of contract and thus terminate the contract in whole or in part without previous notice and without paying any financial compensation.

Sometimes it is necessary to obtain proof that the deliverables have been provided. While a report is evidence in itself, for events it is a good practice to collect photographs and signed attendance sheets to demonstrate that it has taken place. This is particularly important if there is no representative of the Council of Europe in attendance at the event in question.

The certificate for acceptance of deliverables is attached by the buyer entity to the payment order to be validated by the CCM and submitted to the treasurer for payment.

5.4. Implementing framework contracts and framework agreements

5.4.1. Ordering services under a framework contract

Once the FC has been signed, the buyer entity may make an order from the provider(s) designated by the FC, as and when a need arises (see Chapter 3.3). The designated provider should first be identified according to the terms of the FC, based on whether a pooling or a ranking system applies. The ordering system is fixed when the tender file is finalised and the procedure launched. It cannot be changed after the procedure is launched and the contract signed.

Once the designated provider is identified, the order can then be made. The ordering stage can be repeated as often as the need arises, provided the overall threshold of the FC is always respected.

The order form

It must be reiterated that order forms are "deliverable based". The deliverable(s) ordered should always be concrete, specific, measurable and tangible, and should be due by a given deadline.

This means that even where a time-based unit of work (hourly fee, daily fee, etc.) is fixed in the framework contract, what is agreed between the Council of Europe and the provider in the order form is the deliverable(s) to be provided (report, delivery of training, etc.) and the price per deliverable, not the number of hours/days. Any estimate by the Council of Europe of the time it will take to complete the deliverable serves only to calculate the overall price for the deliverable and has no contractual value. In other words, the price for the deliverable is fixed once it is agreed on in an order, regardless of the actual amount of time it takes the provider to complete the deliverable. It is advisable not to indicate on the order form the estimated number of days and to only refer to a deliverable (or several deliverables), a deadline and a price in the form of a lump sum.

Instructions on how to complete an order form are provided in Appendix 2.

It is important to reiterate that any order must be signed by the relevant CCM, as an order signed by both parties constitutes a financial commitment as well as a legal one. Before signing, the buyer entity should make sure to indicate the applicable VAT requirements in the "Invoicing" table below the signature box (see order form), as instructed by Protocol (in this context, Protocol's instruction must be read considering an order as a "contract").

Whenever an order form needs to be amended (for example, in order to change the date of delivery), the procedure for amending a contract described above (see Chapter 5.1) must be followed.

📌 A template of an order form is available on DLAPIL's website.

5.4.2. Keeping track of expenditure under a framework contract

It is important to monitor expenditure under a framework contract. The expenditure must not exceed the thresholds that originally defined the procedure to be followed.

In other words:

- expenditure under a framework contract concluded as a result of a direct award must not exceed the threshold of €2 000/€6 000
- expenditure under a framework contract concluded following a competitive bidding procedure must not exceed the threshold of €184 000

⚠️ The situation in which expenditure under a FC concluded following a competitive bidding procedure exceeds the €184 000 threshold is not uncommon. It is important to stress that this represents a severe breach of the applicable regulations and it is a situation that must be avoided at all costs (see Chapter 4.6.3).

In order to remedy the situation, an international public call for tenders will be launched and approved by the Tenders Board to cover the remaining needs over the period of reference considered, regardless of whether the estimated amount of the expenditure under the new contract is below the €184 000 threshold. In such situations, it is considered that the buyer entity should have anticipated from the outset that €184 000 would not be sufficient to cover the needs over the period of reference considered.

💡 It is therefore particularly important for the buyer entity to be vigilant when launching a competitive bidding procedure: if there is even a slight risk that the cumulative order forms exceed the threshold, then an international public call for tenders should be launched.

👍 **Best practices**

What should I do if the threshold is exceeded?

If the threshold is nevertheless exceeded during the lifespan of the contract – or whenever you realise that the actual expenditure is going to exceed the relevant threshold – it is recommended to immediately contact the DLAPIL for guidance and advice.

Given that they are aimed at covering many needs and thus entail a large number of order forms, sector-based framework contracts should always be concluded following an international public call for tenders so as to avoid any issues.

📌 In order to facilitate the tracking of expenditures on a framework contract, two tools are available on the Procurement page:

- for personal use: an Excel file helping staff to follow up each purchase made on a specific FC
- for FCs open to other colleagues/all staff: a similar Excel file, but completed with the list of providers or consultants selected under that FC

💡 The Procurement Unit can support Secretariat members with the preparation of such a table.

5.4.3. Launching call-offs under a framework agreement

It has already been discussed how a framework agreement involves the conclusion of an agreement with a certain number of providers following an initial procedure, in order to establish a preferential relationship with those providers and how, every time a need for relevant services or goods arises, the buyer entity arranges a mini-competition (call-off) among these eligible contractors to identify the one(s) who will provide the relevant goods and/or services.

⚠️ It is important to stress that suppliers should not be informed of the identities of the other suppliers selected in the FA (even though the information is made public on the Council of Europe website at the time of the award). If this information is provided, suppliers may collude and agree to raise their prices and therefore undermine the purpose of the framework agreement: getting the best value for money.

For each call-off, the preselected providers will be notified of the terms of reference and, where relevant, additional tender rules and additional applicable legal conditions. Each notification will indicate the deadline for the submission of tenders, along with all supporting documents, taking into account the complexity of the call-off concerned. Call-off tenders received after the deadline will not be considered. Call-offs must be evaluated based on the award criteria laid down in the tender file.

It is important to stress that selected suppliers under a FA benefit from exclusivity for the whole duration of the agreement. Therefore, call-offs will only be organised among the selected suppliers. Although in principle it is advisable to always consult all preselected providers, it is possible to consult only those of the preselected suppliers which have the capacity (according to their tender) to perform services under the particular call-off, if justified. Such justification, approved by the CCM, must be kept in the file and provided for each call-off where not all pre-selected providers are invited to bid.

Call-offs will only be launched during the period of validity of the framework agreement.
The execution of a call-off can, however, be extended beyond the duration of the framework agreement, unless it would disregard the principle of periodical competitive tendering.

All selected suppliers undertake to submit tenders for each subsequent call-off or, failing that, to provide a justification for not submitting a tender before the deadline of the call-off. If, throughout the whole duration of the agreement, a supplier fails to justify more than three times the non-submission of a tender, the Council of Europe reserves the right to terminate the framework agreement with respect to the supplier concerned. Similarly, after three subsequent call-offs resulting in tenders which are all 20% higher than the average market price, the Council of Europe is considered to be released from the contractual exclusivity granted to the preselected suppliers and will be entitled to reopen competitive tendering outside the scope of the framework agreement.

If a given call-off fails to provide tenders of a sufficiently good quality to satisfy the needs of the Council of Europe and is declared unfruitful, the Council of Europe reserves the right to contract with another supplier, outside the scope of the present framework agreement, in order to procure the deliverables that are objects of the call-off concerned.

Please consult the DLAPIL whenever you are left with only one provider in a FA or with only one provider actively replying to call-offs.

Any call-off must be signed by the CCM, as a call-off signed by both parties constitutes a financial commitment as well as a legal one. Before signing, the buyer entity needs to make sure to indicate the applicable VAT requirements, as instructed by Protocol (in this context, Protocol's instruction must be read considering a call-off as a "contract").

📌 A template for a call-off, with instructions on how to complete it, is available here. Other templates, in particular for the purchase of event-management services, exist. Please consult the DLAPIL for advice.

📌 The tools presented in the present chapter (see Chapter 5.4.2) can also be used to track the expenditures on a given framework agreement.

👍 **Best practices**

If the framework contract or framework agreement is implemented following an international public call for tenders, an estimated budget

should be announced to the Tenders Board before the publication of the call for tenders. If, during the lifespan of the contract, that budget is exceeded in large proportions, it is mandatory to inform the Secretary of the TB as soon as possible.

5.5. Terminating a contract

5.5.1. Mutual consent

A contract can be terminated with the consent of both parties, if this consent is clearly expressed in writing. All records regarding a termination of contracts should be duly recorded.

5.5.2. Breach of contract and how to manage such a situation

A unilateral termination can only take place if there has been a breach of contract and no agreed negotiated solution can be found. This is the case, for example, when the provider does not satisfy the conditions laid down in the contract and/or the deliverables are not of a satisfactory standard. In such cases, it is recommended to contact the DLAPIL for advice. As a general note, it must be stressed that all exchanges with suppliers in connection with a possible breach of contract must occur in writing and be duly recorded. In all cases, oral communications (for example, phone conversations or in person meetings) must be avoided.

Procurement advice

A breach of contract should, in principle, be a measure of last resort, once all other possibilities have been explored (negotiation, application of penalties, etc.). Indeed, it can be much more prejudicial for the Council of Europe to terminate a contractual relationship and to launch a new tender than finding a win-win agreement with the current supplier. The Procurement Unit can support you in finding such a solution, before the DLAPIL is consulted for any further legal advice.

EXAMPLE : when a buyer administrative entity faces issues with a supplier on a long term contract, one solution, instead of terminating the contract, could be the suspension of the contract for a specific duration. Such possibility must be discussed and approved by the Provider but it is a good way to push the Provider to improve its services once the contract will start again.

5.6. Renewing a contract

In Chapter 4.8.9, the different options when it comes to the renewal of contracts were discussed in greater detail. At this stage it is only necessary to reiterate that, when the renewal clause allows for renewal with the written agreement of the parties, the renewal must be finalised before the contract expires.

5.7. Invoices: receipt and payment

Each directorate organises the reception and validation of invoices, and the payment of these through the TPA.

For more information on this step, you can consult the TPA's page.

5.7.1. Invoicing requirements

An invoice should be:

- dated and addressed to the full Council of Europe address starting with Council of Europe (on its own on the top line, the department/office should only be mentioned on the second line)
- included on the supplier's letterhead (the supplier = the signatory of the contract)

The invoice will reiterate the:

- supplier's name and address
- invoice number
- VAT number of the provider (if applicable)
- list of deliverables ordered, as per the contract signed between the parties
- applicable standard fee per deliverable, in accordance with the applicable contract
- sub-total amount per deliverable (in a currency agreed on in the applicable contract)
- total amount (in accordance with the applicable VAT regime – in a currency agreed on in the applicable contract), and
- specific payment modalities (if any, such as modalities of advance payment)

For intra-EU VAT numbers, the invoice should state: "Sale/service to an exempted organisation: Articles 143 and 151 of Council Directive 2006/112/EC."

5.7.2. Payment requirements

Payments will be made within the deadline for payment indicated in the contract. The payment will be made to the bank account stipulated in the contract, this account must be held by the supplier him- or herself.

5.7.3. Bank cards and internet purchases

In general, the TPA recalls that payments are always made by bank transfer and in euros. Only in cases where there is no other option (exceptions), payment can be made by bank card, cheque letter or cash.

Internet purchases are allowed, but subject to the Council of Europe's regulations. There is no specific procedure, although the procedure for purchases under €10 000 provided for in the Rule No. 1395 can be considered (see Chapter 4.6.4.2).

Given that the Organisation's legal terms and conditions cannot be imposed in the framework of internet purchases, in the procedure described in Chapter 4.8.5.3.3 shall be followed.

If a payment by credit card is needed, the buyer entity should prepare a PO and request the card number directly to the TPA. Once available, the buyer entity can proceed with the purchase.

⚠ The maximum value for a single purchase is € 5 000 and the total monthly purchases are limited to € 30 000 for the whole Organisation. Larger amounts should be preferably paid by bank transfer.

5.7.4. Payment conditions and payment schedules

Legal Framework and remarks

The Council of Europe payment conditions are, by default, 60 days from the date (of receipt) of the invoice or the date of execution of the contract, whichever is the latest.

Best practices

For specific purchases, where payments must be made according to a schedule during a certain period, the buyer entity must indicate all necessary details in the tender file and in the contract.

The target ultimately remains the same: to attract as many candidates as possible to Council of Europe calls for tenders.

This enables suppliers to be motivated in taking part in the call for tenders, knowing that they will be paid during the service or work according to the agreed planning (instead of having to wait until the end of the execution of the contract). This is specifically useful for works, acquisition of material, etc.

The payment conditions (60 days) are negotiable if the supplier or tenderer requests different conditions and if the new proposal is acceptable by the Organisation. However:



Payment schedules

Works: 10% when placing the order, 80% during the execution of the contract, 10% when the work is finished;

IT service: 20% when placing the order, 50% when delivered, 30% after the first month of testing.

- for French suppliers, French law forbids payments above 60 days net (or 45 days end of the month)
- it could be interesting to foresee shorter payment time frames in exchange for a discount on the price (for example: 15 days -3% v. 60 days net). However, such practice should not become a habit, and specific payment conditions should be discussed and approved by the TPA
- if new payment conditions (different from 60/45 days) are agreed, they should be properly reflected in the contract
- immediate payments are possible, but limited to exceptional and duly justified circumstances

For information only, the exceptional and minimum lead time for the TPA to pay an invoice is, on average, 10 days.

5.7.5 Incoterms (goods only)

Incoterms are a European standard that clarifies three important elements of the delivery of goods ordered by the Council:

- Who is responsible for organizing transport
- What mode of transport is used
- Who is responsible for insuring the goods from what point

The French Customs Directorate's website lists all possible combinations. The recommended terms for the Council are: DAP (Delivered at Place) + delivery address at the Council of Europe

The transport and insurance of the goods are then the responsibility of the service provider until their delivery to the Council.

For more information please contact the Protocol.

5.8. Supplier performance and contract

Legal framework and remarks

Poor performance of a supplier during a previous contract is not an obstacle for his or her participation in future Council of Europe procurement procedures (free competition and opening of the Organisation's markets).

However, please refer to Chapter 4.3.3 regarding blocklists at the Council of Europe.

On the basis of the negotiated conditions (deadlines, quality, service, etc.), the buyer entity can evaluate the supplier and the contracted service itself.

The performance follow-up not only makes it possible to monitor the proper execution of a contract and, if necessary, to solicitate the supplier when the expected level is not met, but also to take into account the negative elements of a contract that is coming to an end, with a view to improving its renewal. Indeed, the new call for tenders (and the future contractual documents) should be drafted bearing in mind all necessary improvements from previous contracts (for example fixing clear targets linked to penalties in the event of poor performance).

Best practices

- Assessment during the course of the contract, to ensure that the expected level of service is being achieved and, if necessary, whether it is necessary to apply penalties (if existing inside the contract).

- Assessment at the end of the contract, to measure the overall service and take into account the areas for improvement for a possible contract renewal.

Procurement advice

The Procurement Unit has templates and experience in performance monitoring and assessment.

Buyer entities wishing to set up or reinforce this step ahead of their call for tenders can contact them.

Methodology

Performance follow-up should be adapted to each activity. In general, such analysis takes the form of a questionnaire consisting of one or more questions, scored for example from 1 (very poor) to 10 (very good).

Performance monitoring indicators



- Quality of deliverables or performance.
- Reactivity of the supplier, quality of the collaboration and communication.
- Ethics, social responsibility of the supplier (thanks to standards, in particular the Corporate Social Responsibility - CSR).
- On-time delivery, process compliance, cost control.
- Ability to innovate, to make proposals.

5.9. Procurement performance follow-up

Performance indicators

The DGA's Procurement Unit deploys indicators (KPI) to monitor the performance of its activities. Such indicators provide a snapshot of the procurement process and aim to monitor progress towards achieving the Organisation's objectives (transparency, accessibility, fairness, etc.).

Key figures regarding Council of Europe purchases in 2022 are available here.

Mapping of purchases

As the Organisation's procurement is decentralised, the mapping of data related to its purchases makes it difficult to visualise what is purchased, where, for which value, from which suppliers, etc., even though it helps to improve the overall performance of the Organisation's purchases in the long term.

Step by step, the Procurement Unit will build data reports regarding Council of Europe purchases. This is mainly done thanks to information extracted from the Council of Europe electronic tendering platform and FIMS. Staff members can also use dedicated WebFOCUS reports to extract such data for their own CCM or directorates.

⚠ These reports are filtered to show only real purchases (internal re-invoicing, salaries, etc., are excluded).

The categorisation of purchases (see Chapter 2.4.2) also helps to better understand what the Council of Europe buys. It should also help to identify procurement strategies for each main category (such as intellectual services, works or IT) to make purchases more effective.

5.10. VAT

VAT is a key topic and should be properly examined for any purchase of goods and/or services.

⚠ VAT should always be clarified before signing and sending the contract/order form.

Goods and services intended for the official use of the Council of Europe may be exempt from VAT.

For VAT exemptions, the following procedures should always be observed:

- procedure for the exemption of VAT on the purchase of goods
- procedure for the exemption of VAT on the provision of services

When negotiating a contract or order form with a new supplier/provider, it is necessary to establish:

- the VAT status (VAT number or not) of the supplier/provider
- the exact nature of the goods or services purchased to identify the place of taxation

Protocol is the Organisation's point of contact for all questions on VAT.

Chapter 6 – Additional information

6.1. Council of Europe electronic tendering platform: e-procurement

The Procurement Unit, in collaboration with the DIT, provides the Organisation's staff with a platform for dematerialising calls for tenders. The software has been fully developed internally by the DIT and its use is highly recommended.

This tool aims to modernise the entire procurement process and, more specifically, the publication and reception of offers. It also improves the transparency of procedures, centralises all stages of the procurement process, harmonises practices and facilitates the auditing of purchases.

This tool is part of the administrative reform: SG/Inf (2017)28-rev, 7 November 2017. the solution of "*electronic management and processing of procurement (e-procurement, e-tendering) will be introduced in order to increase efficiency and reduce administrative burden*".

The use of e-procurement is mandatory since 01.01.2026 for International Calls for Tenders and starting 01.04.2026 for tenders with value above 55 000 EUR, and for all tendering procedures (above 2 000 / 6 000 EUR) starting 01.01.2027.

The Procurement Unit assists Secretariat members in using the tool and publishing their calls for tenders. A training on "Procurement optimisation and e-procurement" is available in the DHR Training Workflow and enables staff to obtain a Super-User status to use and publish by themselves calls for tenders.

The tool is a publication platform where providers can upload their offers before a deadline. All other aspects of the tenders are **unchanged**: templates from the DLAPIL, preparation of the tendering documents (act of engagement, tender files), validation process and the signature process.

Procurement advice

Staff in need of support to use Council of Europe electronic tendering platform (**whatever the value of their need)** can contact the Procurement Unit.

Once the call for tenders has been published, bidders upload their offers and their act of engagement inside the tool. They can ask questions directly inside the tool. When the deadline for submission of a tender is reached, the offers are opened automatically (see Chapter 4.9.5). The analysis according to the eligibility and award criteria is done inside the platform. When ready to award to one or more supplier, the buyer entity can select the winner(s): they will automatically receive an award letter. The other candidate(s) will also receive an automatic letter informing them they were not selected for that contract.

All requests, questions and proposals to improve the Council of Europe electronic tendering platform are centralised by the Procurement Unit. Each buyer in the Procurement Unit is trained to assist users with the tool.

DIT is in charge of the technical support and the general maintenance of the tool. A dedicated e-mail is available here to report such issues (internal or external, for example when suppliers need support with their registration process or upload their offer).

Finally, two websites are available to colleagues and suppliers. They offer information on the tool, training videos and how to contact the Procurement Unit:

- intranet page for staff
- internet web page for suppliers wishing to access the calls for tender and register to the tool

6.2. Council of Europe pages on procurement

Intranet – Procurement (link)

Organised chronologically, this page helps new colleagues learn about procurement in the Organisation and all other colleagues who are searching for a central place where all necessary tools, information and links are compiled. See also Appendix 2.

Intranet – DLAPIL (link)

This page contains information on regulations and compliance with procurement procedures, while providing colleagues with templates for their calls for tenders.

Intranet – Procurement Unit (DGA/MAF) (link)

Summary of the missions, roles and responsibilities of the Procurement Unit, as well as its main objectives and activities.

Intranet – Tenders Board (link)

This page presents all necessary information relating to the Tenders Board, including templates (memos, letters to suppliers) and an annotated version of Rule No. 1395.

Internet – Suppliers portal (link)

This site can be accessed via the Council of Europe's homepage (www.coe.int).

It provides a general overview of the Council of Europe's needs and provides contractors that wish to work for the Organisation extensive information on its procurement procedures.

The e-procurement tool is presented (user guides, video tutorials for registration and submission of tenders, etc.) and the Tenders Board presents the calls for tenders not published in e-procurement (and their results).

A contact page is also available for suppliers wishing to make themselves known directly to the Council of Europe's main directorates.

For suppliers, access is via the internet and registration is free of charge. This registration is mandatory for them to submit an offer.



6.3. Social networks

Best practices

Publishing on social networks helps to increase the visibility of the directorate's needs and attract potential new suppliers. For example, the DGA's calls for tender are regularly published on LinkedIn and on other calls for tenders engines.

Risks related to the use of social networks during a call for tenders

Council of Europe staff must ensure that they comply with the Organisation's Staff Regulations and Rules (1 January 2023), Code of Conduct (1 January 2023), Council of Europe Policy on the use of social media by Secretariat members (1 July 2023) and Code of Ethics for Procurement (25 October 2005) when using the social networks.

While it is perfectly acceptable to use social networks to source new bidders or promote ongoing tenders, staff should avoid having their personal interests conflict with the interests of the Organisation, whether such conflicts are real, potential or likely to appear as such.

💡 When a call for tenders is in progress, it is recommended that the Secretariat members involved with that procedure not be openly in touch, via social networks, with suppliers that are likely to submit a tender. The same applies to publications by suppliers on social networks, which should not be relayed (shared or liked) during the period of the call for tenders.

Appendix 1 – Presentation of a detailed analysis



The assessment table is available here. More examples, explanations and tutorials are also available on that page.

The example takes into consideration the following details:

ATTRIBUTION CRITERIA (out of 100 points in total)		
	DESCRIPTION OF THE TECHNICAL CRITERIA	WEIGHTING
1	Expertise in AI field	20
2	Methodology for implementation	20
3	Planning and capacity to respect deadlines	10
	TOTAL TECHNICAL CRITERIA	50

FINANCIAL CRITERIA	WEIGHTING
	50

TOTAL TECHNICAL and/or FINANCIAL CRITERIA (the total must be equal to 100)	WEIGHTING
	100

Three offers were received. All three respect the exclusion criteria, so they can be further analysed (Step 3).

The offers from Providers 1 and 3 are complete, but the one from Provider 2 is incomplete. There are two issues.

- A missing document needed for one of the eligibility criteria has been requested from Provider 2. He sent the document after the deadline, which is acceptable.
- However, he also forgot to fill in, in the act of engagement, the financial details of the offer. Due to this second issue, the offer from Provider 2 is ineligible and must be rejected.

A – Detailed technical analysis

STEP 4 - TECHNICAL/QUALITY ASSESSMENT

Please indicate, for each admissible offer and each technical criteria :
- a score from 0 (very bad) to 10 (excellent)
- a comment / justification

REMINDER : if an offer is not admissible, it should not be analysed

					Provider 1		Provider 2		Provider 3	
				Offer admissible ?	yes		no		yes	
				Weighting (reminder)	Score / 10	Technical justification	Score / 10	Technical justification	Score / 10	Technical justification
TECHNICAL ANALYSIS	Technical criteria 1	Expertise in AI field	20		6	Little previous experience but in line with our needs	Select a score ...		7	Many experiences, but only the ones from 2020 and 2022 are relevent
	Technical criteria 2	Methodology for implementation	20		8	Good approach. Long term vision	Select a score ...		10	Very good step by step approach, perfectly in line with our needs
	Technical criteria 3	Planning and capacity to respect deadlines	10		3	Due to lack of ressources, big risk for the Project	Select a score ...		6	Deadlines are respected on the paper, but too optimistic ?

B – Financial analysis, weighted out of 50 points

STEP 5 - FINANCIAL ASSESSMENT

Do not fill-in the non-admissible or excluded bidders

		Provider 1	Provider 2	Provider 3
	Offer admissible ?	yes	no	yes
	Estimated budget	Offer in EUR	Offer in EUR	Offer in EUR
FINANCIAL ANALYSIS	200 000,00 €	175 000,00 €		250 000,00 €
	Value used for the calculation of the Financial score	175 000,00 €	175 000,00 €	175 000,00 €
TOTAL FINANCIAL CRITERIA / 50 points		50	#DIV/0!	35

C – Final result out of 100 points

	BIDDERS FINAL RANKING				
	TECHNICAL/ QUALITY CRITERIA	FINANCIAL CRITERION	TOTAL	FINAL RANKING (eligible offers only)	TOTAL COST (real or estimated)
CRITERIA VALUE	40	60	100		
Bidder 1 Provider 1	23	60	83	1	175 000,00 €
Bidder 2 Provider 2					
Bidder 3 Provider 3	30	42	72	2	250 000,00 €

Provider 1 wins this call for tenders (83 points in total).

Appendix 2 – Filling an order form

1. Complete the upper part of the order form, by providing the address, the project ID, the supplier's name and address (+ VAT number if any), the FC number, the date of dispatch and the VAT regime.

List the expected deliverable(s). They must be concrete and tangible.

For each deliverable, you must indicate a precise deadline (a date) and the price in the form of a lump sum per deliverable.

Where the unit of work is time based, the lump sum should be calculated using the estimated amount of time needed to complete the deliverable in question. However, this time period is simply an estimate and has no contractual value.

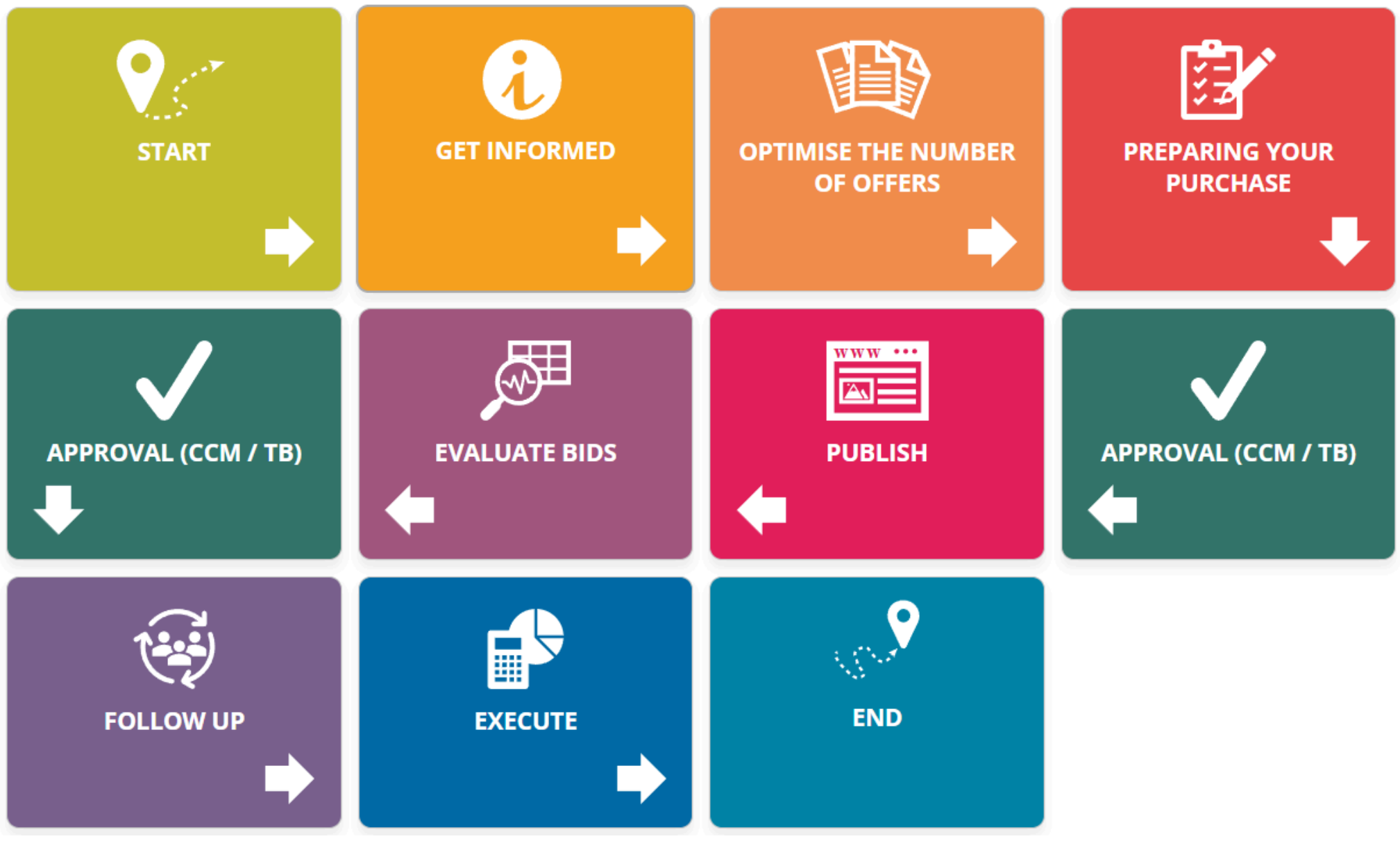
2. Send the order form to the designated supplier (see 1 above), for signature. The supplier must send you back a signed and scanned copy.

3. Upon reception of the order form signed by the supplier, the CCM countersigns it. Indicate the PO number below the signature, and the percentage of advance payment (if any).

⚠ The PO can be raised before or after sending the order form to the provider. The PO must be raised before signature by the CCM. It is important that the CCM is the last party to sign.

4. Send a signed and scanned copy of the order to the supplier concerned. The order is now legally binding and the deliverable(s) can be performed.

Appendix 3 – The procurement page on the intranet



From rules to templates, and from databases to helping tools, this page consolidates all the information that may be useful to deal with procurement in the Organisation.

The page is organised in chronological order, following all the necessary steps when preparing a call for tenders.

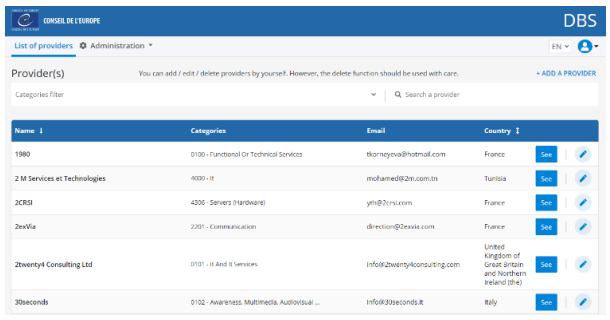
Most of the tools are mentioned in this procurement guide, but Secretariat members are strongly invited to visit the page regularly for help and useful tips.

If necessary, please contact the Procurement Unit for any update or comment on this page.

Example of tools available on the procurement page

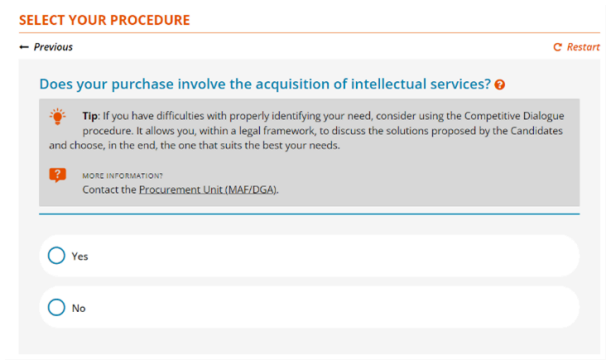
Providers database

A list of companies, consultants, suppliers classified by categories where you can find new prospects for your future calls for tenders.



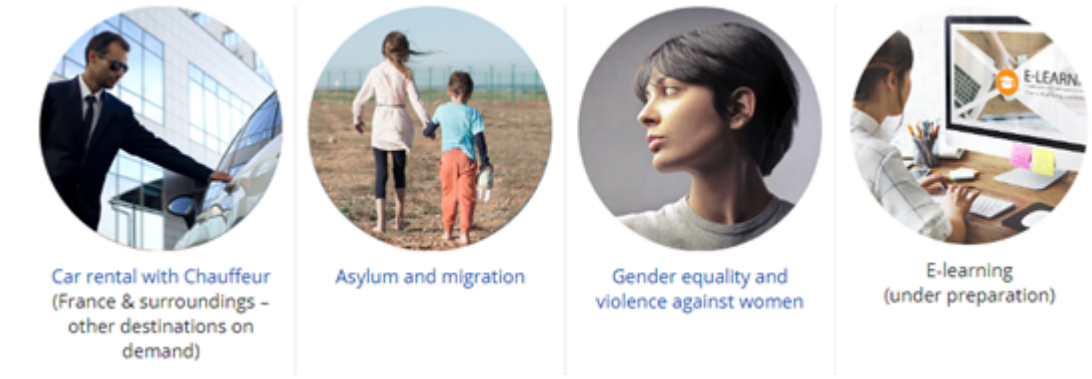
Select your procedure

Not sure which procurement procedure you should use for your call for tender? Answer simple questions to find the right one.



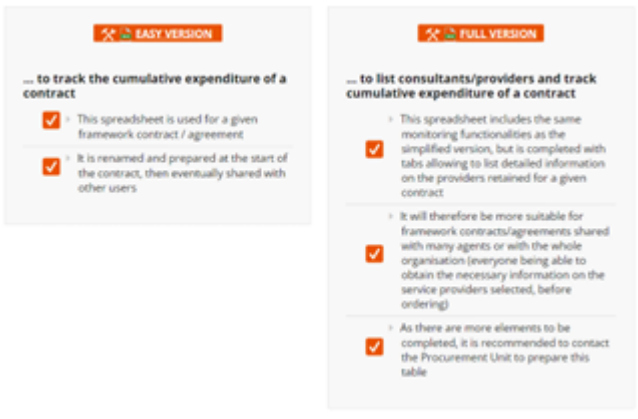
Using an existing contract

A contract that covers your needs may already exist at the Organisation. Check the lists first.



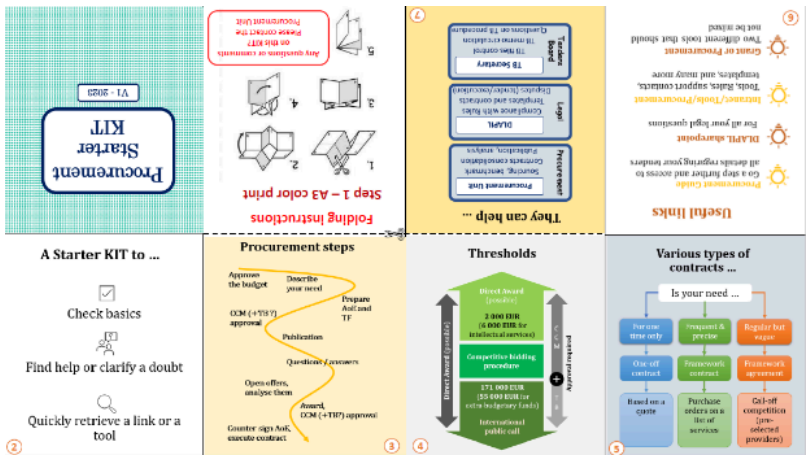
Track the expenditure of a contract

These Excel tables help you to better follow all your purchases for a single long-term contract. Ideal for framework contracts or agreements.



The procurement starter kit

A foldable, easy-to-use/easy-to-read “how to” guide dedicated to newcomers to calls for tenders, which includes key information regarding the Organisation’s rules and procedures.



And much more ...

Links to templates, how to, checklists, etc.

Information regarding training, procedures, VAT, etc.

Detailed pages regarding negotiation, calls for expression of interest, categories, e-procurement, etc.

Statistics and WebFOCUS reports to better understand your purchases.

Contacts.

Definitions

- **Assessment**: the analysis of bids against eligibility and award criteria. Also known as evaluation, however that term should only be used when referring to audit activity.
- **Bid/tender**: an offer submitted by a supplier in the framework of a competitive procurement procedure.
- **Buyer entity/buyer administrative entity**: any entity of the Council of Europe (unit, division, department, directorate, directorate general, etc.) for which – and in whose interest – the purchase is being made. The term “buyer” is not used in this guide since it is commonly used in the Organisation to refer specifically to the procurement units that today only exist in the Directorate General of Administration (DGA) and European Directorate for the Quality of Medicines & HealthCare (EDQM).
- **Call for tenders/call for bids**: generic terms used interchangeably to refer to any competitive tendering procedure (be it a competitive bidding procedure or an international public call for tenders).
- **Directorate General of Administration (DGA)** assists the Secretary General in the definition of strategic objectives and priorities for the Council of Europe and provides the Organisation with the administrative and general services support needed to carry out its activities while ensuring innovation, client orientation and cost efficiency.
- **Directorate of Internal Oversight (DIO)** provides independent and objective assurance, consulting and other services designed to add value and improve the Council of Europe’s operations and help it accomplish its objectives. It contributes to evidence-based decision making and organisational learning, and aims to strengthen the Organisation’s integrity, transparency and accountability framework. To this end, it provides independent and objective audit, evaluation, investigation and advisory services.
- **Directorate of Legal Advice and Public International Law (DLAPIL)** is responsible for providing legal advice and assistance to the Organisation on all matters implicating the legal interests of the Organisation. It provides legal advice on institutional or procedural matters, interpretation of Council of Europe internal rules and the legal support needed to achieve the Organisation’s objectives and to implement programmes and projects.
- **Expert**: within the Council of Europe, this term is used to refer to external experts (usually government officials) who participate in the Organisation’s intergovernmental activities. It is advisable not to use such a term in the framework of a call for tenders and to use the word “consultant” instead (who may, of course, be an expert in his or her field).
- **Procurement Unit (Common Procurement and Finance Department (MAF)/DGA)** ensures procurement activities for DGA, in agreement with the directorate’s cost centre managers (CCMs). Its role also involves advising all Council of Europe entities on issues relating to procurement. The unit makes proposals concerning procurement and defines a strategy for pooling resources and needs across the Organisation.
- **Secretariat member**: permanent and temporary staff, trainees, seconded officials and study visitors of the Council of Europe, as defined in the Organisation’s legal framework.
- **Secretariat of the Tenders Board**: body, part of the DGA’s Legal Support Division, with the aim of assisting the work of the Tenders Board.
- **Supplier/provider**: generic terms used interchangeably to refer to any external supplier that participates or may participate in a procurement procedure and/or with whom the Council of Europe has entered into a contractual agreement. The terms bidder or tenderer may also be used to refer to a supplier/provider participating in a competitive procurement procedure.
- **Tenders Board (TB)** is the body in charge of authorising any planned contracts for the supply of goods, services, intellectual services or works to the Organisation with a minimum value of €184 000.

Abbreviations

ACCM	**assistant cost centre manager**
AoE	**Act of Engagement**
CCM	**cost centre manager**
CfT	**International public call for tenders**
CO	**commitments officer**
DGA	**Directorate General for Administration**
DGS	**Directorate of General Services**
DIO	**Directorate of Internal Oversight**
DIT	**Directorate of Information Technology**

DLAPIL	**Directorate of Legal Advice and Public International Law**
DMS	**Document Management System**
DPB	**Directorate of Programme and Budget**
EDQM	**European Directorate for the Quality of Medicines & HealthCare**
EU	**European Union**
FA	**Framework Agreement**
FC	**Framework Contract**
FIMS	**Financial Information Management System**
FOMA	**Finance and Office Management Assistant**
GC	**General Conditions of the Council of Europe**
INSEE	**National Institute of Statistics and Economic Studies (France)**
IT	**information technology**
ITEM	**Interpretation, Travel, Events and Multimedia**
KPI	**key performance indicator**
MAE	**major administrative entity**
MAF	**Common Procurement and Finance Department**
MSA	**multiservice assistant**
NPIO	**Network of Procurement in International Organizations**
OB	**Ordinary Budget**
OJEU (also TED Europa)	**Official Journal of the European Union (calls for tenders publication)**
PO	**purchase/payment order (Oracle Order Management Module)**
SCC	**specific contractual conditions**
SGC	**supplementary general conditions**
TB	**Tenders Board**
TCO	**total cost of ownership**
TPA	**Treasury, Payments and Accounting Department**
VAT	**value-added tax**

PROCUREMENT PAGE

FAQ